



# AI twist in the tale for Anthropic's Fable and Mythos

June 16, 2026

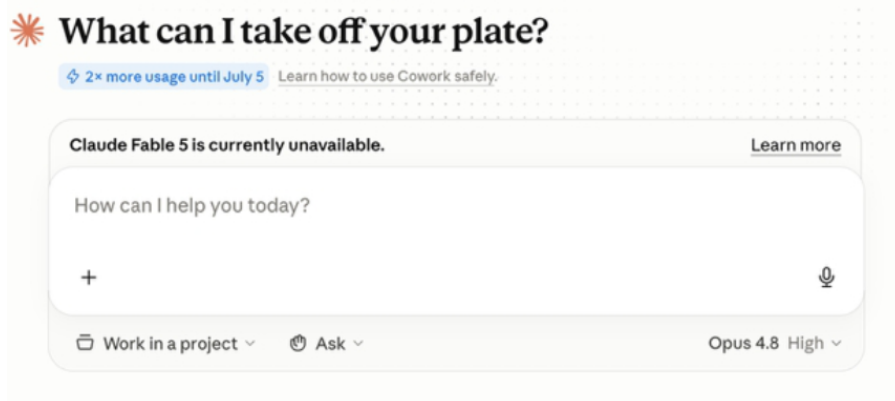
## The story so far...

If you want to understand the implications of the abrupt switching off of Anthropic's Claude Fable 5 and Mythos 5 AI models globally due to US national security orders, just consider the likely reaction in the corridors of OpenAI, Washington and Brussels.

The US Commerce Department issued an export control directive late on Friday to suspend all access by foreign nationals to Anthropic's most advanced models, prompting Anthropic to disable access to all customers to ensure compliance.

The US said it had become aware of a method of bypassing, or "jailbreaking", Fable 5, the public version of Mythos 5, according to Anthropic. Mythos has only been rolled out to a few partners because of fears that it could be misused to exploit cybersecurity vulnerabilities. The startup disputed the concerns, which were reportedly raised by its partner Amazon with administration officials, saying: "We believe this is a misunderstanding." Further details remain hazy.

Figure 1: Anthropic's Claude Fable 5 is "currently unavailable"



Source: Anthropic's Claude desktop app, accessed June 14, 2026

Anthropic is in a race for funding in what could be a historic year for technology IPOs. After it announced on June 1 that it had confidentially filed for an IPO, OpenAI followed suit last week. Both are expected to take place later this year at valuations of more than \$1 trillion apiece.

What could this latest twist in the tale mean for a company growing at breakneck pace; its now smaller rival, whose ChatGPT chatbot is still the byword for AI outside Silicon Valley; a US government that sees an existential threat from China; and European governments already painfully aware of the continent's lagging position in the AI race?

## Authors

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### 1. Short-term pain, but potentially long-term gain, for Anthropic

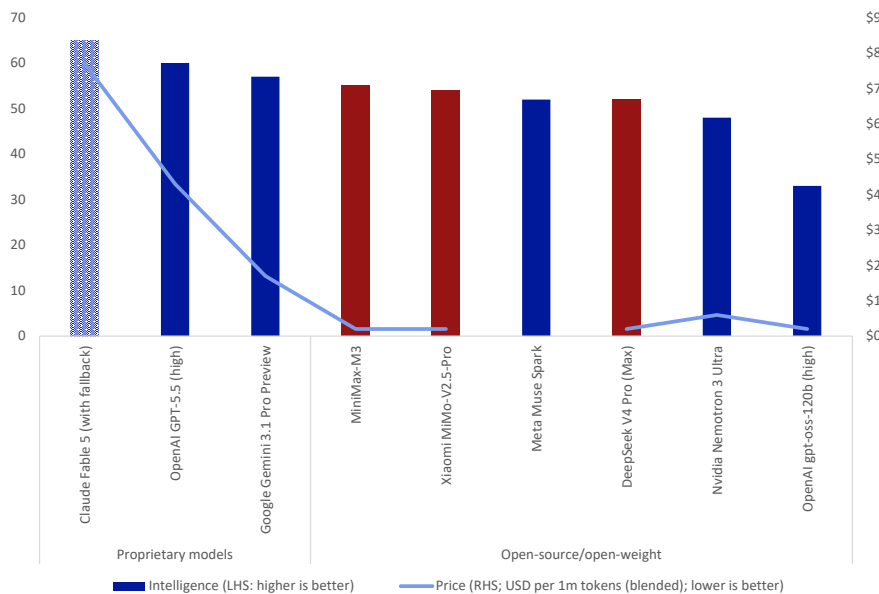
- What greater compliment than to be officially labelled too powerful to release? Nuanced questions of guard rails are likely to be overlooked in the face of marketing that money can't buy. It's like the Adidas running shoes that are so good they're banned in elite competitions. Even if Anthropic has to keep its most advanced models in a cage in the short term, in the longer term its reputation will likely have received a significant boost.
- The timing may be ideal, with a series of mega tech IPOs making huge valuations seem attainable, but also potentially forcing investors to pick a favourite or two amid concerns about how much the market can absorb.
- This is not the first time Anthropic has had a run-in with the US administration. In February, the Department of Defense designated the startup as a supply-chain risk, effectively blacklisting it from working with the US military and contractors, after Anthropic asked that its technology not be used for mass surveillance of Americans and lethal autonomous warfare. President Donald Trump posted that every federal agency should stop working with Anthropic. The company has taken the Pentagon to federal court. But if there were to be a change in the political winds, that could put Anthropic back on the government's books with its reputation stronger than ever.

### 2. Rising pressure on OpenAI's technology and business model

- OpenAI is under pressure as a potential IPO approaches. Anthropic has recently overtaken it in revenues (\$47bn annual recurring revenue at the end of May versus OpenAI's \$24bn at the end of March) and valuation (\$965bn post-money at the end of May in versus OpenAI's \$852bn in March). While models produced by the two companies have now been neck-and-neck for many months, this has been the first time that a model has been banned for being too smart.
- While OpenAI is still the leading consumer app by a country mile, reportedly having crossed the billion monthly users mark in May, only 50 million were paying for it at the end of February. Consequently, the company has sought to refocus around businesses, an area that Anthropic already dominates. OpenAI had nine million enterprise subscribers in February.
- The company is considering drastic price cuts ahead of similar cuts it expects at Anthropic, the Wall Street Journal reported last week, amid stiffer competition from open-source Chinese models that may be good enough for most applications at a fraction of the cost. When it was available, Claude Fable 5 cost \$7.70 per million tokens and GPT-5.5 cost \$4.30, according to a blended score from Artificial Analysis. Compare that with around 20 cents for a number of open-source models.



Figure 2: Slightly more intelligent proprietary models are significantly more expensive than open-source alternatives (chart includes selected models)



Source : Artificial Analysis Intelligence Index. "Fallback" mechanism routes safety-flagged messages to Opus 4.8 model. Meta Muse Spark price not available. US models in blue; Chinese models in red

### 3. Double-edged sword for US aim to dominate AI

- The move is the first time the US government has used export controls to stop access to a commercial AI model that is already widely used by the public. There is a risk that it backfires not only for a country that considers itself to be in an existential race for "global AI dominance" but also for US companies that rely on a global market to justify AI investments.
- The move echoes the now well-established policy of putting export controls on hardware, notably Nvidia's most advanced AI chips. Indeed, an unattributed report from Semafor suggested that the decision to ban foreign use of Mythos had been driven partly by suspicions that a China-linked group had accessed it.
- Five years ago, Chinese companies relied on US chips and developers built their software on its industry-standard CUDA platform. However, since the imposition of stiff export controls, starting under the Biden administration, Chinese companies led by Huawei have invested heavily in creating their own chips and AI ecosystem, eroding US leadership. While they are not yet at the cutting edge, they are gaining fast and may get a foothold in the rest of the world with unaligned countries that prefer cheaper alternatives to US technology.

### 4. Intensified calls for sovereign AI amid rising trade tensions

- The move casts an unforgiving light on more profound regulatory and strategic issues about sovereign AI: who controls the AI models, data and infrastructure. The US has half of the world's data centres and last year clocked up more than 20 times as much private investment in AI companies as China, the No. 2 country, with European companies far in the distance.
- The speed of the ban is likely to reinforce concern that access to all US technology could be suddenly switched off without warning. It may further propel efforts to diversify by companies such as financial institutions that depend on US technology for systemically critical infrastructure.



- The ban “further underlines Europe’s need for technological sovereignty,” the European Commission said over the weekend. The problem is that although Europe is home to a number of key AI-related engineering companies, it only has one notable AI model maker, France’s Mistral, and relies on non-EU countries for over 80 percent of key digital products, services, infrastructure and intellectual property. The Tech Sovereignty package announced on June 3 is an attempt to accelerate initiatives to build domestic capacity and autonomy across the stack.
- The move also plays into a wider theme of technological independence that has gained momentum with this year’s conflict in the Middle East and attacks on data centres highlighting the vulnerabilities of supply chains and dependence on other countries for data and compute.

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# Is the ceasefire a reset? Iran, the US and the Middle East they can't restore

June 15, 2026

**The US and Iran have announced a framework agreement to end hostilities, setting the stage for a formal signing in Switzerland and sending markets rallying with oil tumbling. This landmark deal, a potential "win" for the Trump administration, Iran's resilience, and Israel's strategic gains, redefines the Middle East landscape. However, the path ahead is complex: watch for implementation disagreements, Gulf states' security demands, and Iran's continued leverage over the Strait of Hormuz. We're also seeing accelerated UAE-Saudi tensions and a multipolarizing Gulf as China and Russia position themselves, marking a critical juncture for regional security and global energy markets.**

## Authors

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## Context

On 14 June, the US and Iran announced a framework agreement to end hostilities, with a formal signing ceremony to take place on 19 June in Switzerland. Under the tentative agreement, the US would gradually lift its naval blockade on Iranian ports and relax sanctions/release frozen Iranian assets, in exchange for progress towards a technical agreement on Iran's nuclear programme. The agreement is meant to reopen the Strait of Hormuz and address the stickier questions of freedom of navigation through the Strait, Iran's nuclear programme, reconstruction, and sanctions relief among other issues.

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## Everyone "Wins"?

We have suggested since early March that President Trump would seek an off-ramp (see Thematic Research: The Persian Chessboard: Decoding Iran's Strategy Beyond a US "Victory") given the greater incremental gains for the US versus diminishing returns.

Despite only a framework agreement and the tremendous costs of military actions and the Iranian responses, the Trump administration can likely present a "mission accomplished" based on the extensive damage to Iran's military infrastructure, nuclear sites and air defences, a route to reopening the Strait of Hormuz, and a pathway to some nuclear agreement.

For the Iranians, Tehran's strategy of weaponizing regional and economic instability to make the conflict prohibitively expensive for its adversaries was largely successful (though much will depend on concessions to be made during the forthcoming negotiations). Nevertheless, the regime has demonstrated its resilience. For Israel, it was able to significantly harm Iran's military capabilities, address Iran's nuclear programme, and degrade Hezbollah's capabilities in Lebanon. This may provide President Netanyahu with a political boost in advance of competitive Israeli elections later this year.

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## What should we be watching next?

While markets are celebrating with significant rallies and oil tumbling to a three-month low, the reversion to the old Middle East status quo may take time to restore, if indeed that is possible.

**What could derail the deal?** There are many moving parts in negotiations and we should watch closely for disagreements over implementation (timelines, verification, etc.), Gulf states' requirements for security guarantees, and domestic political opposition from key parties. However, we assess that both the US and Iran are keen to press ahead with the framework agreement even if this doesn't lead to a full-scale peace agreement. A critical factor to watch will be the potential for Israeli aspirations in Lebanon to upend the deal. We suspect that there is significant US pressure on President Netanyahu to cease operations and accept the accrued gains to prevent a derailing of the deal.

**Strait of Hormuz:** Shipping isn't likely to be restored immediately given the challenges of de-mining, insurance premia remaining high, lack of trust until we see sustained stability over time, infrastructure repair to ports, terminals and regional energy infrastructure, and security guarantees. While Iran will probably be keen to



show goodwill, the Strait of Hormuz is its most important bargaining chip in negotiations – one that it will likely seek to protect. Whether any agreement on the Strait of Hormuz entails a “toll”, Iran's strategic leverage over the Strait could translate into long-term, persistent, albeit possibly intermittent, threats to navigation.

**Why Iran may have won more than it lost:** Despite significant military losses, Iran has demonstrated resilience through its military actions and a willingness to close the Strait of Hormuz. Crucially, the mere fact that the US came to the table validates Iran's long-standing insistence that it cannot simply be bombed into submission. Iran's ballistic missile programme remains and its proxy relationships with groups across the region, while weakened, have not been dismantled.

**The regime that enters these negotiations is a harder one** – the strikes killed many moderate figures – leaving a leadership cadre that appears more hawkish and defiant. In addition, surviving a confrontation with the US and Israel without surrendering also strengthens the regime's hand domestically. The deal's promises of potential sanctions relief and access to \$24 billion in frozen assets provides a much-needed economic lifeline to an Iranian government under severe financial pressure. For the broader Middle East, this sets an uncomfortable precedent for engagement with Iran in the longer term.

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## The New Middle East?

**UAE-Saudi tensions:** The conflict has exposed and accelerated fault lines between the UAE and Saudi Arabia that have simmered for years. The UAE's decision to withdraw from OPEC in May 2026, reportedly taken without prior consultation with Riyadh, is the most visible sign. This deepening rupture is driven not just by energy policy but also by broader strategic rivalries and competing visions for the region's future. We will be watching what that rivalry means for oil markets, regional security arrangements and Washington's ability to manage its Gulf alliances as a coherent bloc once the Iran crisis settles.

**Gulf-US Relations:** The Gulf states have responded cautiously but positively to the framework agreement, welcoming any steps that could reduce regional tension and improve stability. That said, we judge that they are keen to ensure that any lasting agreement entails enforceable security assurances and regional participation in future arrangements. In the aftermath of this crisis, Gulf ties with the US may be more complex, and we could see efforts toward greater economic and security diversification. Moreover, any outcome that leaves the Gulf states to deal with the consequences of a conflict that has already caused significant regional disruption would risk deepening existing fissures between the Gulf and the US and undermine confidence in long-term US commitments to regional security.

**Multipolarizing the Gulf?** Both China and Russia have welcomed the framework agreement. While Beijing has focussed on restoring stability in the Gulf and safeguarding international trade routes, Moscow has underscored respect for Iran's sovereignty and the importance of a negotiated political settlement. Both seem keen to ensure that any final settlement does not reinforce long-term US dominance in the Gulf. Indeed, both are benefiting from positioning themselves as defenders of international law and the post-WWII order, and may be able to make inroads with regional Gulf allies in the aftermath of the crisis, potentially at the US' expense.





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# Capital allocation without Big Tech

June 15, 2026

The sharp sell-offs that have punctuated the AI-related stock market appreciation over the last few years have all come at times when investors have contemplated whether the AI business model is at a tipping point. This year's related IPOs have certainly entered into that realm.

The recent wobbles have also come as investors consider the financing methods of some of the largest hyperscalers which have signalled they are ready to turn to equity issuance to invest in AI capacity.

Apart from testing the pecking order theory of financing, these developments also have implications for aggregate capital allocation of the S&P 500 given the size of tech firms. So, in this short note we disaggregate buybacks, debt issuance and capex of the S&P 500 to quantify the impact of tech firms.

Amongst our key takeaways is that while tech dominance in the stock market is growing, other S&P 500 corporates offer solid fundamentals which means the bulk of companies in the index do not look overpriced. That should keep the potential fallout from any further AI disenchantment more contained than many currently fear.

## Authors

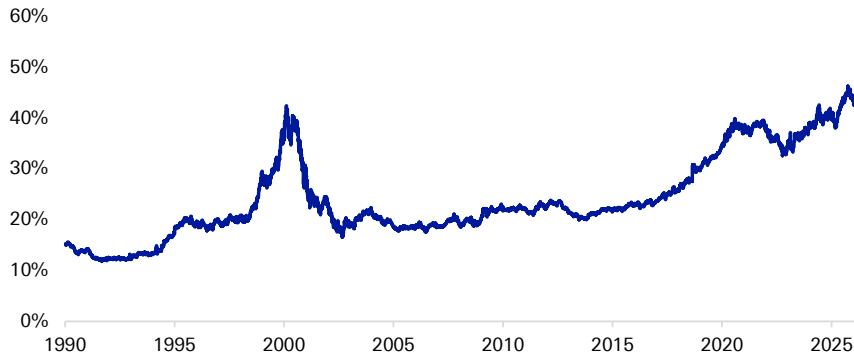
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Research Analyst



## Tech dominance is back but its ranks are changing

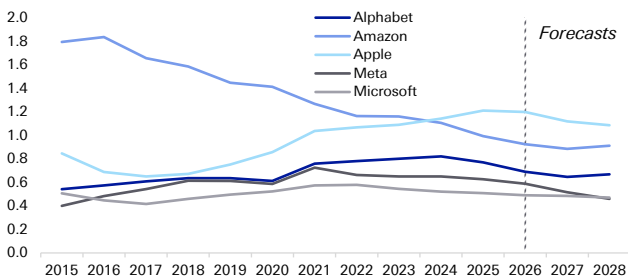
Figure 1: TMT companies market cap as % of S&P 500 total



Source : Bloomberg Finance LP, Deutsche Bank.

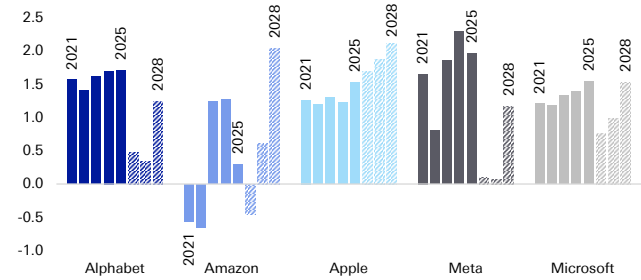
The run-up in the share of TMT companies' market cap relative to the S&P 500 total comes just as the biggest tech players that have propelled index fundamentals in recent years are expected to experience declines in free cash flow. That comes on top of slowing sales growth for some which will weigh on their asset efficiency, particularly given their capex plans.

Figure 2: Asset turnover of selected tech companies



Source : Bloomberg Finance LP, Deutsche Bank.

Figure 3: Free cash flow of selected tech companies, indexed to 2020 levels \*

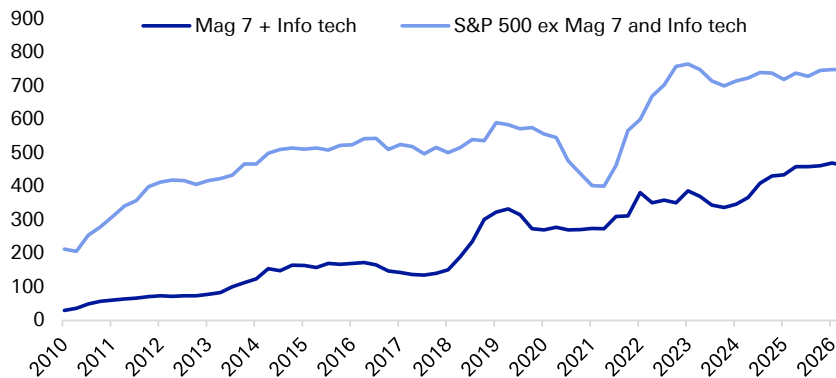


Source : Bloomberg Finance LP, Deutsche Bank. \* Note: shaded areas are forecasts.

The cash drain from AI capex is a concern for investors in part because tech companies have offered strong payouts in recent years amidst record cash generation, including during covid when the aggregate for rest of the index declined.



Figure 4: Total payouts (\$bn, LTM) \*



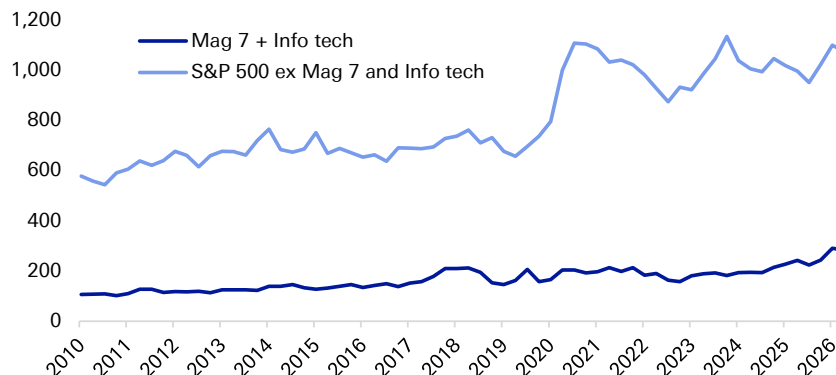
Source : Bloomberg Finance LP, Deutsche Bank. \* Note: excluding financials, real estate and utilities.

When we now look at large non-tech American corporates, there are strong signs of resilience. This leads us to expect them to increase their investing and payout activities in the coming few years. That would be a pleasant contrast to the first half of this decade which was beset by various shocks and uncertainty amidst a changing geopolitical and economic backdrop.

#### Capital allocation trends of non-tech corporates look solid

Compared with the trend in payouts, the relative size of aggregate tech companies' actual cash pile is much smaller. While this reflects the differences in cash needs of business models and profitability, aggregate cash coffers are up by c 8% p.a. since 2019, outpacing inflation.

Figure 5: Cash & cash equivalents balances (\$bn) \*

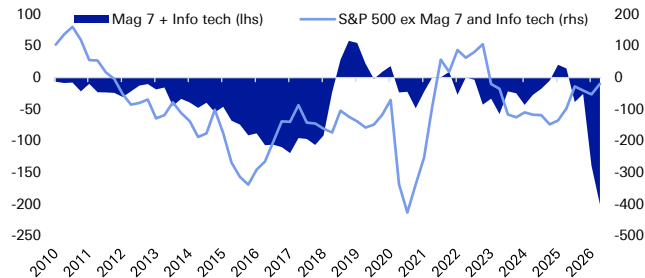


Source : Bloomberg Finance LP, Deutsche Bank. \* Note: excluding financials, real estate and utilities.

Part of the reason for the increase in cash in non-tech companies is a turn towards relatively conservative capital allocation. Unlike tech companies, the rest of the S&P 500 corporates have been in cash-preservation mode, which is reflected in almost no new net borrowing in the last 12 months as well as a relatively slower increase in capex (+876% for tech and +62% for non-tech since 2019).

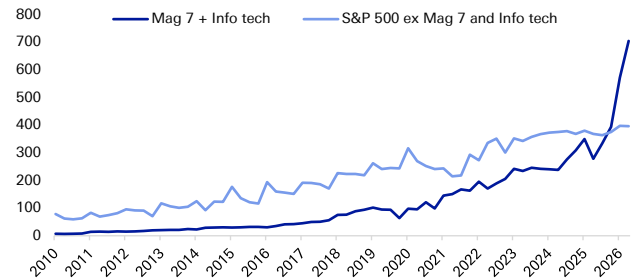


Figure 6: Cash spent on net debt (negative - more borrowing) \*



Source : Bloomberg Finance LP, Deutsche Bank. \* Note: excluding financials, real estate and utilities.

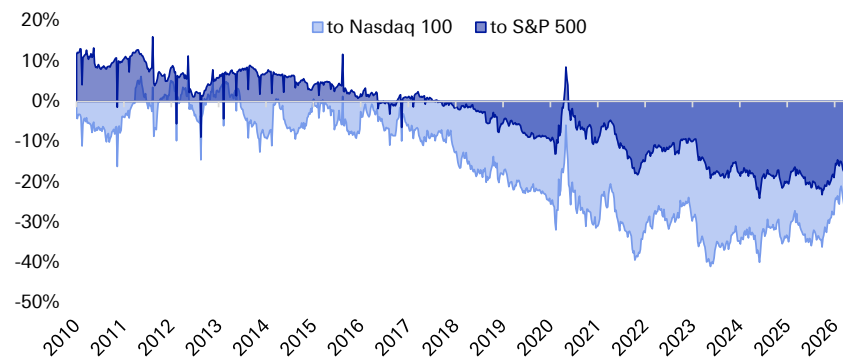
Figure 7: Reported capex, LTM \$bn \*



Source : Bloomberg Finance LP, Deutsche Bank. \* Note: excluding financials, real estate and utilities.

We believe this cash preservation is likely to change. Big M&A deals are already one of the signs that companies are looking to decrease their cash piles. This may help make non-tech corporates more attractive to investors and acquirors and, as the chart below shows, the equal-weighted S&P 500 continues to trade at c.15% discount to the market-cap index, and at 27% to the Nasdaq 100 (on a forward P/E basis). And while the non-tech firms are expected to have only 13.2% EPS growth in 2026 (23.7% for tech), that is ahead of Europe (11.2%) and Japan (10.5%).

Figure 8: Equal-weighted S&P 500, premium (+) / discount (-) to...



Source : Bloomberg Finance LP, Deutsche Bank.



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Research

# The House View: Snapshot 1999 meets 1990

Deutsche Bank

## Macro views

### World

- Global growth at 3.0% in 2026 and 3.2% in 2027.
- Rationale:** A US-Iran deal may be possible in June, which would reopen the Strait of Hormuz and see Brent crude fall to \$86/bbl in Q4 and \$80/bbl in 2027. Current AI boom is also buffering the US and North Asia from the energy shock.
- Key risks:** War continues/worsens, oil market impact from prolonged Strait of Hormuz closure; AI sell-off sparks major market rotation. Upside risk is that there is further momentum from AI adoption/investment.

### Europe

- 2026 growth cut to 0.5%. Technical recession cannot be ruled out; recovery expected from Q4, with 2027 growth of 1.1%.
- Rationale:** The energy shock has significantly impacted European activity. Fading energy shock effects and Germany's fiscal spending (defence and infrastructure) will start to dominate the growth outlook in the latter part of the year.
- Key risks:** If the Strait of Hormuz remains closed beyond June, it will weigh even more on growth conditions. Non-linear effects could become stronger.

### China

- 2026 GDP growth forecast at 4.7% (down from 4.9%) due to softer domestic activity and policy fine-tuning.
- Rationale:** Strong trade activities are expected to offset weaker domestic demand. Reflation is accelerating, driven by crude prices pass-through to downstream products. Fiscal spending slowed since April, but a rebound is likely.
- Key risks:** High fuel prices reduce domestic and external demand, AI could boost productivity while negatively impacting the labour market.

### United States

- 2026 growth is projected at 2.2%, supported by easy financial conditions, fiscal support and AI-driven capex.
- Rationale:** Labor market has stabilized and we expect this to persist with unemployment near recent levels into year-end ~4.3%. PCE inflation forecast has risen to 3.3% YE given recent outperformance and lift from energy prices.
- Key risks:** A more substantial oil price shock could weaken real disposable income; financial conditions might tighten, perhaps driven by concerns around AI disruption or (private) credit risks.

### Germany

- 0.5% GDP in 2026 & 1.3% 2027. Fiscal deficit to widen to 4.1% of nominal GDP upon weaker growth.
- Rationale:** Cost-related headwinds and inflation induced weakening of private consumption to persist into H2 2026. The expected normalization of the global environment, combined with the domestic fiscal stimulus, should boost growth in 2027.
- Key risks:** Germany remains highly exposed to the energy cost shock and consequent deterioration of its current account.

### India

- 6.7% y/y GDP for FY27 (prev. 7.5%). CPI to rise to 4.6% y/y in 2026; 4.9% y/y in FY27 given higher oil prices and risks of a sub-normal monsoon.
- Rationale:** Energy shock and sub-normal monsoon challenge growth forecast.
- Key risks:** If monsoon disappoints, real GDP growth could fall further to 6.3% y/y.

## Key downside risks

- H** **Iran war.** Prolonged Hormuz closure could push Brent towards \$150/bbl, significantly hitting global growth and tipping Europe into recession.
- M** **Higher inflation / hawkish central bank pivot.** Persistent inflationary pressures have also led to a shift in the monetary policy cycle, with the Euro Area and much of Asia expected to hike rates this year, whilst the Fed also faces hawkish risks.
- M** **AI.** AI's job-loss and disinflation questions are overshadowed by the Iran War but will resurface post-conflict. Risks are concentrated in software/private credit, with defaults more likely a 2027–2028 story.

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June 2026

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## Market views

|                                                                                    |                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|------------------------------------------------------------------------------------|-------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|    | <b>Market Sentiment</b> | <ul style="list-style-type: none"> <li>❑ Risk assets are outperforming amidst a return of AI excitement, in addition to recent moderation in oil prices.</li> <li>❑ Equity and credit markets have been remarkably resilient against geopolitical shocks, yet sovereign bonds like 10yr Treasuries are still trading in a tight correlation with oil prices.</li> </ul>                                                                                              |
|    | <b>Equities</b>         | <ul style="list-style-type: none"> <li>❑ S&amp;P 500 YE-2026 target: 8000; STOXX 600 YE-2026 target: 640.</li> <li>❑ Strong Q1 earnings reinforce constructive outlook on equities, driven by Tech on the back of AI-related demand.</li> <li>❑ Overweight Financials, Industrials &amp; Healthcare; prefer US &amp; Europe over Japan.</li> </ul>                                                                                                                   |
| <b>%</b>                                                                           | <b>Rates</b>            | <ul style="list-style-type: none"> <li>❑ 10yr UST at 4.70% YE-2026; 10yr Bund at 3.20% YE-2026.</li> <li>❑ Fed is done cutting and on-hold at nominal neutral. Bund forecast revised based on view the ECB will hike 25bps in Jun &amp; Sep, taking the deposit rate to 2.50%.</li> </ul>                                                                                                                                                                            |
|    | <b>Credit</b>           | <ul style="list-style-type: none"> <li>❑ YE 2026 targets: \$IG 82bps; \$HY 305bps; €IG 95bps; €HY 345bps.</li> <li>❑ Global credit spreads show resilience, particularly in the US, which displays low recession risks.</li> <li>❑ Turn underweight €-credit over \$-credit due to Europe's economic sensitivity and ECB tightening.</li> </ul>                                                                                                                      |
|    | <b>FX</b>               | <ul style="list-style-type: none"> <li>❑ YE-2026 targets: EUR/USD to 1.20.</li> <li>❑ Turn neutral on the dollar as Strait of Hormuz stalemate persists. An escalation in Iran and more hawkish Fed pricing may push EUR/USD below 1.15; conversely a quick reversal in oil prices plus surprise Ukraine-Russia peace deal could support a move above 1.25. Risks are finely balanced.</li> </ul>                                                                    |
|  | <b>Oil &amp; Gold</b>   | <ul style="list-style-type: none"> <li>❑ Brent \$99/bbl in Q3-26; \$86/bbl in Q4-26; WTI at \$94/bbl in Q3-26, \$81/bbl in Q4-26. Based on expectation that the Strait of Hormuz will normalize in June.</li> <li>❑ Gold: YE-2026 target: \$5,800/oz, average \$6,000/oz through.</li> </ul>                                                                                                                                                                         |
|  | <b>Monetary Policy</b>  | <ul style="list-style-type: none"> <li>❑ Fed: On hold at long-run neutral Fed Funds rate of 3.63%, but hawkish risks increasing.</li> <li>❑ ECB: 25bp hikes in June and September, taking deposit rate upper end of neutral to 2.50% in 2026.</li> <li>❑ BoJ: Quarterly 25bps hikes starting in June, bringing policy rate to 1.75% by April 2027.</li> <li>❑ BoE: Bank rate unchanged at 3.75% in 2026.</li> <li>❑ PBoC: Unchanged at 1.4% through 2026.</li> </ul> |

## Key macro & markets forecasts

| GDP growth (%) |       |       | Central bank policy rate (%)    |         |         |         | Key market forecasts |         |         |         |
|----------------|-------|-------|---------------------------------|---------|---------|---------|----------------------|---------|---------|---------|
|                | 2026F | 2027F |                                 | Current | Sep 26F | Dec 26F |                      | Current | Sep 26F | Dec 26F |
| Global         | 3.0   | 3.2   | US: Federal Funds Rate          | 3.625   | 3.63    | 3.63    | US 10Y yield (%)     | 4.54    | 4.60    | 4.70    |
| US             | 2.2   | 2.2   | Eurozone: Deposit Facility Rate | 2.00    | 2.50    | 2.50    | EUR 10Y yield (%)    | 3.04    | 3.10    | 3.20    |
| Eurozone       | 0.5   | 1.1   | Japan: Policy Balance Rate      | 0.75    | 1.00    | 1.25    | S&P 500              | 7,387   | 7,500   | 8,000   |
| Germany        | 0.5   | 1.3   | UK: Bank Rate                   | 3.75    | 3.75    | 3.75    | Gold                 | 4,168   | 5,500   | 5,800   |
| Japan          | 0.7   | 0.7   | China: 7d OMO Rate              | 1.40    | 1.40    | 1.40    | EUR/USD              | 1.15    | -       | 1.20    |
| UK             | 1.0   | 1.2   |                                 |         |         |         | USD/JPY              | 160     | -       | 150     |
| China          | 4.7   | 4.5   |                                 |         |         |         |                      |         |         |         |

## 2026 Macro events calendar

| June 2026 |    |                          | July 2026 |    |                          | August 2026 |    |                       |
|-----------|----|--------------------------|-----------|----|--------------------------|-------------|----|-----------------------|
| 10        | CA | Bank of Canada Decision  | 8         | US | FOMC Meeting Minutes     | 6           | EZ | ECB Economic Bulletin |
| 11        | EZ | ECB Decision             | 15        | CA | Bank of Canada Decision  | 19          | US | FOMC Meeting Minutes  |
| 15-16     | JN | Bank of Japan Decision   | 23        | EZ | ECB Decision             |             |    |                       |
| 17        | US | Federal Reserve Decision | 29        | US | Federal Reserve Decision |             |    |                       |
| 18        | UK | Bank of England Decision | 30        | UK | Bank of England Decision |             |    |                       |
| 25        | EZ | ECB Economic Bulletin    | 31        | JN | Bank of Japan Decision   |             |    |                       |



### Recent editions

- ❑ [1999 meets 1990](#), 9 June 2026
- ❑ [The Impact of the Middle East](#), 10 March 2026
- ❑ [Anything but dull](#), 1 December 2025

### Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s). In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Marion Laboure / Camilla Siazon / Jim Reid



## Appendix 1

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Research

# Geopolitics beyond Iran

Events, trends and themes markets should be paying attention to

June 2026

Dr. Helen Belopolsky | Miha Hribernik

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank  
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## Beyond Iran: What should markets be paying attention to?

The Iran crisis has rightly dominated market attention since 28 February, given its far-reaching implications for the Middle East region and the global economy. But the world hasn't stood still during the conflict. This report takes us beyond the immediate headlines to the emerging geopolitical dynamics that could redefine market trajectories and create the next wave of strategic opportunities.

Even as US attention shifted toward the Middle East, the last several months saw signs of movement toward a potential ceasefire in **the war in Ukraine**, and a deal remains possible amid mounting war fatigue. Over the next year, Europe will face a number of key elections that will likely serve as major watchpoints for the popularity of **far right movements and candidates**, with potential EU-wide implications. **China's efforts to position** itself as a reliable geopolitical partner amid rising global uncertainty appear to be bearing some fruit, including in the form of improved global perceptions and signs of success with RMB internationalization.

Meanwhile, **global defence spending** has continued to soar, and Asia is fast emerging as one of the centres of a global defence spending 'supercycle', both as a buyer and seller of arms. **Drones** are increasingly at the centre of this structural trend, as countries across the globe race to absorb the lessons of the wars in Ukraine and Iran – which should add further impetus to defence spending.

But this list is hardly exhaustive as global geopolitical fragmentation continues to accelerate. We've also asked our proprietary model **dbLumina** for its take on the geopolitical themes beyond Iran that markets need to pay attention to.



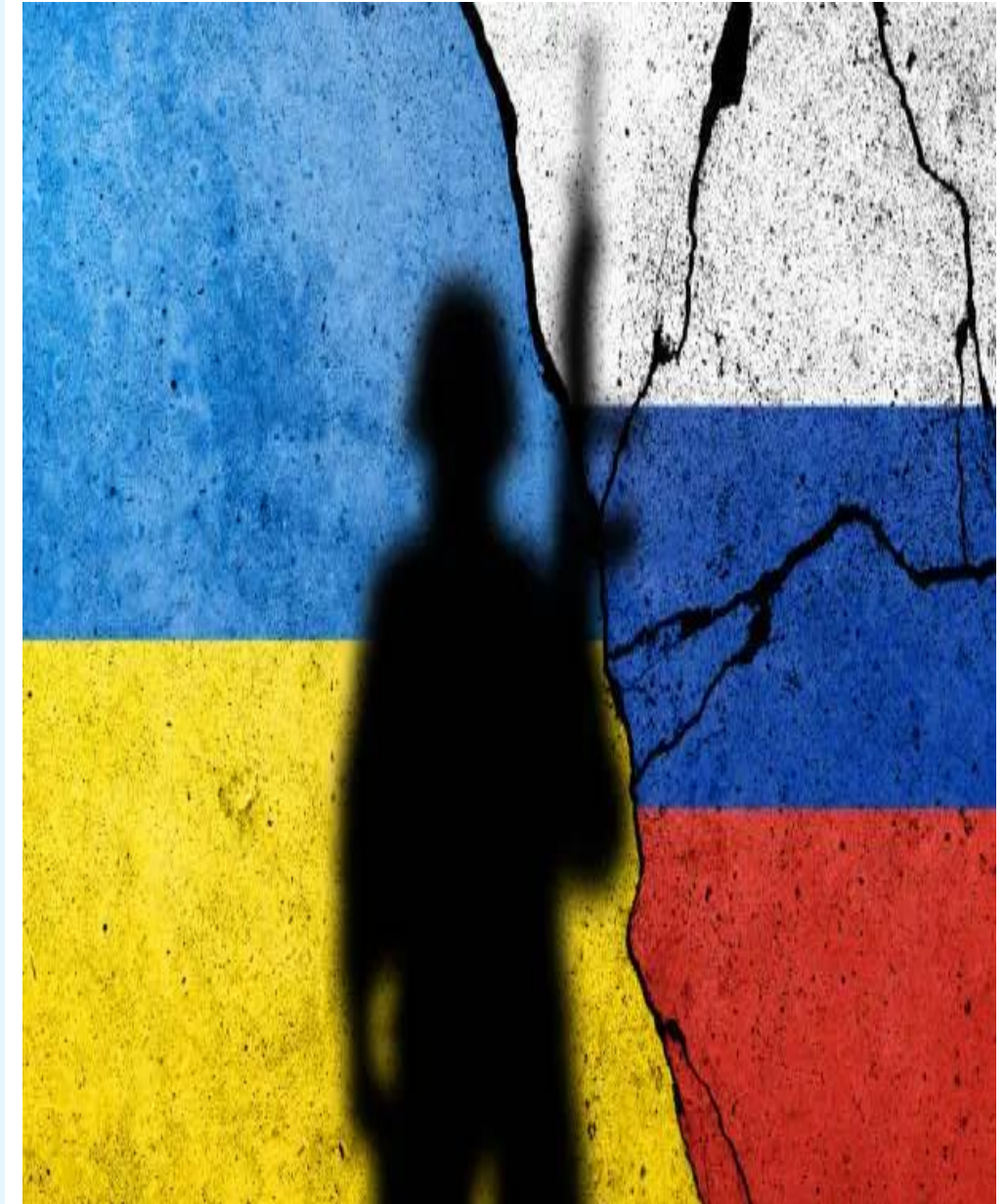
# War in Ukraine

Is there an end in sight?



Though trilateral negotiations (US/Russia/Ukraine) are stalled as a result of the war in Iran, a number of recent developments suggest we **may be nearer a ceasefire than many believe**, and this could potentially move quickly. While military barrages continue, as war fatigue mounts, the rising costs of protracted conflict may eclipse its diminishing returns, shifting the strategic calculus. Certainly, polling is demonstrating a marked shift. Russian support for peace talks reached a record high of 67% in March while 72% of Ukrainians say they could support a peace plan that freezes the conflict along the current front line. In addition, casualties in the war have reached the highest rates in modern warfare. Some signs that we may be seeing progress towards a ceasefire:

- On 4 June, Ukrainian President Zelenskyy wrote an open letter to Russian President Putin urging a meeting to agree on an end to the war. Putin has so far rejected the proposal but agreed to another round of negotiations after 22 June.
- Russian President Putin publicly said the war may be “coming to an end” and his recent language contrasts with earlier maximalist messaging. The Kremlin is increasingly speaking more about security arrangements and mediation possibilities than outright military victory.
- US, Russian and Ukrainian officials reportedly have continued negotiations.
- A senior Ukrainian delegation recently travelled to Washington for renewed negotiations with US officials on possible frameworks for freezing the war.
- **Washington may well increase pressure on Moscow and Kyiv** if negotiations remain stalled into the summer. US pressure could be the decisive catalyst, especially if we see shifts to actively conditioning Ukraine support on negotiations or signalling a capped long-term commitment. For Russia, the US could leverage both “carrots” and “sticks” by, for example, offering a pathway to sanctions relief, access to frozen assets, or security architecture talks and/or through increased sanctions or the provision of long-range weaponry to Ukraine.
- If we see increased US pressure, **a deal could emerge relatively quickly**. While a ceasefire over the coming months is far from guaranteed, even credible steps toward a deal would have effects for markets. Any ceasefire would have significant implications for the post-conflict landscape. This could include a possible easing of some sanctions on Russia, the potential for increased Ukrainian agriculture exports, a pathway for Ukrainian accession to the EU and for enabling reconstruction – with implications for investments in minerals, gas infrastructure, technology, city reconstruction, defence, data centres and artificial intelligence.



Source: iStock: Tomas Ragina



# Far right politics in Europe

What may upcoming elections mean for the future of Europe?



Far right parties have made significant gains in the 2024 EU elections and recent national polls, notably in France, Germany, and Austria. The **"normalization" of far-right ideas in Europe carries significant implications** for the continent's future, potentially reshaping its political, social, and environmental landscape. Mainstream parties are increasingly adopting certain themes from far-right narratives, potentially as a strategy to appeal to a broader electorate. Looking ahead, key far-right parties' priorities that we should watch in upcoming elections:

**Migration and Border Control:** This is perhaps the most unified policy area for far-right parties. They consistently advocate for hardening borders, stricter immigration laws, and processing asylum claims outside the EU. Even mainstream parties have adopted more restrictive migration policies in response to the far-right's influence. Successes for far-right parties in upcoming elections could translate into tightening of EU migration policies with possible implications for the EU labour market.

**Climate Policy:** Many far-right parties express scepticism of ambitious climate policies, including the European Green Deal. There is a risk of a "green backlash," where far-right influence could slow or dilute the implementation of climate-related directives.

**National Sovereignty and EU Integration:** Far-right parties generally prioritize national sovereignty over further EU integration. While some have moderated their calls for leaving the EU entirely, many advocate for reforming it to reduce its mandate. This focus on national interests could lead to increased challenges in reaching consensus on critical EU issues, including the development of a unified foreign and security agenda, the allocation of the EU budget, and efforts to enhance the EU's overall economic competitiveness..

**Economic Policy:** While there are internal divisions within the far-right on specific economic policies, a common thread is a push for greater national control over economic decisions. Some advocate for strong fiscal discipline, while others oppose EU-induced fiscal rules. Protectionist economic policies, such as tariffs and non-tariff trade barriers, could also gain traction.

| Key European Elections in 2026/2027 with Far-Right Touchpoints |                                                                                                                                 |
|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
| Germany                                                        | State elections in Baden-Württemberg, Rhineland-Palatinate, Saxony-Anhalt, Berlin, and Mecklenburg-Vorpommern – MAR to SEP 2026 |
| Denmark                                                        | General election is set for OCT 2026                                                                                            |
| Latvia                                                         | Parliamentary election is scheduled for OCT 2026                                                                                |
| Sweden                                                         | General election is scheduled for SEP 2026                                                                                      |
| France                                                         | Presidential election is scheduled for APR 2027                                                                                 |
| Italy                                                          | General election will be held no later than DEC 2027                                                                            |
| Poland                                                         | Parliamentary election will be held by NOV 2027                                                                                 |
| Spain                                                          | General election will be held no later than AUG 2027                                                                            |
| Finland                                                        | Parliamentary election will be held on APR 2027                                                                                 |
| Greece                                                         | Parliamentary election is scheduled to be held before JUL 2027                                                                  |
| Slovakia                                                       | Parliamentary election is scheduled to be held by SEP 2027                                                                      |

# Uncertainty as Opportunity for China's Global Influence

Beijing is benefitting from perceptions of stability amid global geopolitical uncertainty

**Rising geopolitical uncertainty should continue to generate upsides for China.** Over the past year, Beijing has sought to position itself as a more predictable global power in contrast with US foreign, trade and security policy volatility. While there are probably limits to upsides from this approach – amid deep-seated structural differences and continued derisking in major markets such as the EU – Beijing's positioning appears to have had some success. This is reflected in [evidence](#) of improving global perceptions of China and a flurry of senior foreign visits to Beijing during 2026.

These visits included the leaders of Canada, Ireland, Finland, the UK, Vietnam, and Germany, and have – among other deliverables – resulted in a US\$15bn UK [investment pledge](#) into the pharmaceutical industry in China; progress on a planned [China-Vietnam railway link](#); a deal for [120 Airbus jets](#); and cuts to Canadian [tariffs on Chinese EVs](#).

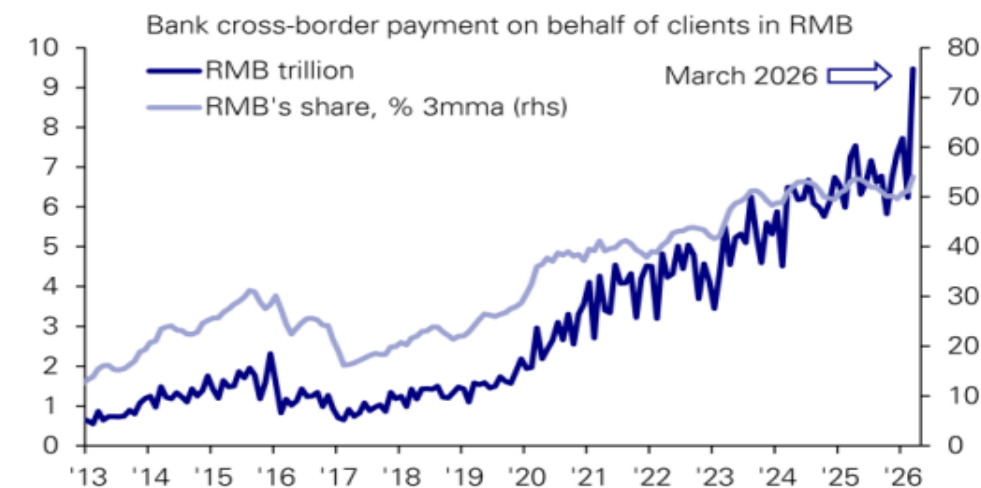
**The global energy shock driven by the Middle East crisis could lead to further upsides for Chinese renewables, EV exports, the RMB, and Hong Kong.** While not immune to the war's growing economic cost, China's economy has also shown resilience, which included a 14% y/y rise in exports in April (and an [estimated](#) 15% y/y rise in May), in part attributed to global stockpiling amid the Iran war. Combined with perceptions of geopolitical stability and structural advantages owing to investment in strategic industries, this could leave China with a strengthened geopolitical position after the war.

Chinese renewables companies and EV manufacturers have seen an export boom in recent months as consumers in key markets, including Europe, shift away from fossil fuels amid high prices (this has continued, although slowed following the cancellation of China's solar panel export tax refund programme on 1 APR). A likely acceleration in state-led decarbonization efforts after the war across many parts of the world could generate sustained demand for these companies over the medium term.

As our colleagues have argued, there are [tentative signs](#) of an acceleration in RMB internationalization – one of Beijing's key strategic objectives. This was reflected in a 30% jump in cross-border RMB payments during the first month of the war, and in China successfully securing [yuan pricing](#) for some Australian iron ore shipments. The Iran conflict could be a catalyst for the erosion of the petrodollar, and could result in the beginning of a '[petroyuan](#)'. Hong Kong could see further upsides from the conflict, including in the form of inflows of capital, skilled workers and family offices from the Gulf.

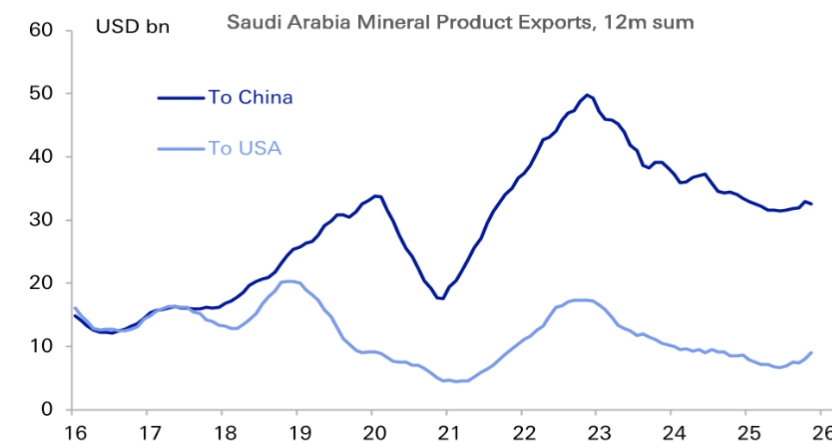


## Cross-border RMB payment surged by 30% in March



Source: Deutsche Bank Research. See: [The Big FX View: War and Peace](#)

## Saudi Arabia now sells four times as much oil to China as to the US; a trend that could undermine petrodollar foundations



Source: Deutsche Bank. See: [FX Special Report: What Iran means for the dollar: a perfect storm for the petrodollar](#)

# Spotlight on Defence: A New Era of Growth in Asia

Asia is emerging as one of the global centres of a new defence spending supercycle, both as a buyer and seller of arms



**The fracturing of the post-1945 international order is fuelling a structural defence spending supercycle.** Global defence outlays reached [USD2.6 trillion](#) in 2025. In Asia, spending grew by 5.7% y/y last year, reaching [USD573bn](#). We expect geopolitical factors – such as European concerns over Russia, US requests for allies to boost spending and capabilities, China's military modernization, and [intra-NATO friction](#) – to sustain further growth.

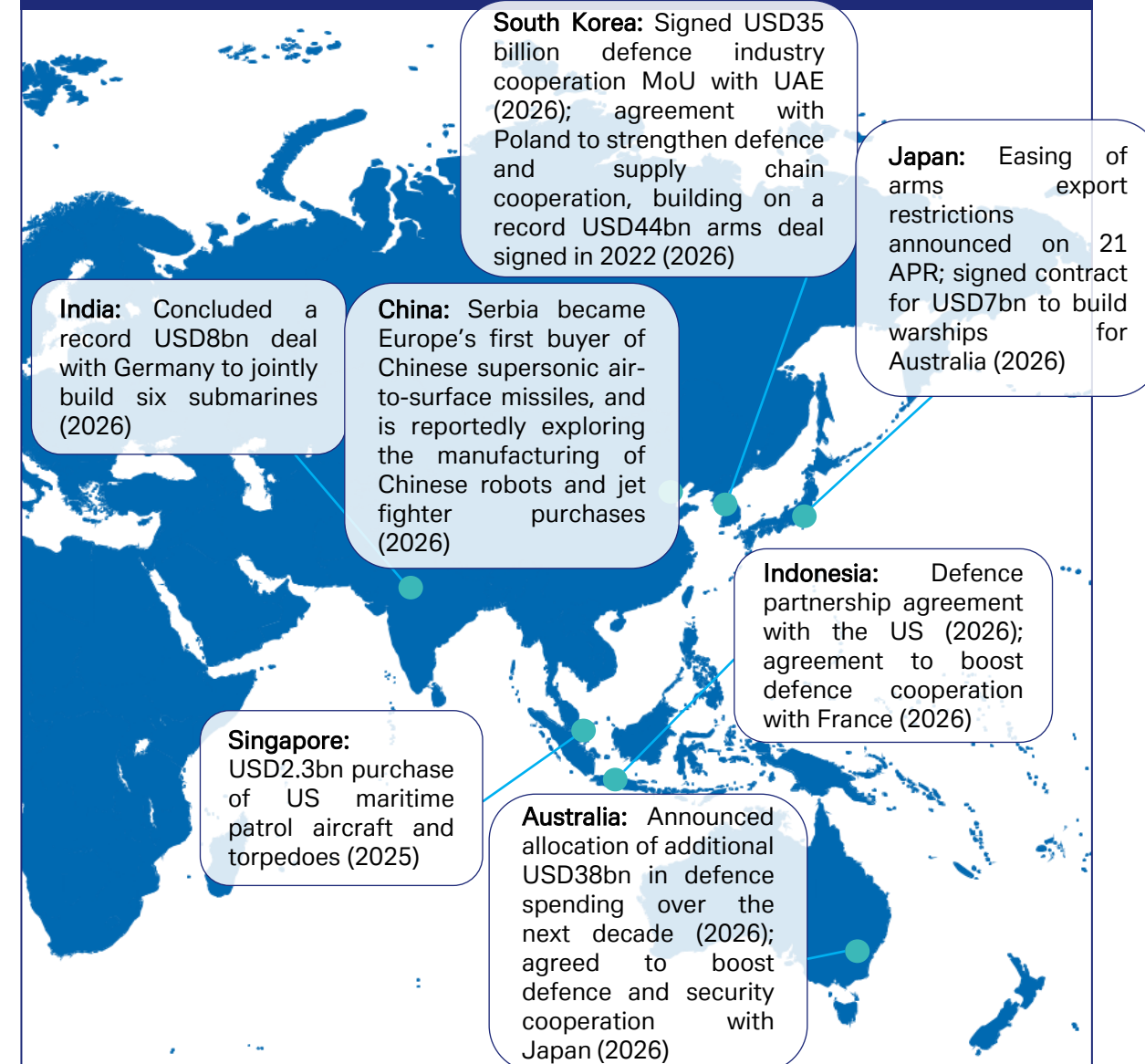
**We assess that this supercycle is unique due to Asia's emerging role as a major arms exporter, not just a buyer.** The past year has seen significant activity, including record arms deals and major policy shifts (see map). Asia is unlikely to displace leading suppliers but competitive pricing, access to advanced technology, and increasingly integrated supply chains could boost Asian market share in countries traditionally dominated by non-Asian suppliers.

China and South Korea are already two of the world's largest arms exporters. South Korean exports surged by a [reported](#) 83% between 2024 and 2025, and the country is now the [second largest](#) arms supplier to NATO, behind the US. Poland and the UAE are among its biggest buyers, and both could increase purchases amid rising security risks in their regions. The Iran war could boost Gulf defence spending, as the region [reportedly](#) focuses on South Korean anti-missile systems given potential delays in the replenishment of US-made munitions.

**Asian arms exports are set to accelerate.** Japan's eased restrictions on 21 APR could lead to the biggest increase in Japanese arms exports since WWII, with Poland and the Philippines [reportedly](#) among potential buyers. Meanwhile Taiwan's status as a producer of 90% of the world's advanced chips means its technology is seeing widespread use by the US military, including in F-35 fighter jets and for cutting edge AI development, including for military applications.

**Rising Asian defence spending is also creating opportunities for domestic and overseas suppliers.** Regional defence spending appears set to climb further, fuelling purchases of defence systems, from submarines to fighter jets and drones. This includes recently proposed or approved spending increases in South Korea, Japan, Taiwan, India, Australia, and the Philippines. Underlying geopolitical imperatives suggest the trend is unlikely to reverse over the coming years, with global implications, including in the form of a potentially weaker dollar (see [FX Special Report: How defence spending will shrink global imbalances and weaken USD](#)).

## Selected policy developments and arms deals in Asia, 2025-26



Source: Deutsche Bank

Deutsche Bank  
Research Institute

# Spotlight on Defence: The Unmanned Revolution

Competition for leadership in the drone revolution is set to intensify



**The proliferation of inexpensive defensive and offensive drones is reshaping military doctrine, defence spending, and procurement.** The wars in Ukraine and Iran have demonstrated the limitations of costly military assets in the face of numerous cheap and disposable drones. The range and capabilities of these systems continue to rapidly evolve, with the integration of ground robots fast emerging as the next frontier. Ukraine has announced plans to use robots for 100% of frontline logistical needs, and plans to more than double the number of unmanned ground vehicles by mid-2026. However, once there is no active combat and after a certain amount of stockpiling, production will likely slow significantly given how quickly capabilities change.

**We expect significant global increases in investment as governments absorb the lessons of ongoing wars.** Ukraine has emerged as a global leader in unmanned operations and production, manufacturing around 4 million drones annually (more than the rest of NATO combined), with a [planned](#) increase to 7 million in 2026. Ukrainian production is expanding to facilities in countries including the UK, Denmark, Norway, and Germany, fostering technological diffusion and the emergence of a Europe-wide supply chain. Ukraine is also pursuing joint production with countries in the Middle East, Europe and the Caucasus, and has struck 10-year cooperation agreements with Saudia Arabia, the UAE and Qatar. But recent developments also illustrate the rapid pace of development beyond Ukraine, where policy incentives and spending hikes are set to fuel a massive expansion of drone arsenals over the coming years (see table).

**National security concerns will likely drive efforts to reduce critical dependencies, insulate supply chains, and secure an edge in AI.** China continues to dominate drone supply chains, including for critical inputs such as motors, batteries, lenses, processed critical minerals, and rare earth magnets. We anticipate increasing efforts by governments, including the US and EU, to reduce these dependencies over the coming years. This will likely take a three-pronged approach: a) curtailing market access to Chinese technology; b) accelerating investments to reduce critical dependencies (e.g., in critical minerals extraction/processing, manufacturing, and AI capabilities) and c) countering vulnerabilities through advancing technological solutions that include rare-earth-free e-engines and more sustainable navigation and power systems for drones. The EU's cooperation with Taiwan, for example has led to a [749% y/y growth](#) in Taiwan's drone export sector.

Precedent suggests that China could seek to slow such derisking efforts. On 24 APR, Beijing banned dual-use item exports to seven European companies due to their links to Taiwan, [purportedly](#) to counter EU-Ukraine-Taiwan security cooperation and drone supply chains.

## Selected Recent Developments, including Planned or Proposed Spending Increases

|                       |                                                                                                                                                                                                                                                                                                                                            |
|-----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>United States</b>  | The US Department of War has requested a 24,000% increase in FY2027 funding for its Defense Autonomous Weapons Group, which oversees mass-produced drones with AI capabilities. The Pentagon has placed an order for 30,000 one-way attack drones (the largest such order to date), and expects to receive more than 300,000 by early 2028 |
| <b>France</b>         | Plans to expand its stock of explosive drones by up to 400% by 2030                                                                                                                                                                                                                                                                        |
| <b>Australia</b>      | Intends to more than double funding for anti-drone capabilities over the next decade                                                                                                                                                                                                                                                       |
| <b>Germany</b>        | German defense minister stated that Germany is planning to spend <a href="#">EUR10 billion</a> (US\$11.5 billion) on drones over the coming years                                                                                                                                                                                          |
| <b>Japan</b>          | Allocated US\$800 million in FY2026 for a coastal defence system that includes unmanned systems; may allocate US\$1.2 billion for new drones through FY2027                                                                                                                                                                                |
| <b>South Korea</b>    | Intends to train 500,000 military drone operators and procure 11,000 commercial drones for military use in 2026                                                                                                                                                                                                                            |
| <b>European Union</b> | "Drone Wall" or "Drone Shield" – multi billion EURO commitment                                                                                                                                                                                                                                                                             |



# What does AI say?



While attention is firmly focused on the crisis in the Middle East and the state of the Strait of Hormuz, we asked our proprietary AI model, dbLumina, to review our report and identify any additional geopolitical themes beyond the Iran crisis. The below assessment is entirely generated by the AI model.

## **European Geopolitical Alignments: Fallout from US Actions**

The current US foreign policy posture could trigger an unprecedented crisis for NATO and broader European unity. The watchpoint is how European states respond to such events: whether they choose to pursue economic measures against the US, and how traditional alliances evolve when faced with US unilateralism. This dynamic will redefine transatlantic relations and European strategic autonomy.

## **Greenland: Escalating US Control & Resource Scramble**

President Trump explicitly indicated the US would act on Greenland "whether they like it or not". This signals an intense push for strategic control and access to Greenland's vast resources. The watchpoint is the potential for increased US military presence, long-term lease negotiations, or even more assertive actions, despite unified Danish and Greenlander opposition.

## **Taiwan Strait: Persistent Tensions & Cross-Strait Stability**

The ongoing strategic rivalry between the US and China, particularly concerning Taiwan, remains a critical flashpoint. The broader context of "digital sovereignty and tech decoupling," "rewiring of global trade," and intensified competition for "critical minerals" directly implicates the Taiwan Strait due to its centrality in global semiconductor supply chains and major maritime trade routes. Any escalation here could have immediate and cascading global geopolitical and economic consequences.

## **Re-evaluation of Multilateralism & Global Governance**

US unilateral actions are actively challenging established international law and norms. This trend creates systemic uncertainty for global governance mechanisms, impacting trade agreements, environmental accords, and the enforceability of international contracts. Watch for key international forums (e.g., UN, G7/G20 summits) to see if major powers continue to bypass or actively undermine multilateral institutions, leading to further fragmentation and a less predictable global operating environment.



Source: Growtika on [Unsplash](#)



# Selected key geopolitical events to watch in 2026

For a detailed look at key monthly geopolitical events, please also see our [This Month in Geopolitics](#) publication series.

| Date           | Market(s)                       | Comment                                                                                                                                                                                                                                                                                                                                                |
|----------------|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 15-17 June     | France/G7/China                 | <b>France</b> will host the G7 Leaders’ Summit in Évian. Talks will likely include efforts to coordinate a response to major geopolitical issues, including the global impacts of the Iran war, the Russian invasion of Ukraine, competition with <b>China</b> , and supply chain resilience.                                                          |
| 1 July         | US/Canada/Mexico /China         | The start of the mandatory six-year joint review of the <b>US-Mexico-Canada (USMCA) trade agreement</b> . Efforts to reduce reliance on <b>China</b> , and to curb the role of Chinese companies in North American supply chains, will be a watchpoint.                                                                                                |
| 7-8 July       | NATO Summit                     | The NATO summit in <b>Türkiye</b> is expected to be one of the most important alliance meetings in years. Major issues include the future of support for Ukraine; European defence spending; NATO’s posture toward Russia; burden-sharing tensions with the US; and security coordination in the Black Sea and the Middle East.                        |
| 24 July        | US/Global                       | The US global 10% Section 122 tariffs are set to expire. These will likely be replaced by new tariffs introduced as a result of two Section 301 trade investigations. Dozens of countries could face higher US tariffs as a result.                                                                                                                    |
| Early August   | China                           | China’s leaders will gather for their annual informal summer retreat in <b>Beidaihe</b> near Beijing. The venue provides an opportunity for Party leaders to exchange views on major policy issues, including relations with the US.                                                                                                                   |
| 8 September    | UN General Assembly in New York | The meeting in <b>New York</b> will bring leaders together amid increasing geopolitical volatility and the process to choose the next UN Secretary-General before Antonio Guterres leaves office at the end of 2026.                                                                                                                                   |
| 13 September   | Germany                         | <b>German</b> state and local elections may impact Chancellor Friedrich Merz’s governing coalition amidst economic pressures, immigration debates and the continued rise of the far-right Alternative for Germany (AfD).                                                                                                                               |
| September      | India/BRICS                     | India will host the <b>BRICS Summit</b> in New Delhi. Watchpoints include any announcements that could suggest efforts to move further away from the US dollar. This includes BRICS Pay (an initiative meant to facilitate cross-border payments in BRICS currencies) and the BRICS ‘Unit’, a prototype gold-backed digital currency unveiled in 2025. |
| 24 September   | China/US                        | <b>China’s President Xi</b> is expected to visit the United States following the China-US Summit in Beijing in May.                                                                                                                                                                                                                                    |
| 3 November     | US Midterm elections            | These midterms will see voters choose 435 seats in the House of Representatives, 35 Senate seats and governors in 39 states and territories. The US midterms will be vital in determining control of the Congress and the Senate, which will significantly influence President Trump’s ability to pass laws and shape national policy.                 |
| 18-19 November | APEC Summit                     | China will host the APEC Economic Leaders’ meeting in <b>Shenzhen</b> . The summit could see a Xi-Trump meeting on the sidelines, and may shape Indo-Pacific economic architecture for years to come.                                                                                                                                                  |
| 14-15 December | G20 Summit                      | The 2026 G20 Summit in Miami may become contentious due to Ukraine-related divisions, trade and tariff disputes, climate financing disagreements and questions around global governance reforms. The summit could also see a fourth meeting between presidents Xi and Trump in 2026.                                                                   |



Source: [Nils Huenefruerst](#) on [Unsplash](#)

# Appendix 1



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# Assessing AI in finance with Evident Co-CEO Alexandra Mousavizadeh

June 9, 2026

Banks are racing to invest heavily in AI to avoid being left behind, even though the impact is yet to show up significantly in their bottom line, cost-to-income ratios or share prices, Alexandra Mousavizadeh, Co-Founder and Co-CEO of Evident, said in a [Deutsche Bank Research Institute](#) dbInSights webinar last week.

The industry has spent the past three years testing AI and is now entering a new phase of production at scale, said Mousavizadeh of [Evident](#), whose AI Index is the global standard benchmark of AI maturity for financial services companies.

“We are still in the foothills of the journey,” she told Adrian Cox, Thematic Strategist for the Institute, adding that investment in building in-house research teams, creating an engineering culture and thinking through workflows and architectures over the past decade is paying off for early movers.

“The longer you wait, the harder it is going to be,” she said.

Click [here](#) to watch the half-hour webinar. *(You will need to download this report as a pdf to access the link.)*



It will probably take another two years to see the results at the leading banks and another eight to ten years for the technology to be fully diffused throughout the industry, she said.

The most impactful cases are not always the most sophisticated, Mousavizadeh said. Streamlining Know Your Client (KYC) activities can provide an instant revenue lift, often from simply re-engineering old workflows, with AI layered on top to automate and accelerate them. In the meantime, more complex use cases are emerging, such as AI agents to stitch together different processes and departments, she said.

The webinar also includes debates on why Mousavizadeh sees no jobs apocalypse in finance, what differentiates successful adopters of AI, how different regions are diverging, and what advice she would give a young professional entering the workforce.

## Authors

[Adrian Cox](#)  
Research Analyst





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Deutsche Bank  
Research

# dbDataInsights Geopolitics Survey

UK Politics: Perspectives on leadership transition and key priorities

June 2026

Dr. Helen Belopolsky | Sanjay Raja | Debbie Jones

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

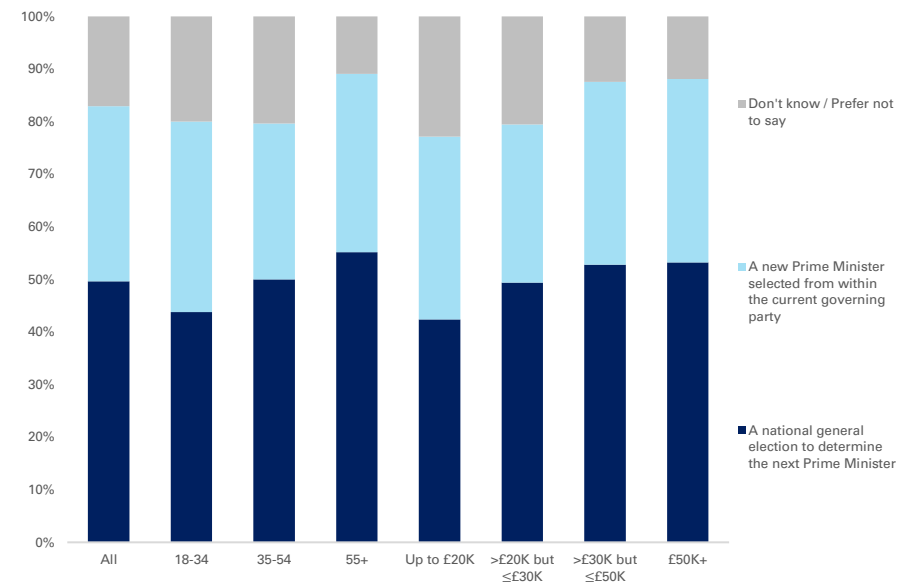
Deutsche Bank  
Research Institute

# Population would prefer election to determine the next Prime Minister



- Prime Minister Starmer's administration is currently navigating a complex political landscape, contending with [economic pressures](#), the implementation of key policy initiatives, and recent instances of political controversy. In addition, Labour saw [poor results](#) in the latest local elections. By mid-May, ~100 Labour MPs had called on PM Starmer to resign or set a departure timetable – though 111 backbenchers signed a letter opposing a leadership challenge. Speculation around the Prime Minister's position remains, with rival Andy Burnham running to return to Westminster as part of the Makerfield by-election.
- Our dbDataInsights survey suggests that voters are considering the potential for significant political change and its implications. **In a scenario where the Labour Party were to elect a new successor, a notable 50% of respondents expressed a preference for a national general election** to determine the next Prime Minister, rather than an internal selection process.
- This sentiment is particularly salient as PM Starmer is currently only one of the last five PMs to have entered Downing Street as a result of a general election victory. The preference for broader electoral participation is observed to be strongest among the oldest age cohort, indicating a desire for a more direct public mandate in future leadership changes.

UK participants were asked: if the UK Prime Minister did change soon, which of the following would you most prefer: a new PM selected from within the governing party or a general election?



## Methodology

These results are derived from a monthly online nationally representative survey. We survey ~550 respondents in European countries and the UK, and ~650 respondents in the US. Our protocol ensures proportional representation across key demographics such as age, income, location, and gender to accurately reflect population diversity. Participants are restricted from taking the survey more than once every six months. The geopolitics questions are integrated into a larger monthly survey conducted by the dbDataInsights team.

Source: dbDataInsights

Responses collected in May 2026 from an Online Nationally Representative sample of ~650 US respondents.

# Cost of living an overwhelming concern for Britains



- Cost-of-living concerns are seen as the key priority to be tackled by any new Prime Minister. This is particularly salient given the volatile global environment, where escalating trade tensions, persistent tariff pressures, and broader geopolitical uncertainty fuel inflationary pressures on essential goods and services (namely, energy and food). Such external factors inevitably translate into significant impacts on household purchasing power and overall consumer sentiment domestically.
- This is reflected in the survey data, with an overwhelming **75% of respondents identifying the “cost-of-living crisis”** as the most critical immediate issue for a new Labour Prime Minister. The consistently high salience of this figure across all demographic groups underscores its importance. Addressing it would be a foundational priority for any incoming government seeking broad public support.
- Beyond economic pressures, the **National Health Service** also stands out as a significant immediate focus, identified by 49% of respondents – a reflection of an ageing society. This highlights a widespread public expectation that the health service requires urgent attention and resources beyond the multi-billion-pound investment delivered thus far.
- Furthermore, demographic-specific priorities are evident within the survey results. A notable **62% of the oldest age cohort surveyed identified immigration** as a key issue requiring the attention of any incoming Prime Minister.

Source: dbDataInsights

Responses collected in May 2026 from an online nationally representative sample of ~550 respondents in European countries and the UK, and ~650 in the US. See slide 1 for further information.

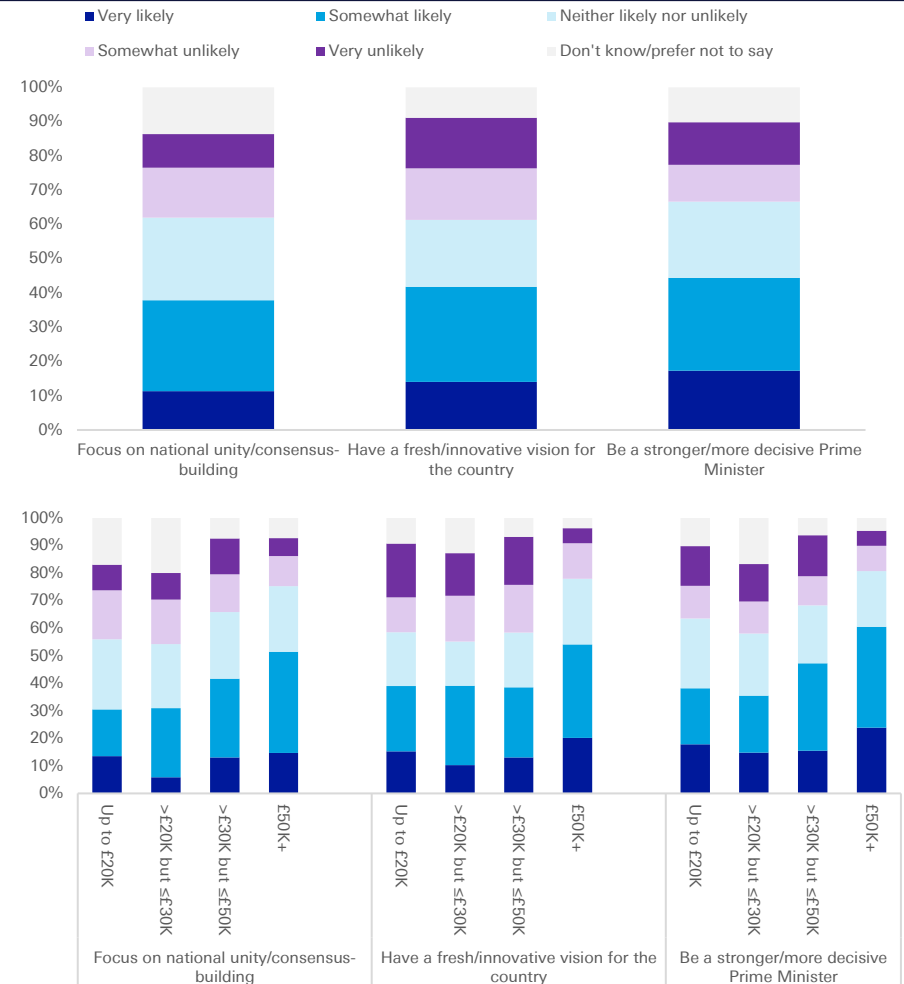


# Focus on unity through decisiveness



- 40% of respondents believe a new Labour Prime Minister should primarily concentrate on **fostering national unity**. This figure rises slightly to 44% among those who anticipate a stronger and more decisive leadership approach, suggesting a segment of the electorate desires clear and firm direction in navigating national challenges.
- Approximately 42% of respondents anticipate that a new Labour Prime Minister would introduce **a fresh or innovative vision for the country**. This sentiment is particularly pronounced among higher-income demographics, with 61% of those earning over £50,000 annually expressing confidence in such a prospect.
- This suggests that while there is a general appetite for new ideas, specific segments of the electorate, particularly those with higher incomes, may hold stronger hopes for transformative policy directions under a new Labour leader.
- “Faith” in a new leader appears to diminish with age, suggesting younger cohorts are more optimistic about a fresh start.

UK participants were asked: How likely or unlikely do you think it is that a new Labour Prime Minister would focus on national unity/consensus-building, have a fresh/innovative vision for the country, and/or be a stronger/more decisive Prime Minister?



Source: dbDataInsights

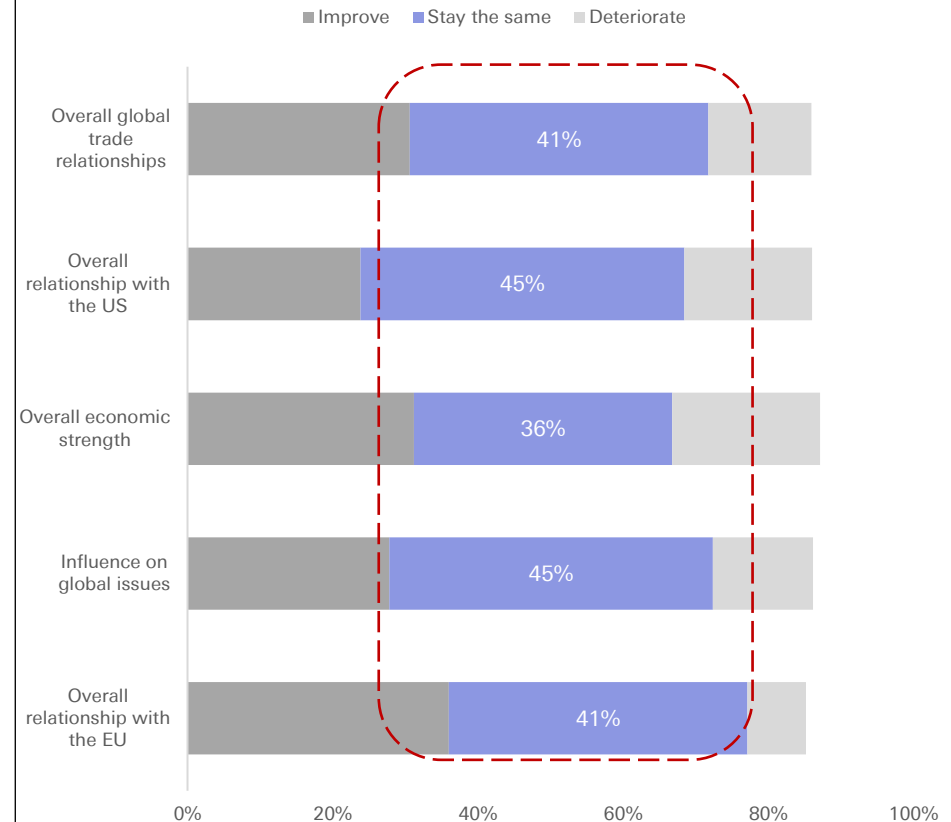
Responses collected in May 2026 from an online nationally representative sample of ~550 respondents in European countries and the UK, and ~650 in the US. See slide 1 for further information.

# Expectations for UK's international standing and economic future



- The data points to a public mood that is guarded, indicating that any new Prime Minister would face the challenge of not only delivering tangible improvements but also shifting perceptions about the nation's global trajectory.
- 45% of respondents **expect the UK's influence on global issues and the UK's relationship with the US to remain unchanged** under a new Prime Minister. Only 28% and 24%, respectively, foresee improvement. This could indicate a perception that these areas are particularly entrenched or less amenable to rapid positive change, regardless of a new Prime Minister's efforts.
- In every category, a plurality of respondents anticipates that current conditions will "stay the same", which suggests a prevailing sentiment of cautious realism, or perhaps a lack of strong optimism for immediate positive shifts across critical areas such as international relations, global influence, and economic performance.
- While expectations that "economic strength" and "global trade relationships" would "stay the same" are also prominent (36% and 41%, respectively), a somewhat higher proportion still hopes for improvement (31% in both cases), suggesting slightly more fluidity or a greater desire for change in these economically relevant domains.

UK participants were asked: Under the new Labour Prime Minister, do you think the following would improve, stay the same, deteriorate or don't know: overall relationship with the EU, influence on global issues, overall economic strength, overall relationship with the US, and overall global trade relationships?



Source: dbDataInsights

Responses collected in May 2026 from an online nationally representative sample of ~550 respondents in European countries and the UK, and ~650 in the US. See slide 1 for further information.

# Appendix 1



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Deutsche Bank  
Research

# Chips: The Biggest AI Bottleneck

June 2026

Marion Laboure | Camilla Siazon

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank  
Research Institute



# Chips: The Biggest AI Bottleneck



## Key points

1. Today's AI race is inherently a chip race. No country controls the overall chip supply chain in the short to medium term.

2. Key bottlenecks lie in advanced chips and specialized equipment, concentrated mainly in Taiwan and the Netherlands.

3. The US leads in advanced compute, but is constrained by its reliance on Taiwan's TSMC for chip manufacturing.

4. China's AI chips perform ~5x below US alternatives — a gap that could widen to 17x — though it is expanding in legacy node production. China maintains access to ~2.8mn H100-equivalent GPUs partly via remote cloud.

5. No single country can achieve full chip supply chain independence in the near term. The EU is on track for only 12% of global production by 2030, short of its 20% target.

6. The 2025 export control escalation — US chip controls alongside China's rare earth restrictions — illustrates how semiconductors and critical minerals have become interlinked economic tools.

7. The chip industry will bifurcate between AI leaders and laggards beyond 2026, impacting the ongoing memory shortage. Software efficiency gains, such as Google's TurboQuant, can rapidly reprice the hardware stack.

## Key facts

|           |                                                                                                                         |
|-----------|-------------------------------------------------------------------------------------------------------------------------|
| ~\$1.5trn | in global semiconductor market revenue by 2030. AI will drive most of this.                                             |
| 60%       | of global chip production was US-made in the 1970s, vs 11% by 2019.                                                     |
| 40%       | of Taiwan's chip supply chains should be reshored to the US, per Commerce Secretary Lutnick.                            |
| 15 years  | for the US to build a sustainable domestic chip manufacturing industry and packaging industry.                          |
| 90%       | of the world's most advanced semiconductors are produced in Taiwan.                                                     |
| 11%       | of US GDP is at risk of a Taiwan Strait disruption (SIA). A disruption could cost \$5trn in year one (Bloomberg).       |
| ~80%      | Chinese chips reach of Nvidia's A100 performance, but this gap is projected to widen significantly as US chips advance. |
| 7 months  | Chinese LLMS lag behind US counterparts.                                                                                |
| 2027      | China's mature node capacity rises to 47% (vs. 34% in 2024). Taiwan's share would decline from 43% to 36%.              |
| 53%       | of China's semiconductor exports were memory chips in Dec 2025.                                                         |



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# 2026: Steady, but AI & the Hawks are Circling (Software)

June 3, 2026

**Over the last year, we have received a healthy dose of macro tailwinds.** The rapid buildout of AI infrastructure, Fed & ECB rate cuts (with inflation still north of 2%), the announcement and enactment of German fiscal stimulus, and record high equity prices and near-record tight credit spreads have helped to boost risk sentiment.

**Yet despite this, the credit default picture is far more mixed than appreciated.** Yes, US spec-grade default rates did decline from a peak of 5.1% last July to 4% today, as cyclical risks remained muted, but current US default rates are well above 20year median levels of 2.9%, with CCC defaults rising over the past year. In Europe, the lack of AI tailwinds meant defaults actually increased from 2.1% to 3.8% in March & 4.6% in April, easily above 20 year median levels, with elevated defaults in cyclical sectors and in the challenged economies of France/UK/Germany offsetting strength in Southern Europe.

**And this is the main message of our piece:** It is true we aren't expecting a major global default cycle to emerge. But equally, don't let the aggregate data and market prices make you think dispersion is going to disappear. **US & European default rates should remain above long-term averages through Q2'27**, with low recovery rates for those names which default, and a continued presence of distressed exchanges highlighting that many capital structures remain overleveraged, especially now as central banks shift more hawkishly.

**In the US**, we expect spec-grade default rates to slow from 4% today to 3.6% by YE'26, and then to climb slowly again to 4% by Q2'27. In essence, this is a message that the K-shaped US economy still lives. As we have written repeatedly since 2024, the US economy is effectively a "fire & ice" US economy. Perhaps today, we can change that label to an "AI & ice" US economy, given how narrow we believe the drivers of US growth to be. **On the positive side, US artificial intelligence tailwinds** feed back into very strong US corporate profits and a wealth effect that supports the high-income US consumer, and this is a major reason why our US credit-based recession model is only forecasting a 12% chance of a US downturn through Q1'27. It is very hard to see a spike in US defaults with overall US growth so solid.

**But equally, a look at the "typical" US business today shows margin compression and demand expectations at near the worst rate going back to 2022.** A more micro look at \$HY coupons vs. \$HY revenue growth rates & \$HY debt to EV ratios tell a similar story. Default rates may not be alarming, but they are likely to stay more elevated than today's current spreads would imply.

**And the tailwinds of AI adoption for aggregate growth are likely to be headwinds for spec-grade credit defaults through tighter financial conditions.** This will eventually play itself out through two channels. The first will be more hawkish Fed policy and the second will be meaningful downgrades of US software names into CCC buckets, where investors have already

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demonstrated their impatience to provide flexibility to this rating cohort over the last few years.

**The timing of this risk is admittedly uncertain, but it is growing more likely that a scenario could emerge in early 2027** where tangible AI disruption of software business models begins to damage software revenue and customer retention rates, at the same time Fed hikes emerge to eat up limited software free cash flow. This risk is getting priced in leveraged software names today, with 30% of US Software Lev Loans already trading with an implied CCC rating (vs. only 10% from the rating agencies). But a raft of software downgrades will have broader spillovers than appreciated. A quick spate of software downgrades is enough to push CCC buckets in US lev loan indices to 7.5%+, even assuming no broader sector risk. And further software stress is likely to increase liquidity pressure on BDCs, that could force the sale of leveraged loans and eventually force sizeable private credit loan markdowns. **With 80% of all \$B rated debt financed itself in either the Leveraged Loan or Private Credit market, this is clearly our biggest risk to monitor.**

**In Europe**, we forecast spec-grade defaults to decline from April's very high 4.6%, but to settle at 3.6% by YE'26 & 3.9% by Q2'27. Europe doesn't have a K-shaped economy, but a generally weak one that is getting worse. Our European credit-based recession model is now somewhat above average, as banks tighten lending standards on borrowers at the same time profit growth is sluggish. But this isn't the primary reason we are turning more cautious on European defaults relative to last year. The biggest change is that the ECB is now compounding the weak Eurozone growth with at least two rate hikes likely in 2026.

**This flow-through of tighter ECB policy into European spec-grade credit should make an impact.** B rated European bond and loan maturity walls are well above historical averages over the next 2-3 years, with 37% of B-rated European HY bond issuers today already free cash flow negative. This would rise to 44% if total funding costs rise 50bps; a plausible scenario in a world where the ECB is now set to hike 50bps, while coupons on maturing bonds 2-3 years out, are 70 to 170bps below current market yields. Leveraged European businesses need lower rates before upcoming maturities, but it is now hard to see this materializing.

In the rest of the piece, we discuss which US & European sectors are most at risk of defaults, while assessing which rating buckets are appropriately or inappropriately priced for the risks ahead.



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# Summary Bullets

## Default Study: Steady, but AI & the Hawks are Circling (Software)

- **The main message of our piece:** It is true we aren't expecting a major global default cycle to emerge. But equally, don't let the aggregate data and market prices make you think dispersion is going to disappear. **US & European default rates should remain above long-term averages through Q2'27**, with continued pressure on global CCCs, and low recovery rates for those names which default.
- **In the US**, we expect spec-grade default rates to slow from 4% today to 3.6% by YE'26, and then to climb slowly again to 4% by Q2'27. In essence, this is a message that the K-shaped US economy still lives. Robust AI tailwinds will prevent a major spike in defaults, but businesses flagging margin compression & demand weakness ahead plus the prospect for further increases in \$HY bond yields will prevent defaults from falling much as well.
- **Software downgrades are the largest risk for US spec-grade credit today.** If AI disruption shows up in weaker software fundamentals (rather than just lower multiples), software downgrades will fill up CCC buckets in US Lev Loan indices and force through meaningful private credit loan markdowns. With 80% of all B-rated debt in US spec-grade financed via private credit or leveraged loans, this risk is material, but timing of it is far from trivial.
- **In Europe**, we forecast spec-grade defaults to decline from April's very high 4.6%, but to settle at 3.6% by YE'26 & 3.9% by Q2'27. Europe doesn't have a K-shaped economy, but a generally weak one that is getting worse, with cyclical defaults rising, and upward pressure placed on defaults from sluggish growth in France, the UK & Germany. But a shift from expecting ECB cuts to ECB hikes is the key reason we are shifting more cautiously on Europe. 44% of European B rated HY bond issuers will be in negative free cash flow if total funding costs rise 50bps; a plausible scenario in a world where the ECB is set to hike 50bps, while coupons on maturing bonds 2-3 years out, are 70 to 170bps below current market yields.
- **Which US sectors could be most at risk for defaults?** The \$HY sectors with the highest leverage currently are Transports, Media, and Telecoms. Telecoms are well flagged, with a high share of current distressed debt. Consumer Goods and Healthcare leverage is high in their respective histories and are likely to come under further pressure even in a mild shock. If the ongoing commodity shock impacts EBITDA margins more substantially and rising rates cause multiples to re-rate lower, Cyclical sectors such as Leisure, Transports, Retail, Tech, Capital Goods will come under greater pressure.

## What's Priced into Credit?

- **Distressed debt risk is most concentrated in USD Spec-Grade markets**, particularly within Technology/Software and Telecom sectors. Over a third of distressed \$HY debt is in Telecoms, with Technology the second largest risk at just under a sixth of distressed bonds. \$Leveraged Loan distressed debt is dominated by Software (nearly two-fifths of distressed debt, three times its overall index weight), while **risk in €HY and €LL is more dispersed across both Cyclical and Non-Cyclical sectors**. Wireless, Healthcare, and Non-Electric Utilities lead among Non-Cyclicals, along with significant debt levels in Cyclical sectors like Consumer Cyc Services, Chemicals, and Packaging. In €LL, Trading Companies/Distributors and Healthcare each hold a 20% share of distressed loans, with Real Estate and Software also



notable contributors.

- **\$HY and \$LL distress ratios started to diverge in October of last year** as investors became more wary of private credit risks. The level of distressed \$LL issuers rose as AI-disruption became a theme early this year. Through all of this, \$HY distress ratios have remained relatively resilient with more imminent risks priced into the loans market. €Spec-Grade distress ratios are elevated compared to post-European Debt Crisis lows, reflecting an expectation for moderate defaults moving forward.
- IG rating bands, as expected, continue to compensate buy-and-hold investors for all observed historic default periods. **Current BB & B spreads would compensate investors** for default risk in most time periods historically outside of protracted recessions. \$CCCs are unattractive under any scenario other than among the best (lowest) outlooks for defaults seen in history with strong recovery rates.
- Assuming a 40% recovery rate, **current HY index spreads would not have compensated investors in 11 of the previous 40 cohorts**, which are all grouped around '85-'90 and the dot-com bubble burst. Even at a low recovery rate, BB investors would be compensated in nearly all cohorts, even if recovery rates were lower the average. For a buy-and-hold investor, current CCC spreads only compensate bond holders in very low default environments with strong recovery rates.

*Data as of COB 05/28/2026*



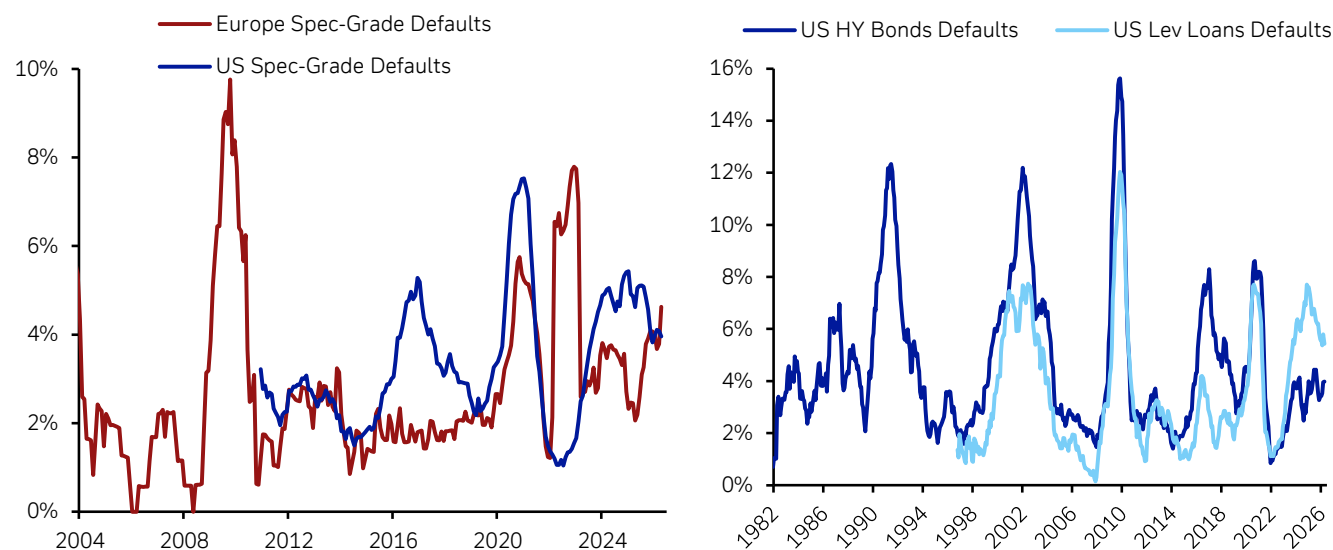


# US spec-grade default rates

## Better than expected, but no return to a low default world

US spec-grade default rates have made a steady, albeit unspectacular, move lower since we published our 2025 default study. Trailing 12m issuer-weighted US speculative-grade default rates (including distressed exchanges) are 4%, near the lows seen since 2023, and down from a peak rate of 5.1% reached last July. Nearly all of this improvement has come from the \$-Lev Loan market, where default rates have dropped 120bps from last July. By contrast, \$HY bond default rates have been far steadier, only dropping around 20bps from last July, and climbing again in recent months ([Figure 1](#)).

Figure 1: \$-Speculative-grade, €-Speculative-grade, \$HY and \$-LL default rates (all include distressed exchanges, trailing 12m)



Source : Deutsche Bank, Moody's, S&P

The drop in US spec-grade default rates belies levels that are still fairly elevated in historical context. Case in point: The median & average US spec-grade default rate over the last 20 years is 2.9% & 3.6% respectively, vs. 4% today. Hence, US credit stress is actually higher than what many investors have grown accustomed to, especially in CCC-rated bonds & loans, where little leeway is being given for over-leveraged capital structures. But equally, default rates have fallen further than we predicted in our 2025 study, with our projection of 4.8% by Q2'26 proving too pessimistic.

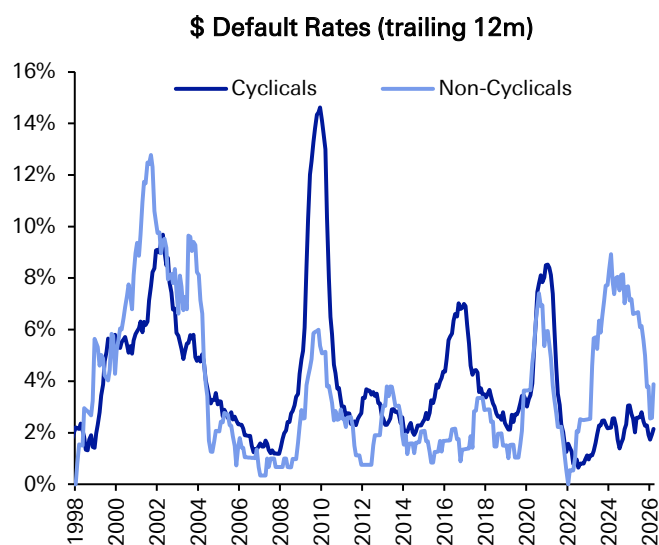
Over the last year, US defaults have been nudged lower by a stronger US economy, led by continued AI tailwinds, but also an accommodating Federal Reserve, and certainly a Fed that was more accommodating than we had expected. In our view, a world of above-target inflation & severe policy uncertainty (due to US tariffs) meant the Fed would not provide rate cuts, before job cuts. However, the reality was different. The Fed cut rates 75bps despite US core PCE running at a steady 2.8% Y/Y



pace and with little tangible realisation of meaningful job layoffs.

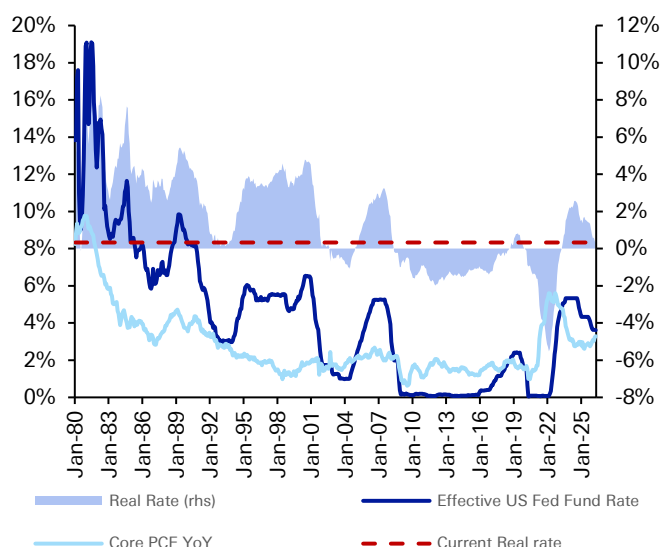
The result was certainly a better mix of cyclical & non-cyclical default rates than we anticipated. Fed insurance cuts and lower overall yields, plus past restructurings in the Telecom & Healthcare sector, allowed non-cyclical default rates to drop materially over the last year, while cyclical defaults remained unchanged as the US unemployment rate remained surprisingly steady in the current “low-hire, low-fire” business environment ([Figure 2](#)).

Figure 2: USD Non-Cyclical defaults slowed over the last year while Cyclical defaults were steady



Source : Deutsche Bank, S&P  
\*issuer-weighted

Figure 3: US real rates moved lower over the last year, as the Fed did cut before job cuts

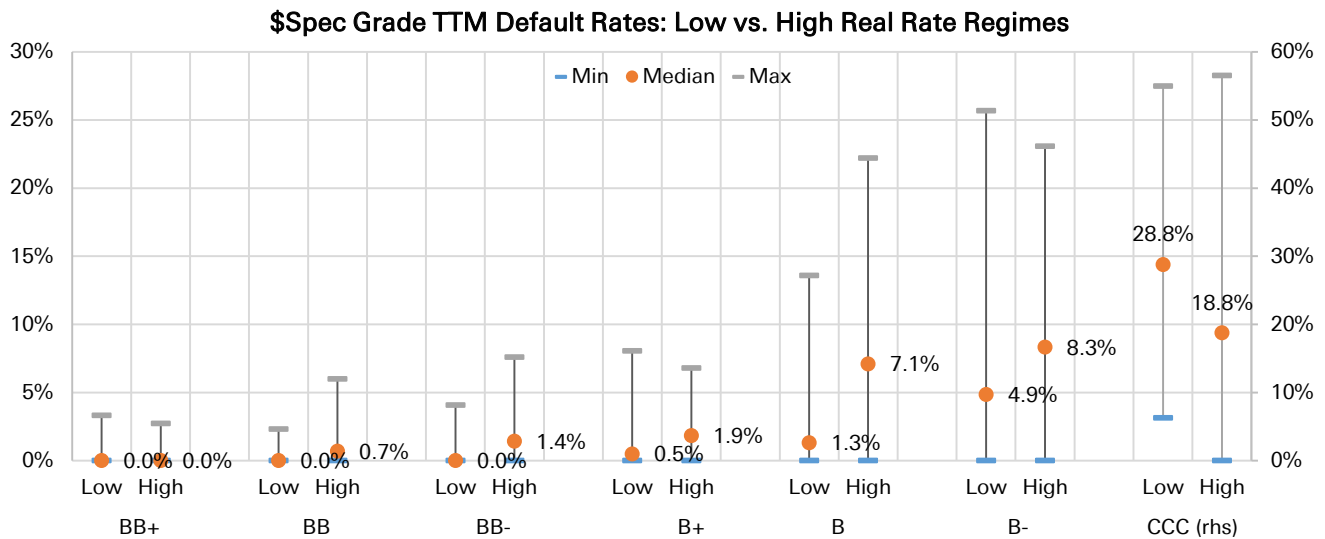


Source : Deutsche Bank, Bloomberg Finance LP

In addition, real US interest rates continued their decline seen over the last 2 years ([Figure 3](#)). And as we wrote in our 2024 default study, the trajectory of real interest rates is critical for the trajectory of future default rates, particularly for B2 & B3 rated bonds and loans. In [Figure 4](#) below, we produce a similar exercise, dividing up US economic history into low and high real rate regimes, as measured by months in which the difference between the effective Federal Funds Rate and Core Y/Y PCE is in its bottom third or top third percentile, since 1980. As [Figure 4](#) illustrates, the median B2 & B3-rated annual default rate is far more elevated in a high real rate (7.1% & 8.3%) vs. a low real-rate regime (1.3% & 4.9%). And last year’s data corroborates this trend. US B-rated default rates were well below recent averages, and certainly far closer to a low real-rate than high real-rate world (Fig 5). Simply put, Fed policy was a tailwind for Bs last year.



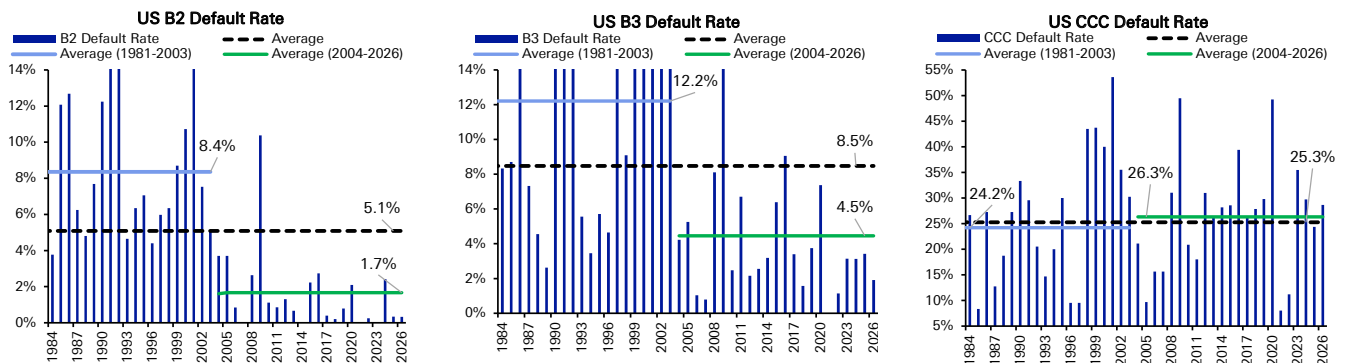
Figure 4: The Fed's next move matters. Real rates make a big difference in B2 & B3 default rate trends.



Source : Deutsche Bank, Bloomberg Finance LP, S&P, \$-spec grade default rates are available from Dec'81 onwards. We define the High (Low) real rate regime as the months in which the effective Federal Funds rate - core Y/Y PCE is in the top (bottom) 1/3 of its distribution since 1980.

Note however that real rates have a negligible impact on CCC default rates, both historically, and also last year, when US CCC default rates were quite elevated, and in line with historical averages. This is certainly a cautionary tale for future US default trends. Easier Fed policy and/or macro tailwinds from a transformative AI buildout will not prevent overleveraged capital structures from restructuring in secularly challenged industries. We have already experienced this directly in sectors such as US Telecom & US Healthcare in recent years. But one can apply this framework to US Software, especially considering the market is pricing 30% of US Software Lev Loans today with an implied CCC rating (more on this later).

Figure 5: The Fed cutting with inflation at 2.8% and limited job cuts kept B default rates at very low levels. But CCC default rates remain elevated, a cautionary tale for leveraged issuers that run into financial trouble ahead.



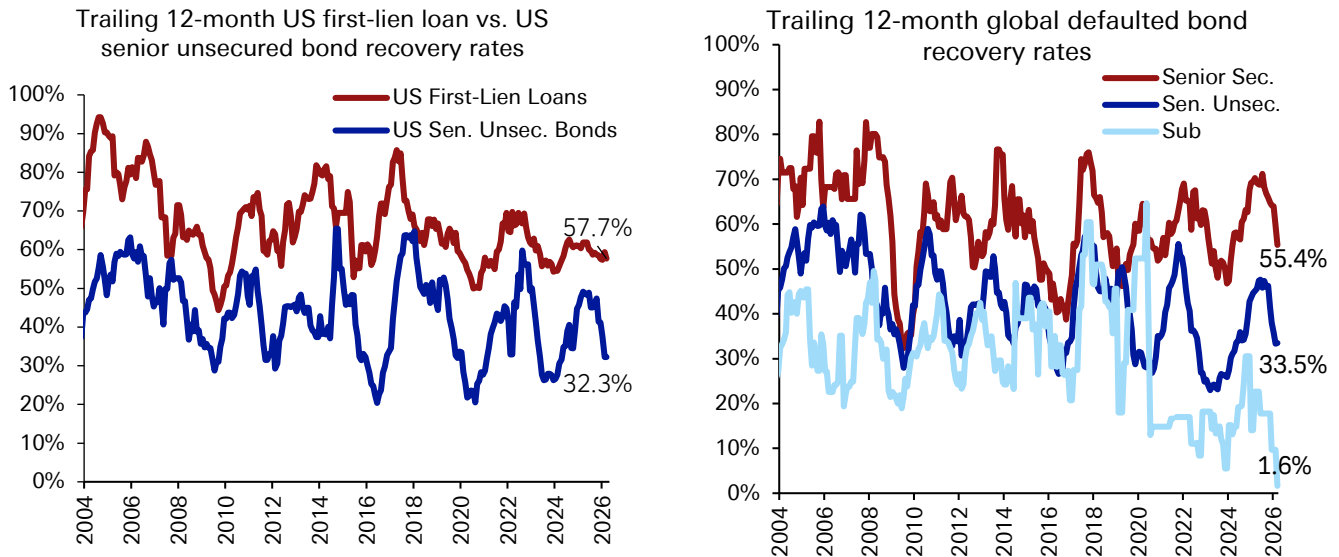
Source : Deutsche Bank, S&P

Despite rate cuts and a drop in US defaults, our views on lower recoveries & the continued prevalence of distressed exchanged did play out. One can see in Figure 6 that trailing 12m US Lev Loan recovery rates are only around 58%, while US HY senior unsecured bond recovery rates are stuck at a very low 32%. The picture is similar on a global basis, and when considering subordinated spec-grade debt as



well, where recovery rates are near 2% over the last year. Overleveraged capital structures, with often little subordinated debt cushions, and often high levels of intangible assets as collateral are unsurprisingly seeing poor recovery rates.

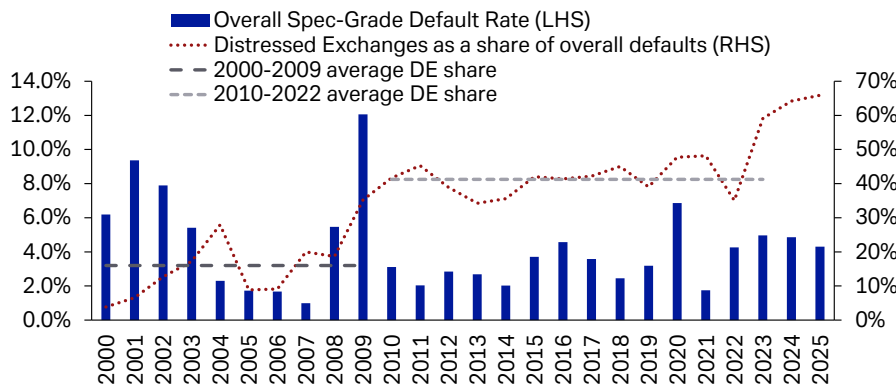
Figure 6: Default rates have been less severe than we expected. But recovery rates have been trending lower.



Source : Deutsche Bank, Moody's  
\*Measured by debt prices which are taken immediately prior to distressed exchanges or 30 days after non-distressed exchange defaults

On the distressed exchange point, while we have seen some slowdown in the monthly series we highlight in our Global Monthly Default Monitor, the overall prevalence of distressed exchanges remains. Distressed exchanges are an alternative to outright defaults or bankruptcies, in which creditors agree to restructure to continue receiving interest payments at the highest recovery rate possible, while the owners generally continue to retain their equity upside in the firm. In looking at data from Moody's, distressed exchanges made up 68% of overall global spec-grade defaults last year after being just under 60% of defaults in 2023. The post-GFC average until 2022 is just over 40% of defaults, while prior to 2009 LME activity was relatively rare with an annual average of around 16% (Figure 7).

Figure 7: Distressed exchanges made up the vast majority of 2025 USD defaults



Source : Deutsche Bank, Moody's

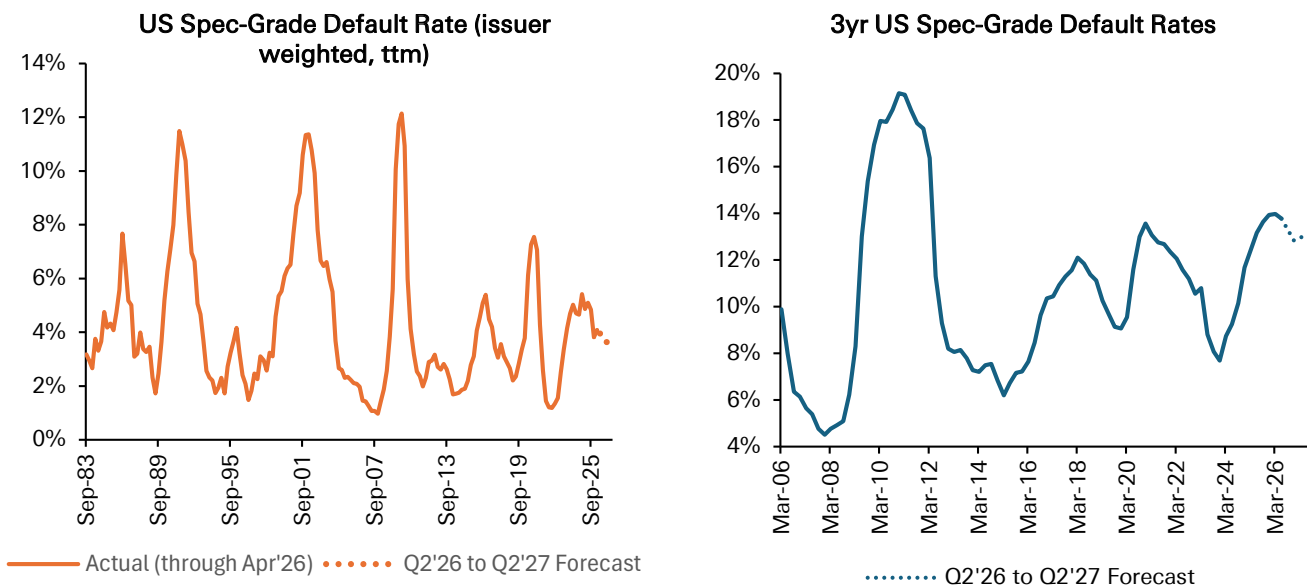




### What is the future outlook for US defaults?

We aren't forecasting a major US default cycle to emerge by the middle of 2027. But equally, the grind lower in defaults seen over the last year should abate; a return to say 2% defaults that were seen in past exuberant market cycles such as 2007, 2014 & 2021 is highly unlikely. Our forecast is for US spec-grade default rates to slow from 4% today to 3.6% by YE'26, and then to climb slowly again to 4% by Q2'27. If we are correct, the cumulative 3yr US spec-grade default rate will still be near some of the highest levels seen since the aftermath of the GFC ([Figure 8](#)).

Figure 8: US spec-grade defaults should fall from 4.0% to 3.6% by YE'26, and then slowly climb to 4.0% by Q2'27. We don't see a broad default cycle. But we also don't see default rates collapsing, given higher rates and pockets of leverage. This is why 3yr cumulative default rates will still remain elevated.

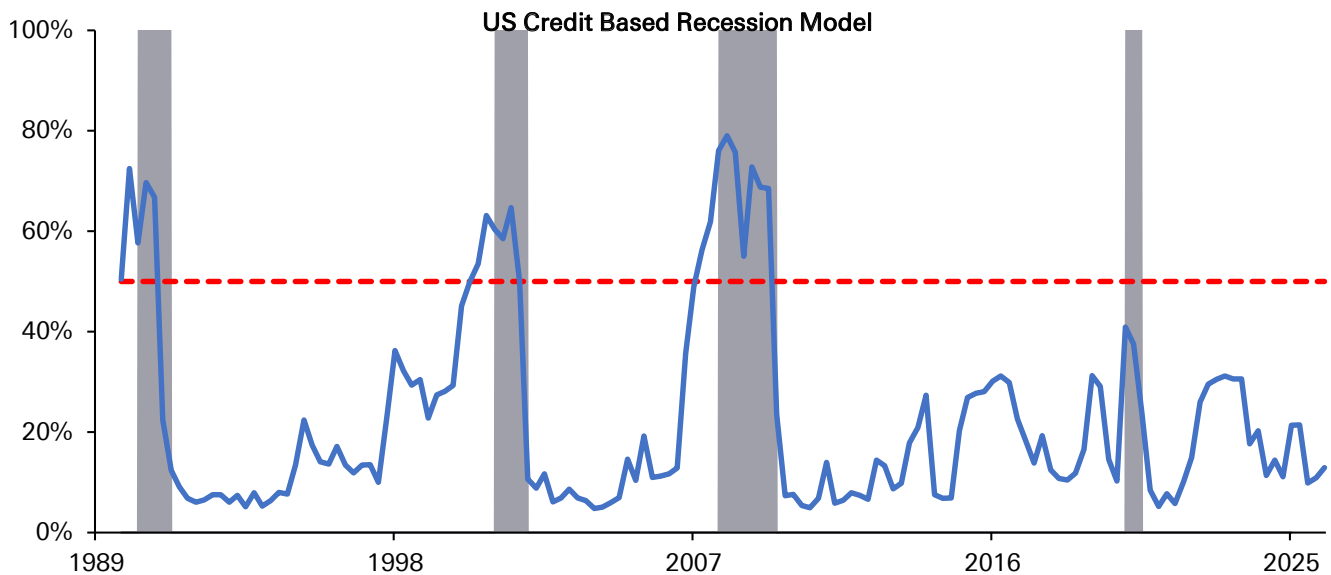


Source : Deutsche Bank, Bloomberg Finance LP, S&P

In essence, this is a message that **the K-shaped US economy still lives**, and that US credit dispersion will persist. As we have written repeatedly since 2024, the US economy is effectively a "fire & ice" US economy. Perhaps today, we can change that label to an "AI & ice" US economy, given how narrow we believe the drivers of US growth to be. On the positive side, US artificial intelligence tailwinds feed back into very strong US corporate profits and a wealth effect that supports the high-income US consumer, and this is a major reason why our US credit-based recession model is still only forecasting a 12% chance of a US downturn through Q1'27. It is very hard to see a spike in US defaults with overall US growth so solid ([Figure 9](#)).



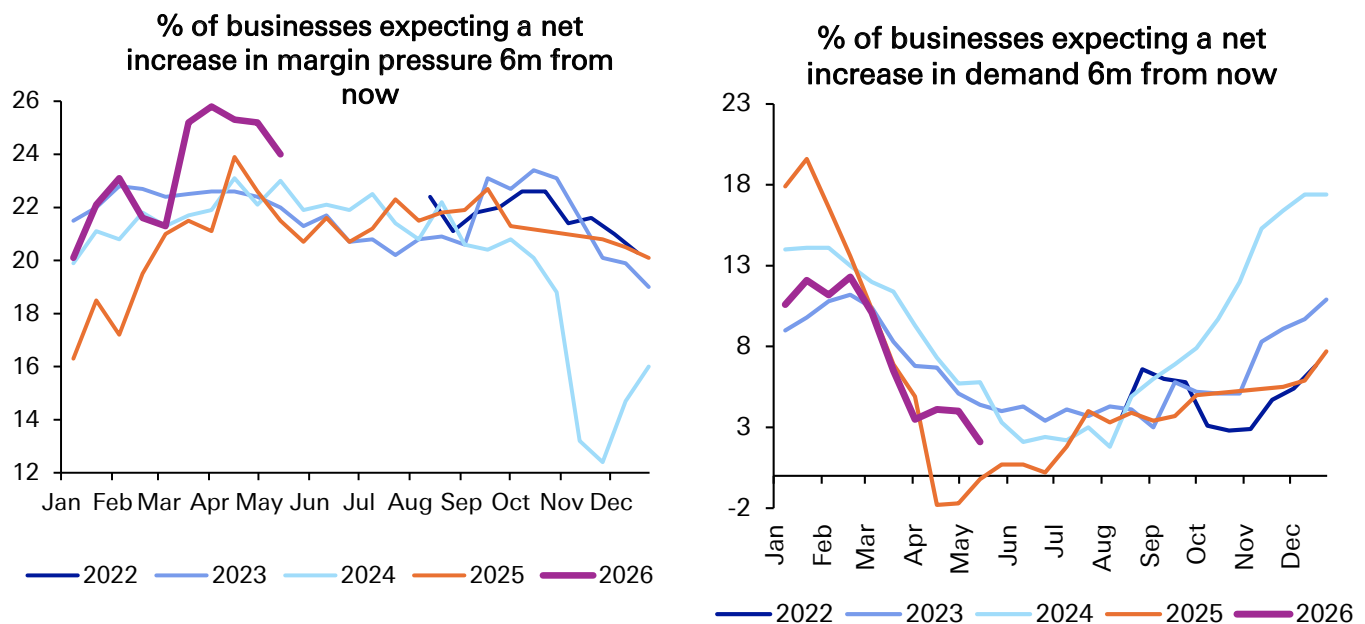
Figure 9: US cycle risks remain low, given robust corporate profit growth in particular.



Source : Deutsche Bank, Bloomberg Finance LP, Haver, "Our US & EU credit indicators take an average of 0-12m forward recession probabilities across the following 4 indicators: 1) Y-Y change in GDP-based corporate leverage, 2) Y-Y change in GDP-based corporate interest coverage, 3) Y-Y change in US bank loan 30-89 day past due rates or Eurozone bank NPL rates, 4) SLOS Survey: % of banks tightening standards on small firm C&I loans or ECB BLS survey: % of banks tightening standards across business/mortgage/consumer loans.

But equally, a look at the median US business, as proxied by the US Census Business Trends & Outlook Survey, paints a far different picture. US businesses today are forecasting future margin compression and future demand expectations at near the worst rate in 5 years (Figure 10). This would certainly imply higher \$HY & \$Lev Loan defaults, than what the aggregate macroeconomic data would imply.

Figure 10: Aggregate economic data looks strong, but a look at the "typical" US business shows considerable worry over future margin pressure and future demand trends. The K-shaped economy still lives.

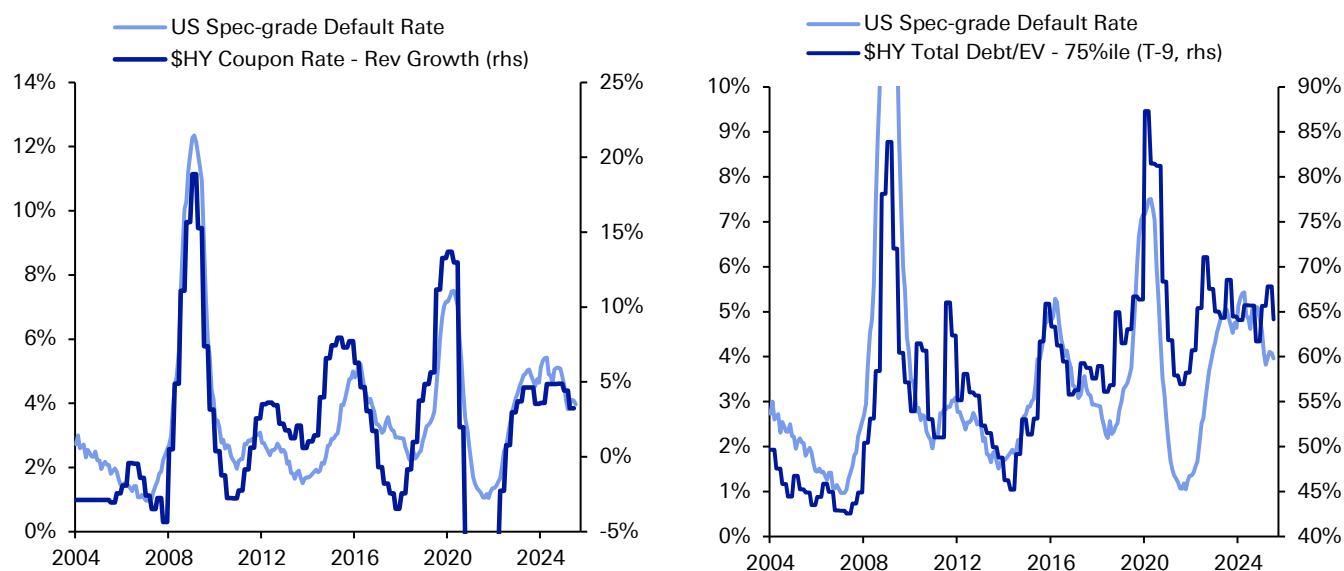


Source : Deutsche Bank, Business Trends & Outlook Survey



And a couple of micro overlays also suggest US spec-grade defaults will remain steady, but more elevated than what current spreads imply. The differential between \$HY index coupons & \$HY revenue growth rates has had a very strong relationship with contemporaneous defaults. Conceptually, if corporate debt service payments are rising faster than corporate income, it is harder for a company to service its debt. Currently, the \$HY index coupon is 6.6% vs. a median company revenue growth rate of 3.4%, suggesting default rates will remain elevated, but should settle around 4.0%. Similarly, \$HY corporate debt to EV ratios have strongly tracked future defaults, 9 months forward. This logic follows a Merton-Model style framework, where a sharp decline in equity valuations can signal the value of a firm's assets is at risk of declining below the value of a firm's debt, creating incentives for corporate owners/sponsors to restructure, to the detriment of creditors. In [Figure 11](#), we compare the 75%ile of \$HY debt to EV ratios vs. default rates, focusing on the 75%ile to capture the most leveraged public firms in the \$HY universe. This analysis is also consistent with US spec-grade default rates settling around 4.0% by year-end.

Figure 11: \$HY coupon - revenue growth & \$HY debt to EV ratios are largely consistent with our macro models forecasting 4% US spec-grade defaults over the next 9 months. Again, fundamentals do not suggest a major default cycle, but nor do they suggest a return to the low default rate world.



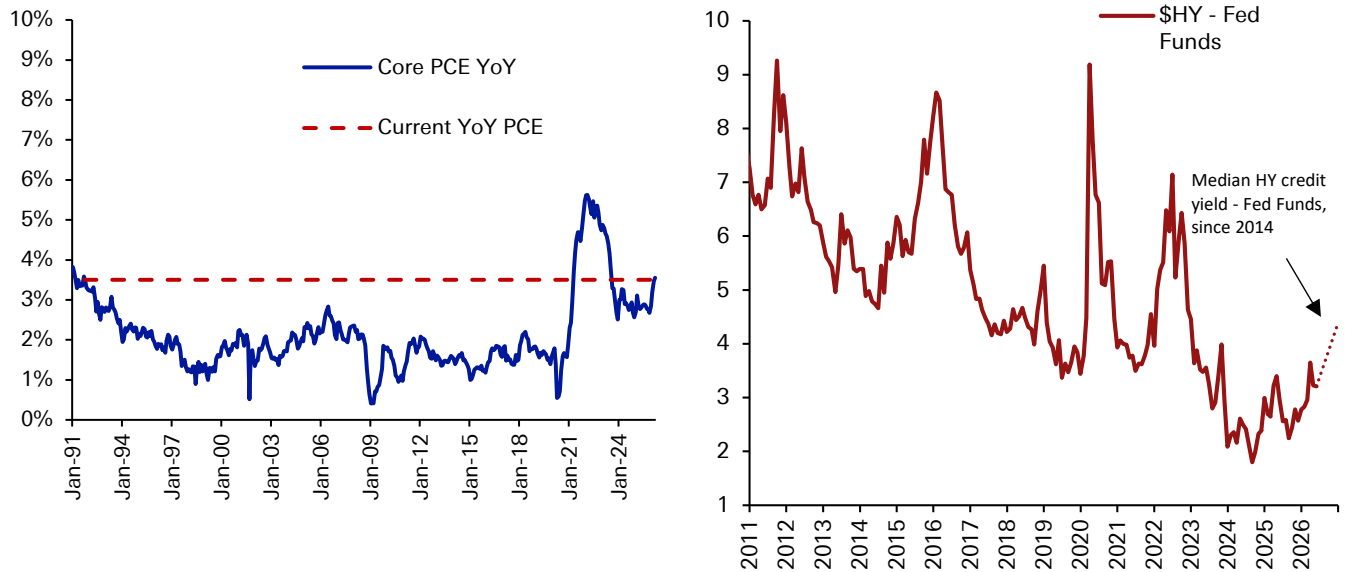
Source : Deutsche Bank, Bloomberg Finance LP, S&P

Lastly, **Fed policy is unlikely to be as accommodative** for US spec-grade issuers going forward, and the continued adoption of Artificial Intelligence is the reason why. US core PCE inflation is still running around a 3.5% Y/Y pace, which obviously reduces the odds of a Fed easing bias on its own. This is important considering overall \$HY bond yields still trade 120bps too low relative to the current Fed Funds rate on an historical basis ([Figure 12](#)). In the context of low recession risks + a long Fed hold, \$HY bond yields are likely to rise as US Treasury curves steepen. But even the risks of Fed hikes are starting to emerge, led by AI-associated capex and increasing memory chip shortages that are helping to keep US consumer inflation above target. The worst case scenario for US spec-grade credit markets and default rates would be Fed rate hikes starting at year-end 2026 or early 2027, at the same time that AI adoption is more tangibly disrupting the business model of floating-rate



software issuers in the Lev Loan & Private Credit markets. This latter scenario is not in our base case, as we expect the Fed to resist rate hikes for as long as possible, but it is certainly the largest risk in our view, and one we explore more fully later in this piece.

Figure 12: US core inflation is well above target, and \$HY almost looks like it is priced for Fed cuts (rather than hikes), with \$HY bond yields currently trading 120bps expensive to the Fed Funds rate, since 2014.



Source : Deutsche Bank, Bloomberg Finance LP





# European spec-grade default rates

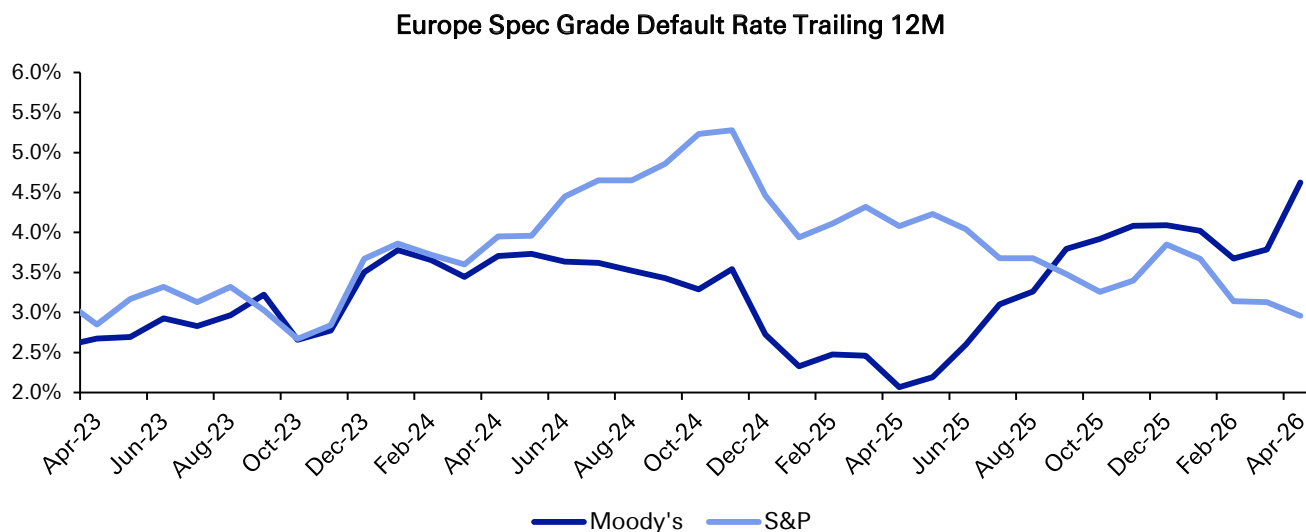
## Surprise increase in defaults signals vulnerability to ECB hikes.

In contrast to the US, European spec-grade default rates have been climbing fairly aggressively over the last year. Moody's European spec-grade defaults have increased from 2.1% last year to 3.8% in March and 4.6% in April, after a particularly elevated month of April credit events that was the highest since Dec'23. European corporate default rates are now well above historical levels, with the median & average spec-grade default rate at only 2.3% & 2.9% over the past 20 years.

Our forecast last year for European default rates to stay stable, with levels around 2.3% by Q2'27, proved to be far too optimistic. What happened in Europe to push default rates so much higher?

The first item to note is that smaller sample sizes in Europe can make a large difference, when comparing default rates between different rating agencies. For example, S&P European spec-grade default rates have actually been declining gradually to around 3% in recent months ([Figure 13](#))

Figure 13: European spec-grade default rates are diverging between Moody's & S&P



Source : Deutsche Bank, S&P, Moody's

However, this is not necessarily a signal that European default rates will converge lower from here. On the contrary, one can make an argument that a higher Moody's default rate might be a leading signal for a higher future S&P default rate in the coming months. In our view, a higher Moody's European default rate is reflecting the fact that 1) Moody's takes a more conservative view than S&P with respect to what constitutes a credit default & 2) most defaults have been in the form of distressed exchanges, which Moody's is simply faster to recognize than S&P is.

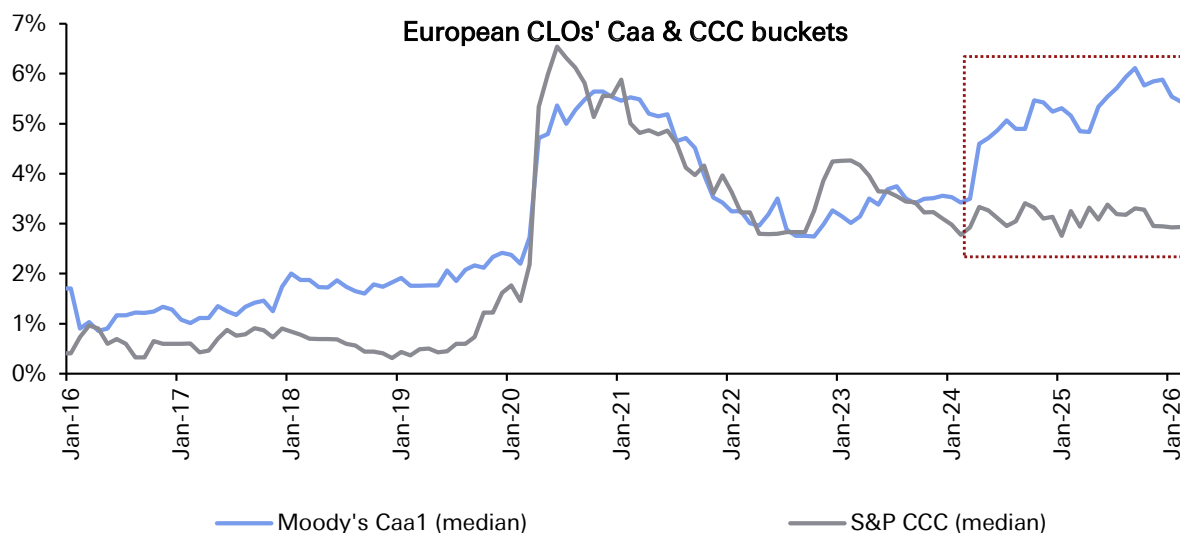


On the former, we can see from our past work on European CLO CCC buckets, that Moody's is the more conservative agency in rating spec-grade bonds & loans ([Figure 14](#)). The median European CLO has a CCC bucket of 5.4% as rated by Moody's, but only 2.9% as rated by S&P. This reflects the fact that Moody's often rates securities on an expected loss basis (taking into account both the probability of default and future recovery rates), while S&P rates securities more on a probability of default basis.

In addition, the prevalence of distressed exchanges is driving a wedge between Moody's and S&P default as well. Moody's will often classify any distressed exchange as a default if 1) the lender takes a haircut & 2) the intent of the distressed exchange is to help the borrower avoid a future default. S&P by contrast will offer more flexibility, only classifying an exchange as a default if the haircut is sufficiently large & if a default would occur immediately, without the execution of the exchange.

Lastly, there is a simple timing element as well. Moody's will classify a distressed exchange as a default effectively from the announcement date, while S&P will only shift a security into default status after the legal exchange takes place (often 1-2 months later).

Figure 14: Moody's is generally the more conservative agency when it comes to assessing ratings & default risk in Europe, and one can see this starkly in European CLO CCC buckets today.



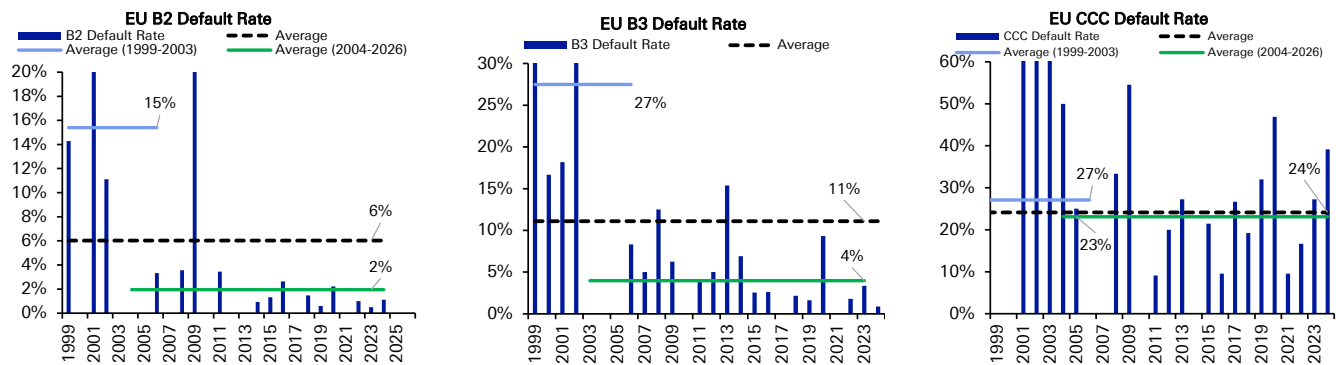
Source : Deutsche Bank, Intex, Pitchbook

There is no one answer as to which rating agency is more or less right from a conceptual standpoint. If one believes in a more benign economic scenario of low default rates and where distressed exchanges solve the problem of over-leveraged capital structures, then S&P will provide a better gauge of future credit risk. However, we have sympathy with the more conservative stance from Moody's given [Figure 6](#) already showing very weak recovery rates, even in a non-recessionary environment, coupled with the fact that many distressed exchanges are re-defaulting in future years.



Removing ourselves from the question of which rating agency has the better grip on European credit risk, we can also make some more general comments on trends in European defaults. In a similar vein to the US market, almost all of the default pressure is being generated by European CCCs, where the patience for overleveraged capital structures in challenged industries is minimal (Figure 15). ECB rate cuts last year did help to limit the damage in Bs, but this will be called further into question as the ECB looks set to hike at least twice over the rest of 2026, thanks to the fallout of the Iran war and higher energy costs.

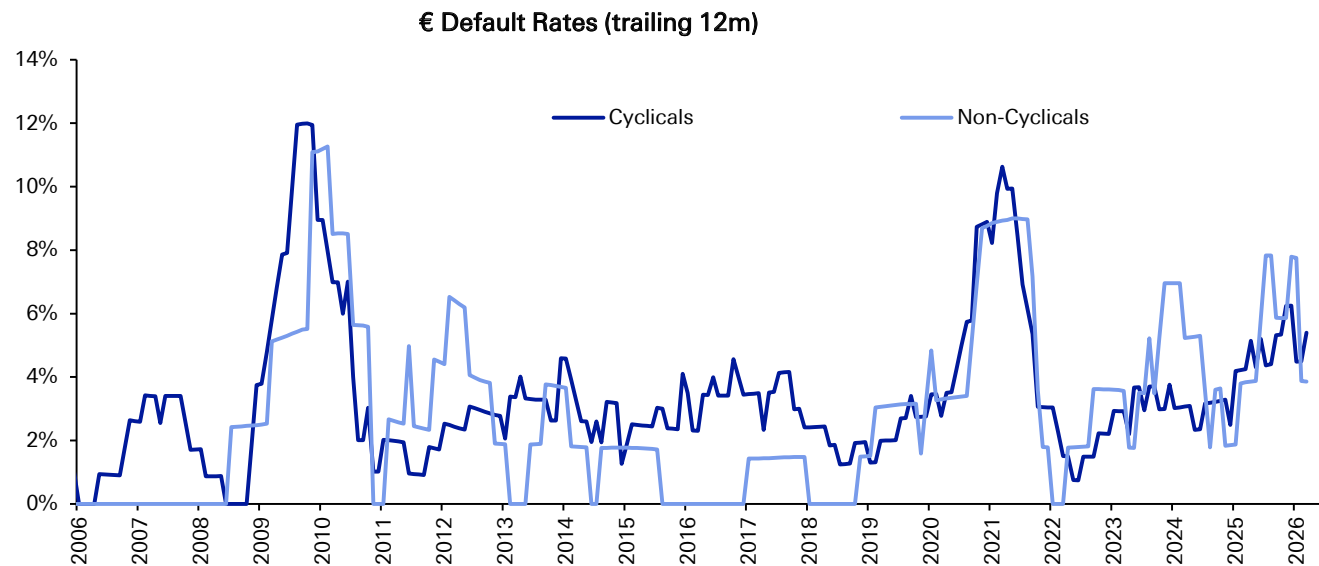
Figure 15: ECB rate cuts helped to keep B default rates limited. But even more starkly than in the US, European CCC default rates surged to above average levels. There is little patience in Europe for issuers who run into financial difficulty.



Source : Deutsche Bank, S&P

In addition, European cyclical risks remain elevated, and this is showing up in our data (Figure 16). While European non-cyclical default rates (3.9%) are similar to those of the US (3.9%), European cyclical default rates (5.4%) are now exceeding US cyclical default rates (2.1%) by a healthy margin.

Figure 16: Unlike in the US, European cyclical default rates are starting to rise

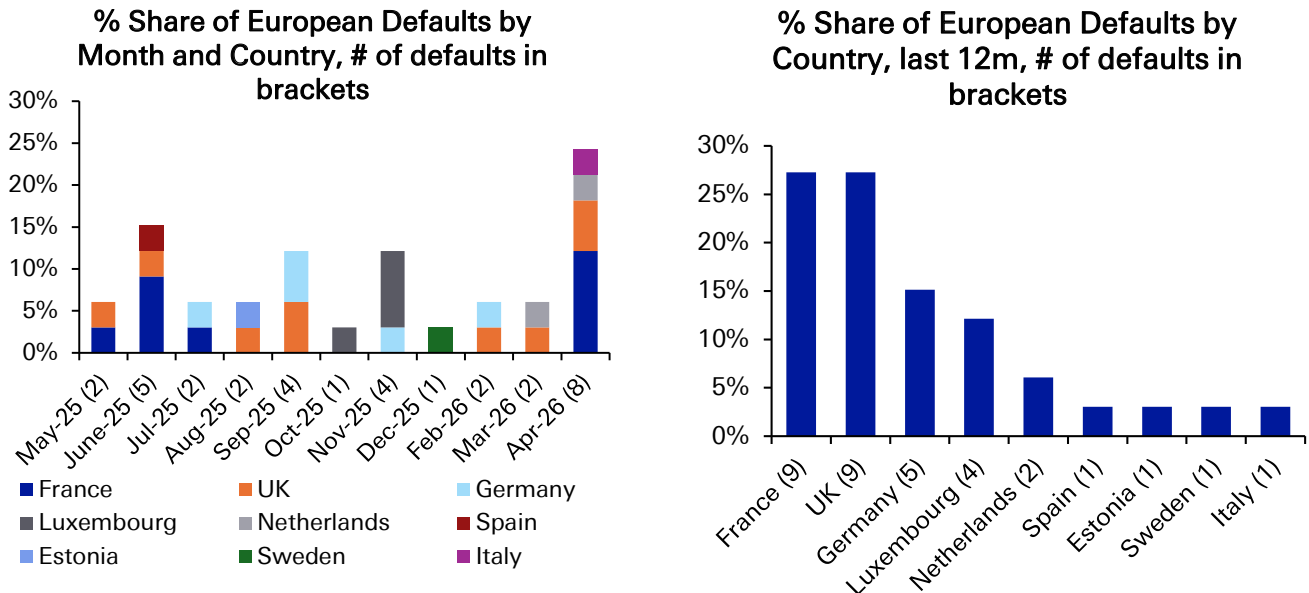


Source : Deutsche Bank, S&P



Finally, the weakest links of Europe from a country perspective are also showing up in our default rate ([Figure 17](#)). Over the last year, we have seen 9 defaults apiece from both France & the UK, 5 defaults from Germany, but only 1 apiece from Italy & Spain. This aligns with our prior work on rising bank NPLs in France & Germany, with still rapidly falling bank NPLs in Spain & Italy.

Figure 17: European defaults picked up in April, with most of the defaults over the last year coming from France, the UK & Germany.



Source : Deutsche Bank, Moody's

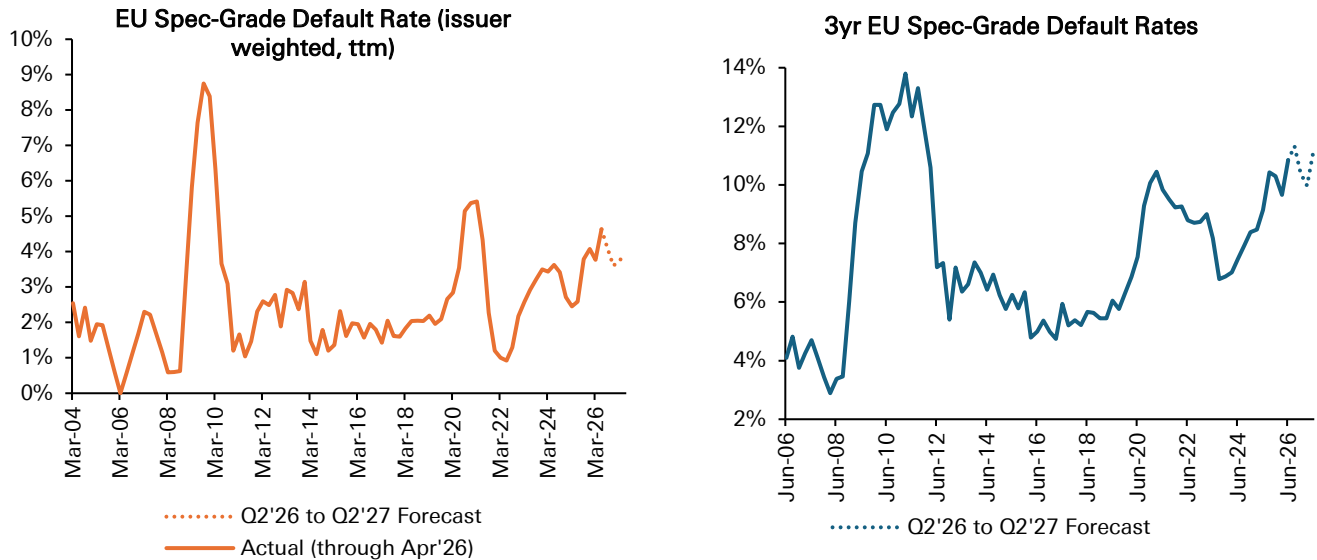
### What is the future outlook for European default rates?

A more measured pace of ECB rate hikes (June, then September) coupled with strength in Southern Europe should prevent a major spike in credit risk through the 1H'27, but default rates will remain above average, with the Iran being a major catalyst for this view. We forecast European spec-grade defaults to decline from April's very high 4.6%, but to settle at 3.6% by YE'26 & 3.9% by Q2'27. This would keep the cumulative 3 year European corporate default rates at very high levels historically ([Figure 18](#)).





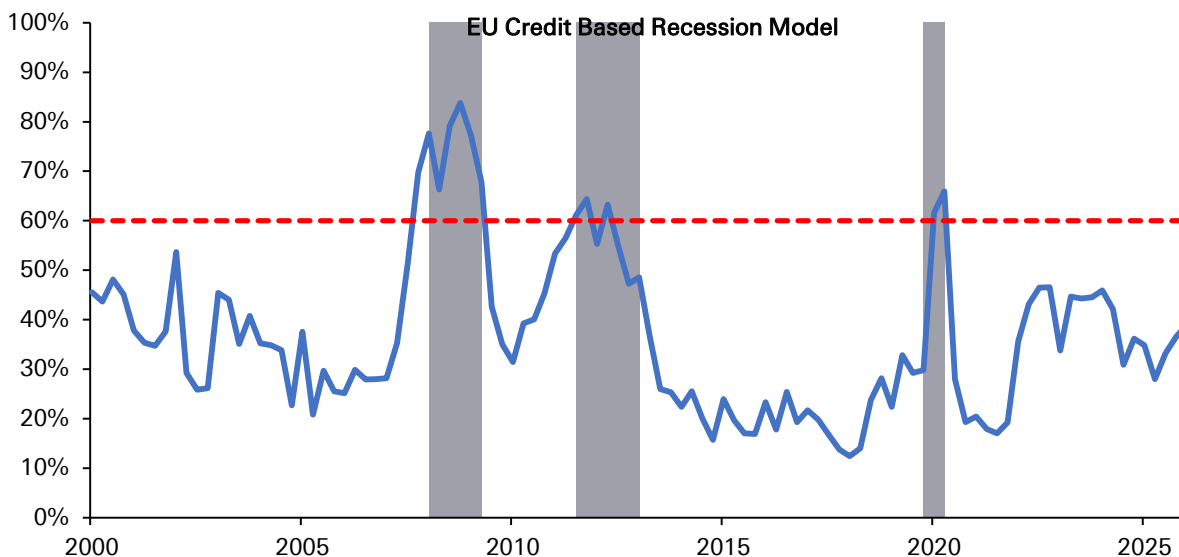
Figure 18: We forecast European spec-grade defaults to decline from April's very high 4.6%, but to settle at 3.6% by YE'26 & 3.9% by Q2'27. 3yr cumulative default rates will stay elevated.



Source : Deutsche Bank, Bloomberg Finance LP, S&P

What is the reason for our view? Firstly, our in-house European credit based recession model is far from signalling an imminent downturn, but risks are rising and are now about 0.2 standard deviations above average, with more post-war data still to be captured from our model framework (Figure 19). Unlike the US, Europe does not have an AI tailwind boosting corporate profits. And in the critical bank transmission channel, European bank lending standards are now projected to be far tighter than what is taking place in the US (Figure 20).

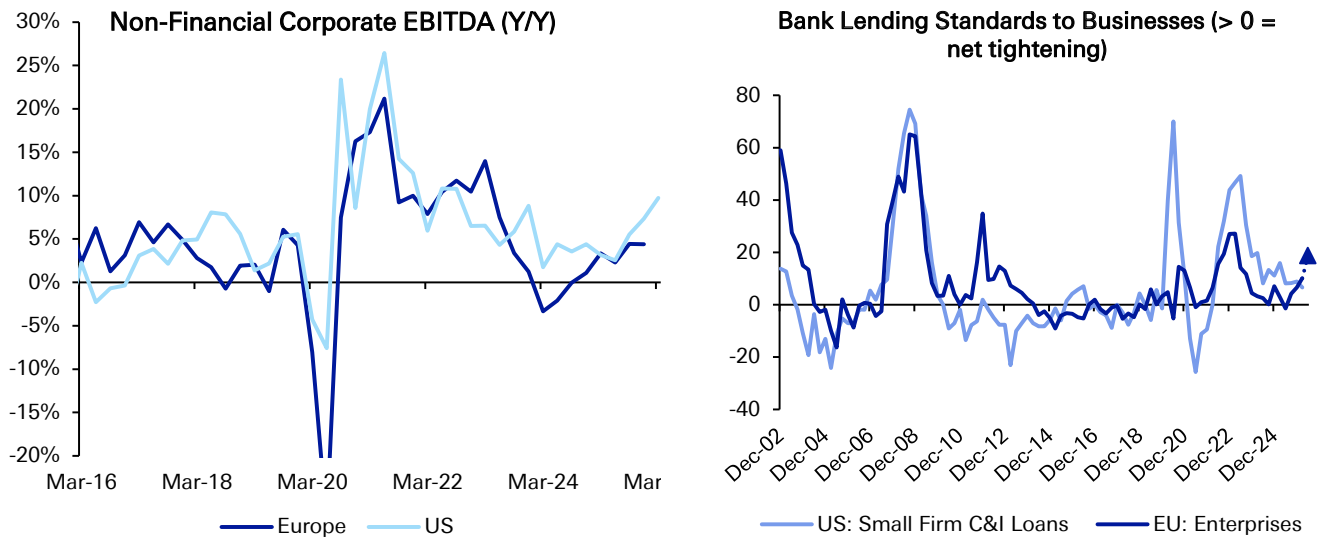
Figure 19: European cycle risks aren't alarming, but are now somewhat above average.



Source : Deutsche Bank, Bloomberg Finance LP, Haver, \*Our US & EU credit indicators take an average of 0-12m forward recession probabilities across the following 4 indicators: 1) Y-Y change in GDP-based corporate leverage, 2) Y-Y change in GDP-based corporate interest coverage, 3) Y-Y change in US bank loan 30-89 day past due rates or Eurozone bank NPL rates, 4) SLOS Survey: % of banks tightening standards on small firm C&I loans or ECB BLS survey: % of banks tightening standards across business/mortgage/consumer loans.



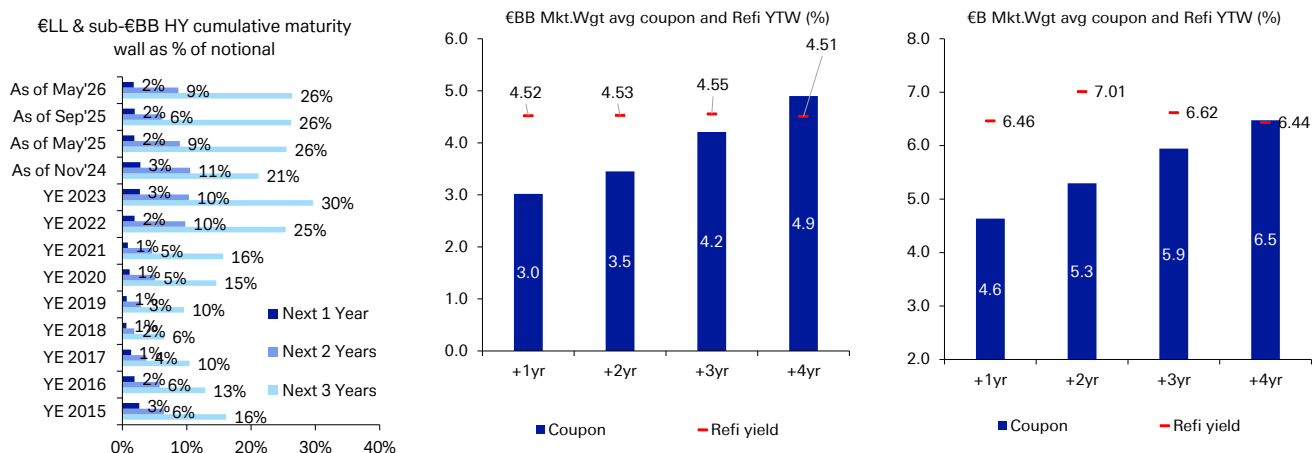
Figure 20: European corporate profits may be stalling out without the direct AI tailwinds being generated in the US. Meanwhile, European bank lending standards are now projected to tighten aggressively.



Source : Deutsche Bank, Haver, Bloomberg Finance LP

In addition, the recent shift in market expectation from ECB rate cuts to rate hikes is likely being underappreciated in terms of a market impact. We already know the maturity wall for lower-rated European spec-grade credits remains historically elevated over the next 2-3 years, especially when compared with pre-COVID levels. But in addition, B rated European companies on average would face a 70 to 170bps rise in funding costs, if these companies needed to refinance their maturing bonds in 2 to 3 years, at current market yields (Figure 21).

Figure 21: Leveraged European corporate maturity walls are far more elevated than pre-COVID levels. And the extra cost to refinance over the next 2 to 3 years will be material if the ECB isn't cutting anytime soon.



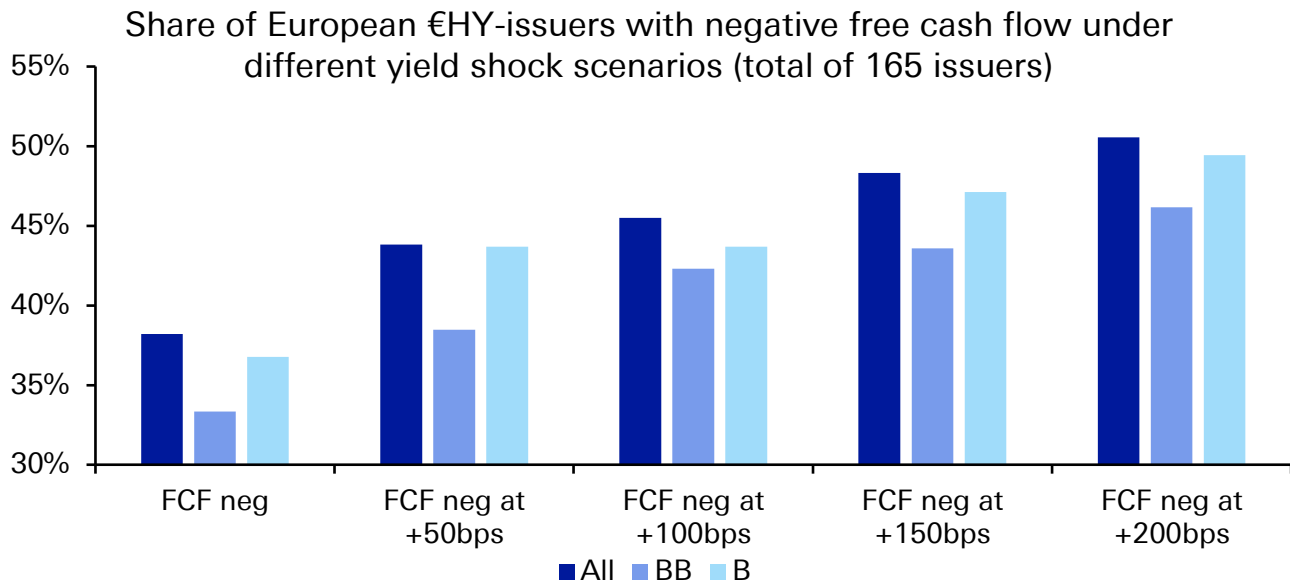
Source : Deutsche Bank, Pitchbook, Bloomberg Finance LP

This increase in funding costs is unlikely to be easily absorbed by lower-rated European HY firms. As Figure 22 illustrates below, we already face a scenario where 37% of B rated European HY issuers are currently in negative free cash flow status.



A simple 50bp increase in total funding costs would drive those percentages higher to 44%, and that is actually the biggest delta in our scenario analysis below, although clearly further increases in bond yields would drive the level of negative free cash flow to more concerning levels.

Figure 22: A simple 50bp shock in total funding costs could mean that around 45% of European B HY issuers are into negative free cash flow status



Source : Deutsche Bank, Cognitive Credit  
Only Issuers from European Countries

Put simply, a small increase in funding costs can drive meaningful differences in European cash flow generation. And this is one reason we have become more bearish on Europe in recent months. Weak growth is not the sole factor of why our stance here has shifted. European spec-grade markets could face moderately weaker growth without higher defaults, with the ECB acting as a relative tailwind through insurance rate cuts. But as it stands today, the Iran war is likely to leave Europe with both growth and central bank headwinds at the same time.



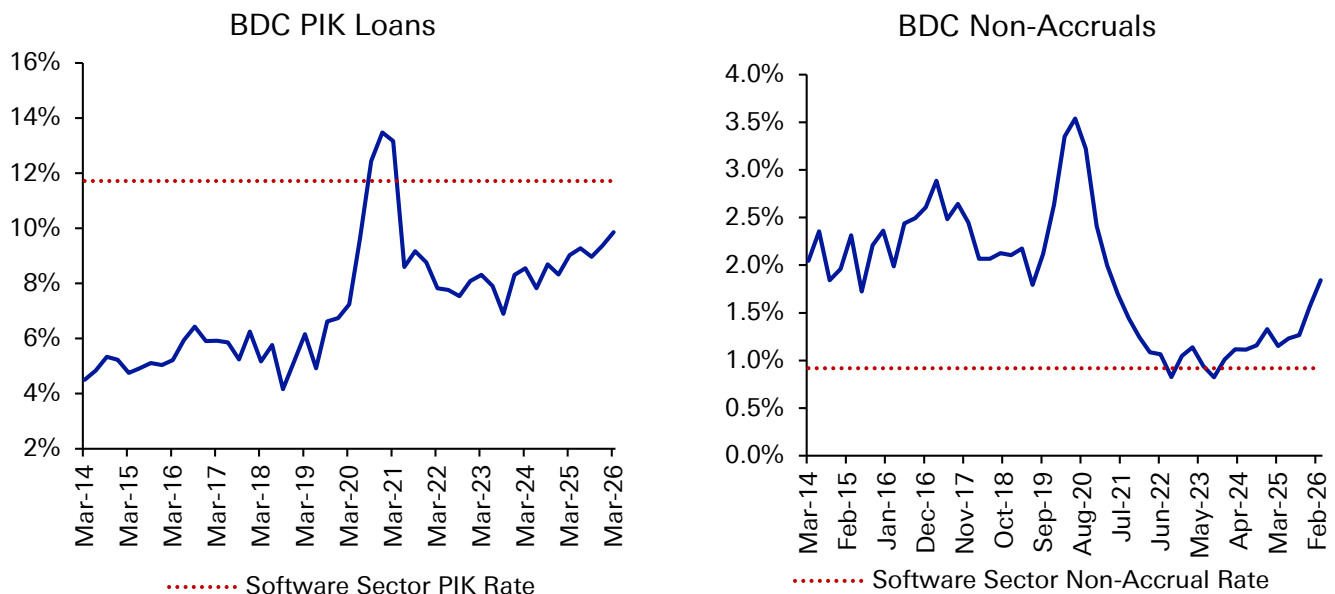
# Tactical and structural factors to watch

## A US Software glitch can materially tighten funding markets

As discussed in our abstract, the tailwinds of AI disruption for aggregate growth will likely become headwinds for spec-grade credit, through tighter financial conditions in private credit & leveraged loans. This will eventually play itself out through two channels. The first will be more hawkish Fed policy, but the second will be meaningful downgrades of US software names into CCC buckets, where investors have already demonstrated their impatience to provide flexibility to this rating cohort over the last few years. In essence, risks are rising that we could see a scenario in early 2027, where tangible AI disruption of software business models begins to damage software revenue and customer retention rates, at the same time actual Fed hikes eat up limited software free cash flow.

The implications of this scenario are not being priced. In private credit specifically, PIK interest usage (paying interest in kind, rather than in actual cash) is elevated both in aggregate and for software names, but non-accrual rates are still below averages, with plenty of room for software non-accrual rates to rise over the next few years to catch investors off-guard ([Figure 23](#)).

Figure 23: Private credit PIK rates and non-accrual rates are rising. But while software PIKs are high, software non-accruals are still well below average, and this will likely change over the next 1-2 years.



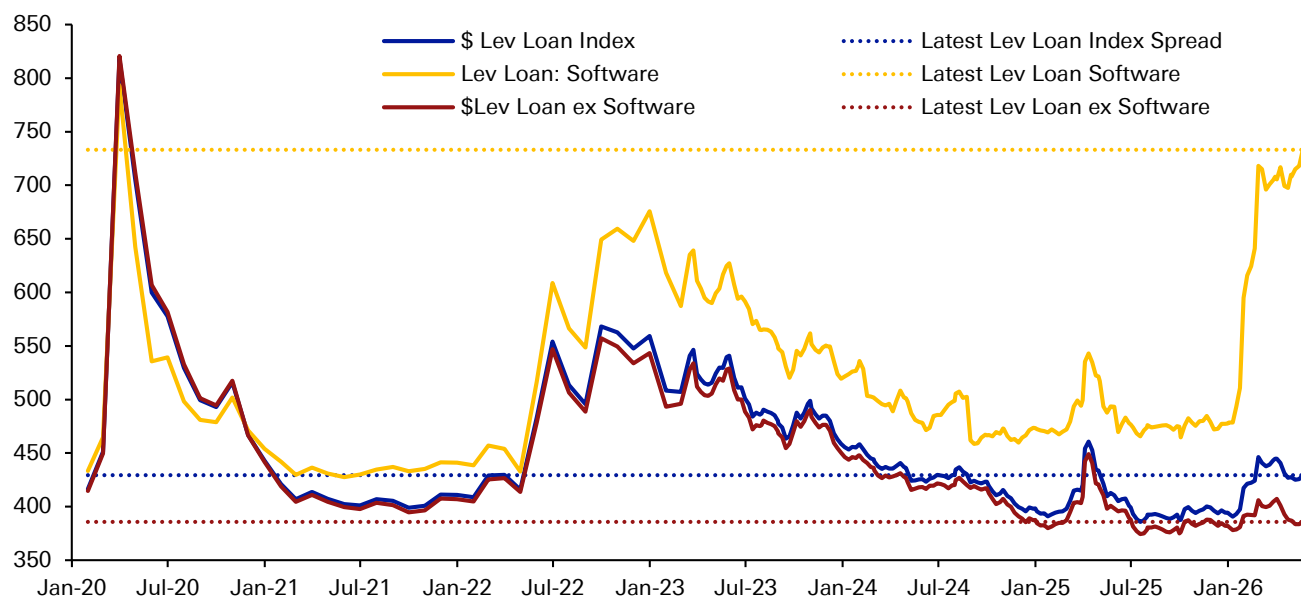
Source : Deutsche Bank, SEC EDGAR

And in the leveraged loan market, software risk has rapidly re-priced, but with an uncanny lack of spillovers to other parts of the market, in a way that makes the divergence between \$HY energy and ex-energy in 2015 look tame ([Figure 24](#)). US Leveraged Loan software spreads are now trading at 733bps, at YTD wides, and



trading at the widest levels since March 2020. However, software stress remains isolated, with ex-software spreads trading at 386bps, below 2021 levels, when central banks were still running historically easy monetary policy. This is an astonishing divergence between software & ex-software leveraged loan spreads, especially considering US software is the largest sector in both the US Loan and Private Credit markets. Future software stress, most tangibly in the form of rating downgrades, would cascade through broader spec-grade financial markets in a more disruptive fashion than is appreciated.

Figure 24: Software glitch? US Lev Loan software spreads are trading at 733bps, near the YTD wides



Source : Deutsche Bank, Pitchbook

It is clear loan investors remain concerned about the impact of AI disruption on the long-term viability of the software sector. AI disruption to Software comes in many flavors. First, it reduces clarity on future recurring revenue growth, as customers may decide to forgo renewing contracts. This is critical for the leveraged software space, since a large share of firms currently have negative EBITDA.

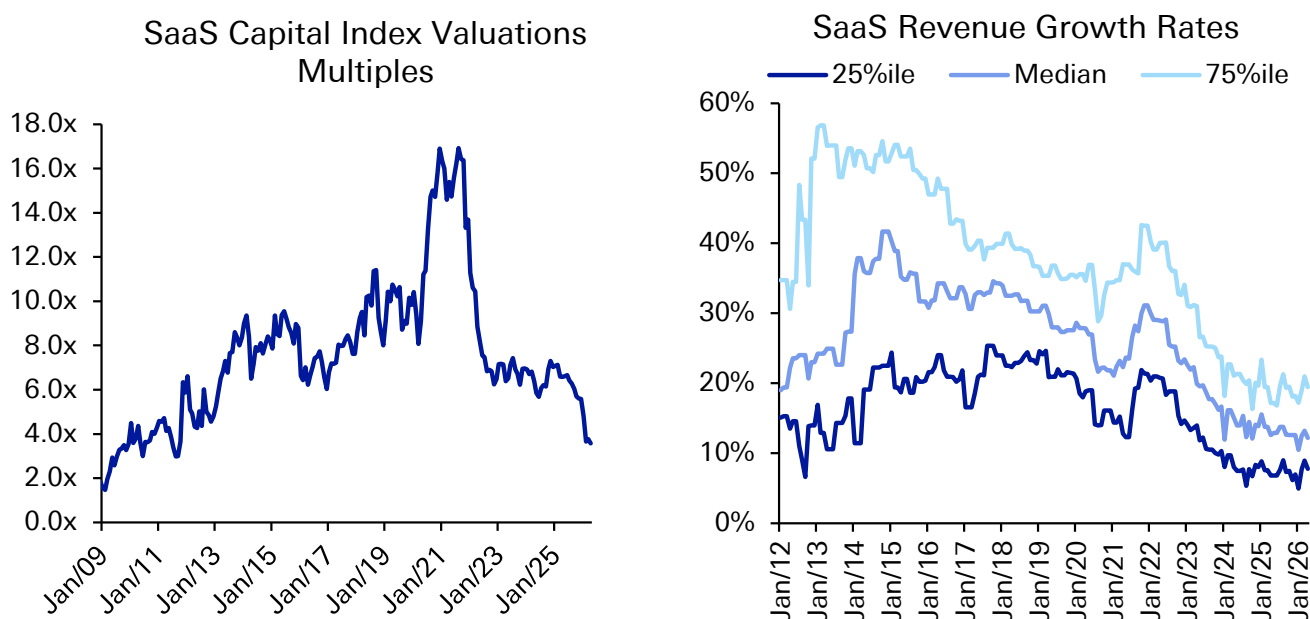
Second, AI will likely reduce white-collar employment over time, which cuts against the “per seat” model that many software firms employ to earn revenue. Third, it paradoxically could encourage many software companies today to over-invest in AI (“if you can’t beat ‘em, join ‘em”), before knowing how successful AI models will eventually become, or how best to integrate them. This isn’t a trivial concern, given that many SaaS firms have limited financial flexibility. An investment mistake today could prove costly later, if financing markets seize up.

Put simply, equity & credit investors are making a judgement call that a universe of highly leveraged B2 & B3 rated names, facing rather large maturity walls over the next 2-3 years (which need to be refinanced within the next 1-2 years), will have difficulty adapting to a world of increased AI adoption. And this is why software multiples to annualized recurring revenues have dropped nearly 50% since 2024, implying that LTVs for leveraged software firms are far higher than the 40-50% often cited by investors in the space ([Figure 25](#)).





Figure 25: Software multiples have collapsed 50% since 2024, implying LTVs are far higher than advertised. But the biggest catalyst for further software weakness will be when revenue growth is disrupted.



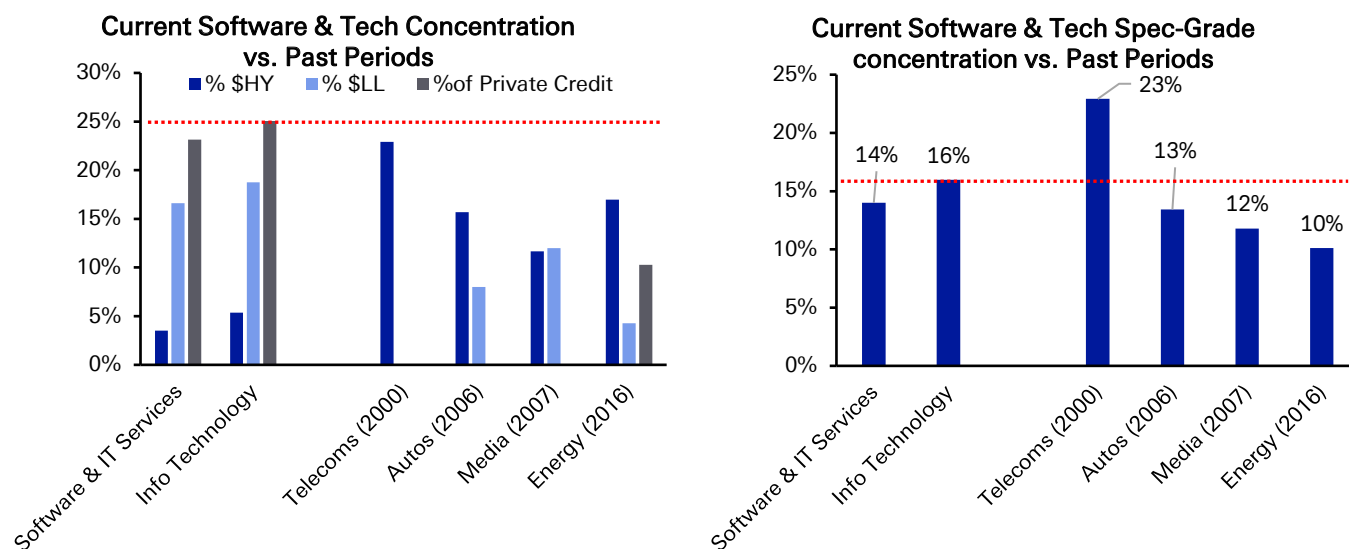
Source : Deutsche Bank, SaaS Capital Index

The challenge of course is timing: When will this AI disruption will actually show up in software company fundamentals? To-date, one can see in Figure 25 that while software multiples have collapsed, software revenue growth rates have remained stable. This is one reason why rating agencies and private credit funds (such as BDCs) are not reacting to the large drop in secondary prices within the leveraged loan market. The answer on the timing question will determine whether software modestly or materially tightens US spec-grade financing conditions over the next year.

But structurally, it is useful to consider the transmission channel of how software stress would spread in a manner that could matter meaningfully to both credit & multi-asset investors. The first point is that software is a very large and consequential sector in historical context. Software comprises a larger share of US spec-grade credit today than Shale Energy did in 2016. And in private credit specifically, software & software-related names comprise a greater share of the asset class than the Telecom sector did to \$HY in 2000 ([Figure 26](#)).



Figure 26: The Software and Technology exposure within US Private Credit is larger than Telecom's exposure within \$HY in 2000. Across all of \$-spec-grade credit (HY, LL, Private Credit), software & tech exposure will be more impactful than Shale Energy in 2016



Source : Deutsche Bank, Bloomberg Finance LP, Pitchbook  
\*Private Credit estimate is based on projected investable assets relative to observable BDC sector concentrations

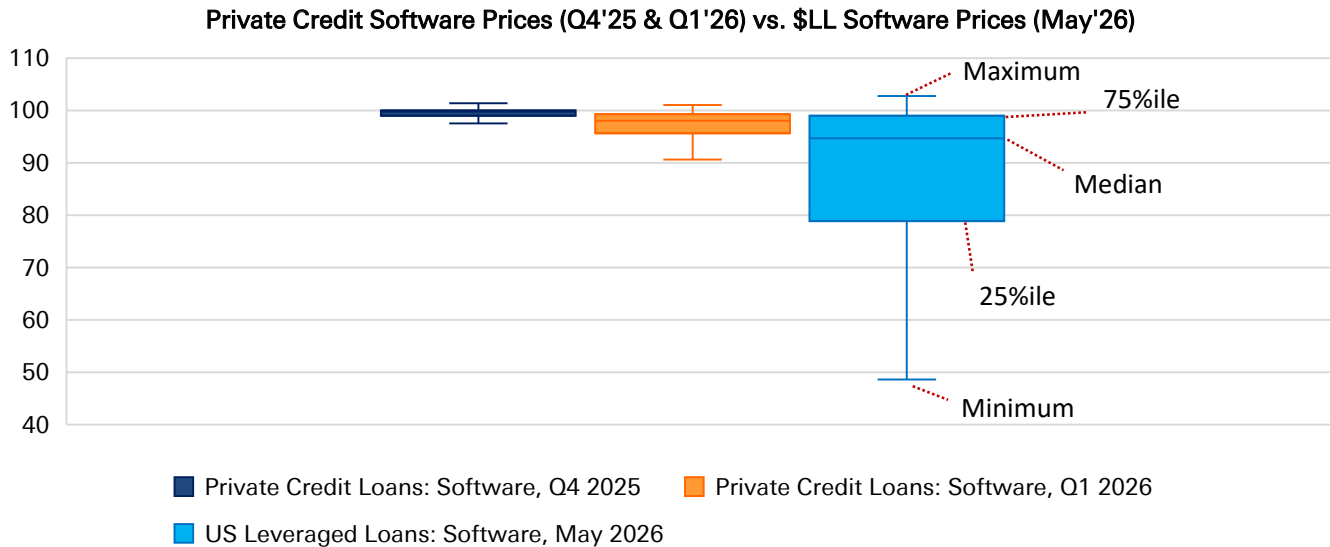
But there is still inertia in the overall credit ecosystem that is preventing this software stress from propagating more broadly. To us, this inertia cannot last forever.

The first unstable equilibrium can be found in US private BDCs, where still stale software loan markets are leading to liquidity pressures and storing up future problems for the asset class. We can first see this within US private BDCs ([Figure 27](#)), where we analyse the 7 largest private & "semi-liquid" BDCs in the market today. After combing through their 10-K & 10-Q filings, we see that any software loan markdowns taking place are very gradual and ultimately insufficient ([Figure 27](#)).

For example, through the end of Q1'26, the median private credit software loan was still valued at a price of 98, while the 25th percentile of private credit software loans was still valued at 95.6. This is far more optimistic than what the very similar US leveraged loan market is signalling. The median US Lev Loan software name trades at 95.2, while the 25th percentile of US Lev Loan software names trades at 78.9.



Figure 27. The private credit market is pricing that AI will only have a minor impact on leveraged software names. The reality is more likely priced in Leveraged Loans, where the impact is more dispersed, but far more material\*



Source : Deutsche Bank, Bloomberg Finance LP, SEC EDGAR Form 10-Ks

\*Private Credit Software loans were pulled from the 10-K and 10-Q filings of the following 7 private BDCs. Private Credit loan price is calculated as Fair Value/Par Value. US leveraged loan software prices are pulled from the Bloomberg US Leveraged Loan Index. The plots above exclude outliers that are more than  $\pm 1.5x$  the interquartile range (75th - 25th percentile).

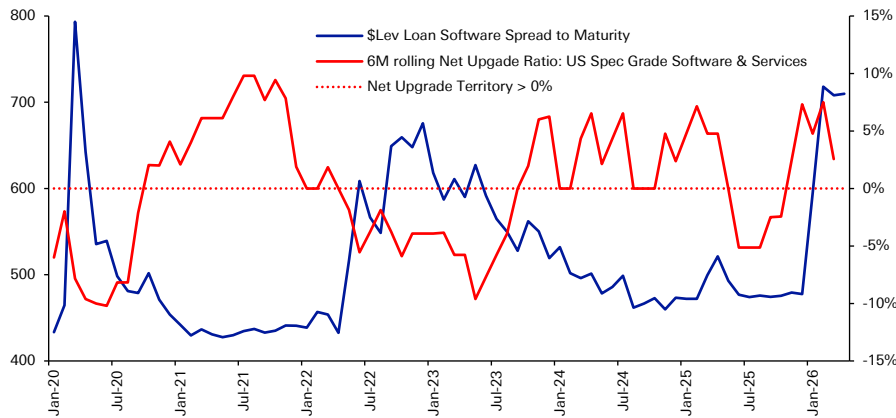
This inertia in private credit market pricing is quite striking in the tails of the distribution. Careful readers will just have noted the 25th percentile of private credit software names are marked with a higher valuation than the median US Leveraged Loan software name. And when we look at distress ratios, the story is similar. Only 5.8% of private credit software loans were valued at a price less than \$80 at the end of Q1, compared to 25.6% of US Lev Loan software loans today that are now trading below \$80.

Ultimately, US private BDCs continue to price a very tight software distribution, in essence implying that AI will have a very broad, but ultimately, minor impact on the entire software space. We suspect the reality will entail a lot more dispersion, with a much fatter left tail for private credit software companies.

But the second unstable equilibrium is coming from the rating agencies. Despite a massive widening in software spreads, US software names are still currently in net upgrade territory over the last 12 months, as proxied by S&P (Figure 28). This disconnect is clearly unsustainable. Either software spreads will tighten notably from here, or software downgrades will pick up more broadly in earnest.



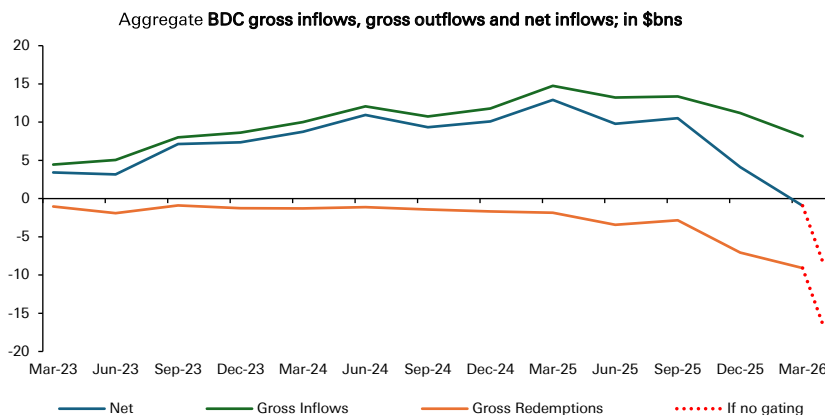
Figure 28: Software spreads have surged YTD, but rating agencies still have the spec-grade software sector in net upgrade territory. This divergence won't last for long.



Source : Deutsche Bank, Pitchbook

These unstable equilibriums will eventually prove problematic. The short-term problems from stale private credit software loan marks will continue to feed into US BDC liquidity pressures. Private BDC investors will continue to utilize their “first-mover advantage” and withdraw their capital, before private BDC software loans, and eventually NAVs, are marked lower in future quarters. We already experienced a wave of redemption requests in Q1, but we would expect new inflows to slow down dramatically from here as well, forcing BDCs to 1) increasingly issue more debt, 2) tap bank revolvers, and 3) sell leveraged loans to raise needed cash to meet growing net outflows. This part of the story is already in play, but will likely get worse in future quarters (Figure 29).

Figure 29: Continued divergence in private vs. public market pricing is likely to drive greater net outflows from BDCs in the quarters ahead, mainly as gross inflows into private BDCs now slow.



Source : Deutsche Bank, SEC EDGAR  
Includes 7 private BDCs and 1 interval fund. Pulling from 10-Q and 8-K filings as of Q1 2026, and from PORT-P filings as of Q4 2025.

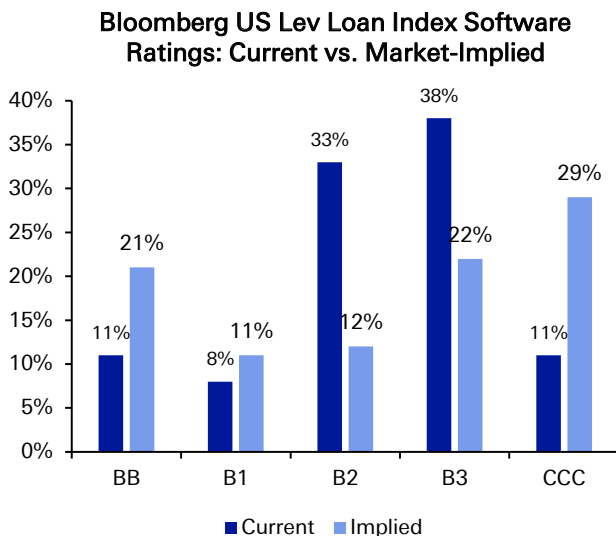
But an actual deterioration in software fundamentals is likely to be the catalyst from here that could meaningfully tighten financial conditions, as the US rating-agencies and third-party valuers assessing private credit fund portfolios quickly adjust their



models. Again, the timing here is uncertain. But actual evidence of slowing revenue growth, lower free cash flow generation, and/or reduced customer retention ratios will reduce the ability of many software companies to refinance upcoming maturity walls, certainly increase rating agency downgrades.

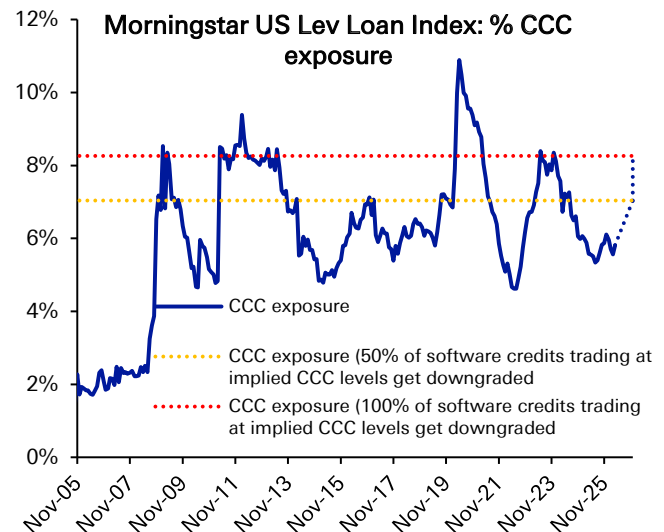
And if this fundamental pressure does emerge, the downgrade pressure on broader-spec grade credit could be significant. Based on current market pricing, we estimate that 29% of current US Leveraged Loan software names are trading with an implied CCC rating, vs. only 11% rated as CCC by the rating agencies (Figure 30). Given the large weight of software (~13%) in the US Lev Loan index, this could spike the share of CCCs in the Loan Index to 7-8.5% (from 5.8% today, Figure 31), on par with 2008-2009, 2011-2013, 2016-2017, 2020 & 2022-2023 levels (Note this 7-8.5% CCC basket is just looking at the software downgrade risk in isolation, without accounting for any additional downgrades hurting other sectors, whether from direct AI disruption of non-software sector business models to indirect AI disruption tightening financial conditions through tighter Fed policy and higher rates).

Figure 30: Market prices imply that nearly 30% of US software lev loans should be CCC-rated\*



Source : Deutsche Bank, Bloomberg Finance LP, \*market-implied ratings are calculated by comparing current individual \$LL software prices vs the average price per \$LL rating bucket. We assign a market implied software rating based on the average rating bucket price that is closest to the individual software loan price

Figure 31: If true, the share of CCCs in the US Lev Loan index will swell. That is the risk of the largest sector in the index facing AI disruption ahead.



Source : Deutsche Bank, Pitchbook

And from the third-party valuer who assess the veracity of private credit loan marks, it is a very similar dynamic. Third party valuers effectively use calibration models to assess the "fair-value" of a private credit loan each quarter, using both market-wide macro inputs (such as traded loan index and sector spreads) and company-specific fundamentals to inform their view.

Currently, the dramatic widening in US Leveraged Loan software spreads is factoring into modest private credit loan markdowns today. But 1) the health of the broader Leveraged Loan Market (ex-software) & 2) the lack of any tangible impact on software fundamentals yet is limiting the amount of loan markdowns that

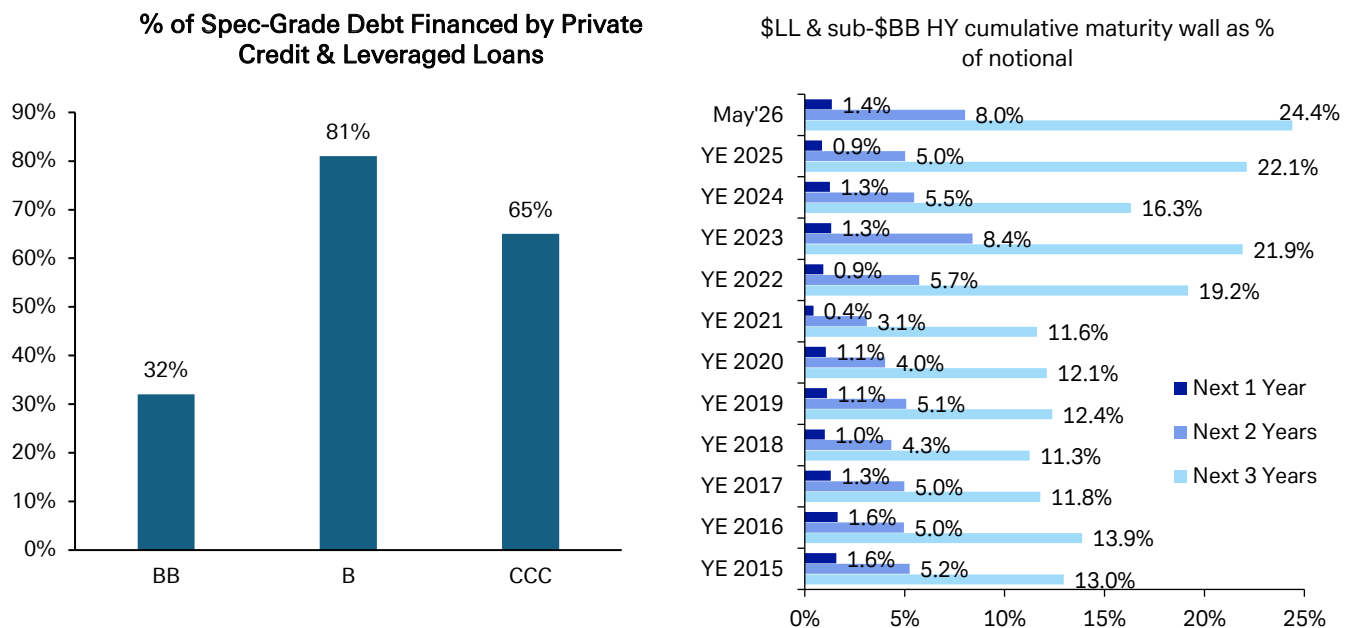




private credit funds have to take. A raft of weak software earnings coupled with rating downgrades and rising CCC buckets in US Loan indices would lead both of these macro & company specific fundamental factors to deteriorate, instigating a far more rapid pace of private credit software loan markdowns than what we have experienced to-date.

To sum it up succinctly, we suspect software stress is likely to spread more broadly, within both private credit & leveraged loan markets. With 80% of all \$B rated debt financed in either private credit or leveraged loans, the reality of still near record high T+2 & T+3 maturity walls for \$B & CCC rated credit highlights that this is a risk not to forget (Figure 32).

Figure 32: 81% of all B-rated financing in US spec-grade credit comes from floating-rate Leveraged Loans or Private Credit. A problem if these markets face more pressure, given maturity walls 2 & 3 years out are at all-time highs.



Source : Deutsche Bank, S&P Capital IQ Pro, Bloomberg Finance LP, Pitchbook

## What markets/sectors are most exposed to upcoming risks?

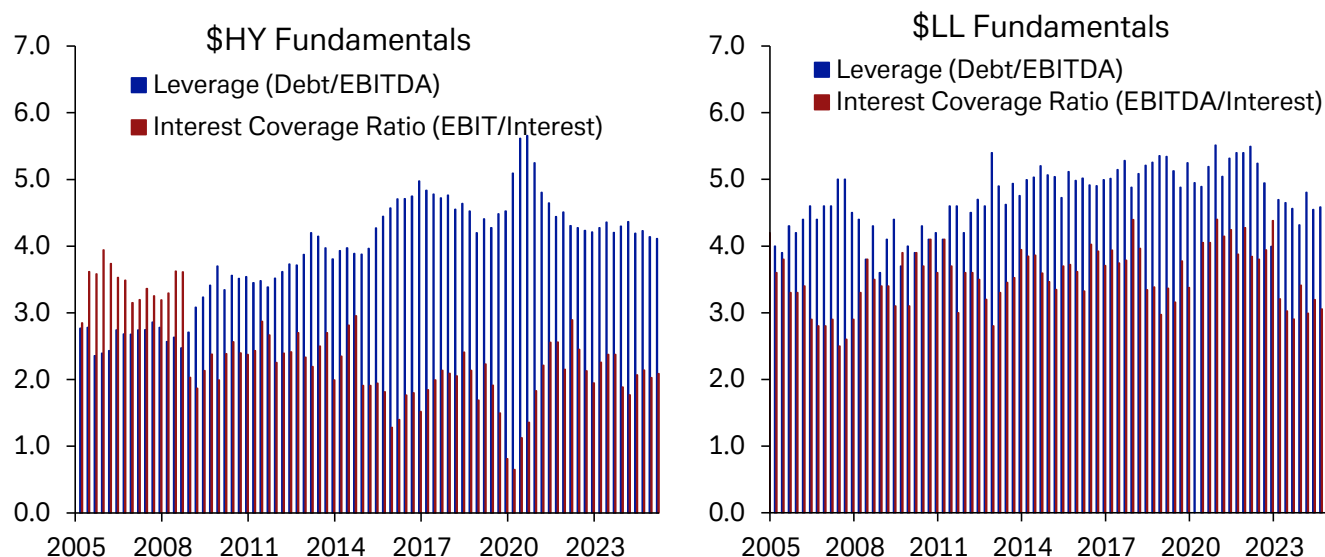
As laid out above, **there are many intertwined risks that investors have to navigate in the months ahead.** If rising inflation leads to a more hawkish Fed, then the expectation for higher-for-longer financing costs could lead multiple contraction. Higher energy and commodity costs can also compress margins as consumers have less fiscal headroom than in the recent past. While AI-led US growth has powered the US economy, unless it broadens out there could be greater earnings growth dispersion.

\$HY and \$LL leverage had been rising in the years following the Financial Crisis until the post-Covid period. Since 2021, there has been a gradual easing in leverage. However, **even as leverage has gently eased, interest coverage ratios have remained quite contracted** over the last two years. This leaves spec-grade credit quite sensitive to higher rates moving forward. This is not a perfect comparison between markets given data constraints, but the trends are informative. The \$HY



data is the median issuer per quarter, while the Lev Loan data is an aggregation at the index level for new issuance.

Figure 33: USD HY and LL leverage continues to ease from Covid-era highs, but interest coverage ratios have not improved in a similar fashion



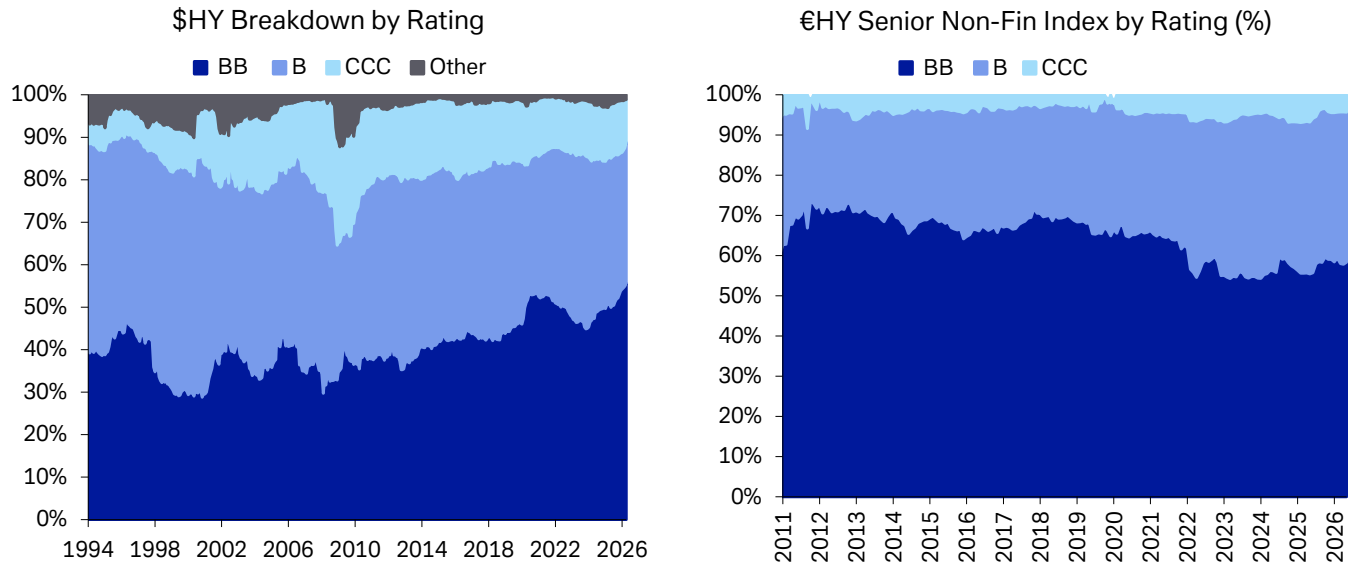
Source : Deutsche Bank, Bloomberg Finance L.P., Pitchbook LCD  
\$HY data uses the median issuer by quarter

Fixed-rate High Yield and floating-rate Leveraged Loan markets continue to grow further apart in average rating. \$HY markets have further improved in rating quality over the last year. **\$BBs are a record share of the \$HY index at 56%**, while \$CCCs now only make up 10% of the index. That is the lowest share of \$CCC bonds since 2002. The improvement in \$HY rating quality is due to multiple factors. One is that the HY market is looking to finance higher quality issuers. There is also a greater sum of subordinated-debt from \$IG rated issuers. And lastly, there has been many recent large downgrades over the last two years that have introduced significant \$BB debt into \$HY.

**€HY rating quality is slowly going the other way.** Around 60% of Non-Financial seniors are rated €BB, which is down nearly 10pp from the highs in 2018. €CCCs still represent a smaller portion of this market with just 4% of notional value. As the level of €B debt grows, it introduces the potential for European defaults to move slightly higher structurally.



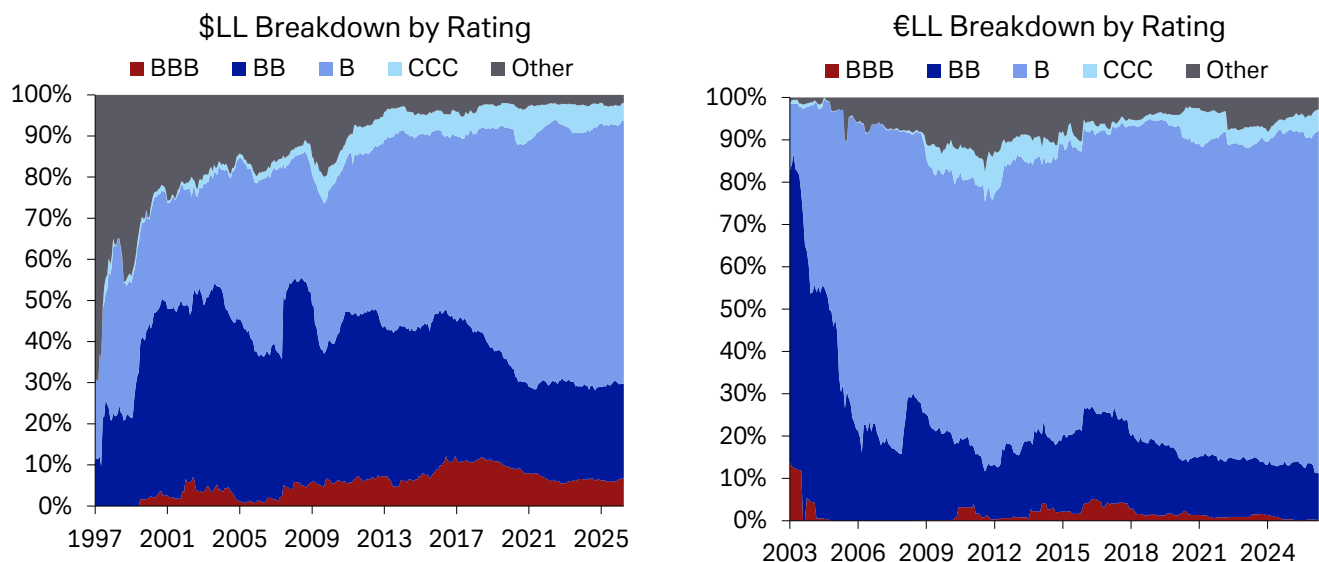
Figure 34: While \$HY bond markets have steadily increased in credit quality over time, €Bs have become a more substantial part of €HY.



Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices, S&P

**\$ & € Leveraged Loan markets have become largely dominated by B-rated issuers.** The share of \$B Loans is up to 64% from 45% in 2015, having been just shy of two-thirds of the index since 2022. Meanwhile €B Loans are a record 81% of the market after being 66% of the market at the end of 2015. This shift of rating quality lower in loans relative to HY partly explains the divergent default rates between the two markets during the post-Covid cycle.

Figure 35: While Leveraged Loan indices have long been overweight B-rated debt, we are at a record share in EUR LL and just off the largest concentration in USD LL.

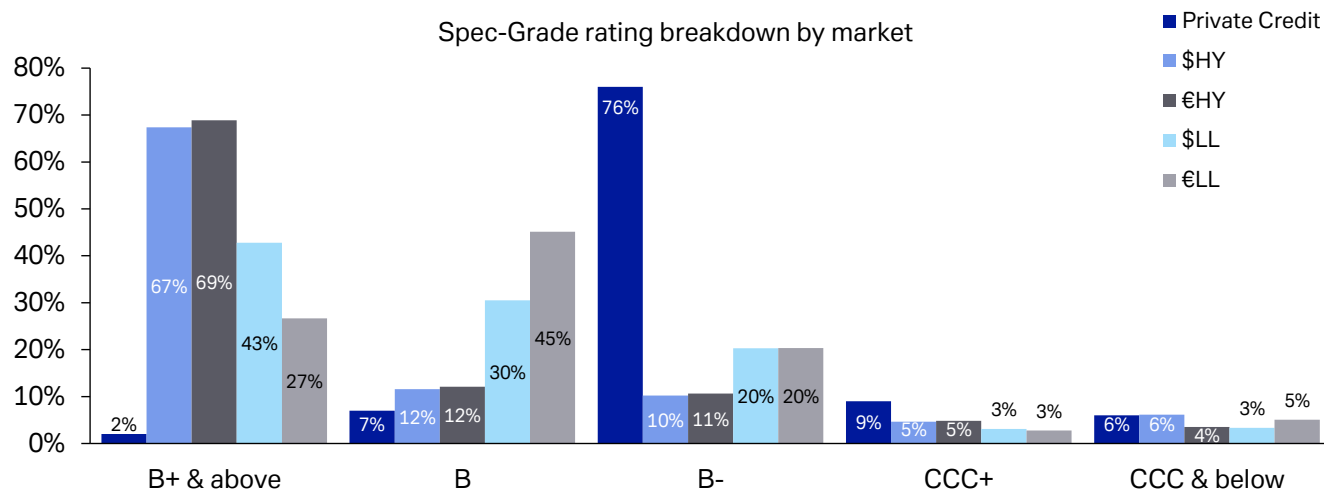


Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices



Looking ahead, **Private Credit is even more exposed** to acute risks. Both \$ & € HY markets are over two-thirds rated B1 and above, with just over 20% B2 rated risk, and just around 10% of CCC-rated securities. \$LL is better rated than €LL, with a plurality of debt rated B1 or better, while the largest share of €LL debt is rated B2. By contrast, **Private Credit is over 75% B3 rated**, just one notch away from a CCC-rating. Speaking of which, **Private Credit also has 15% CCC or worse rated debt**, while \$HY markets is the closest public market with 11% of notional marked below a B3-rating.

Figure 36: Private Credit is lower rated than Lev Loan indices with an extreme concentration of B3 rated debt



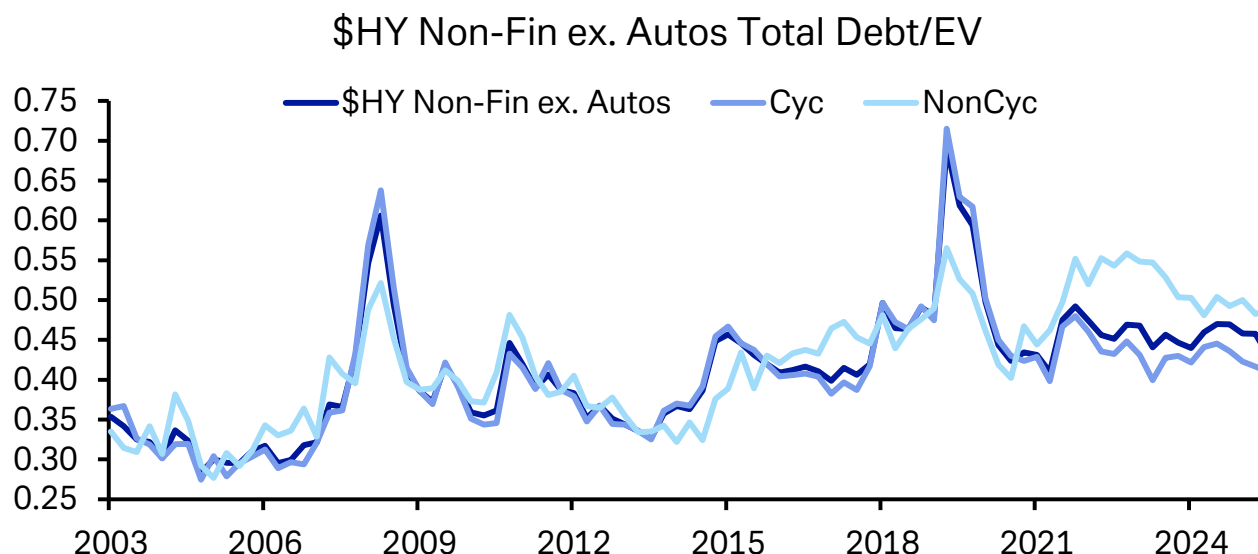
Source : Deutsche Bank, Bloomberg Finance L.P., Pitchbook, S&P Cap IQ

### Which sectors are more exposed to defaults and fundamental risks?

We have found that debt to enterprise value ratios provide a better leading indicator of future downgrade and default rates than other leverage measures such as debt to EBITDA. This is based on a Merton Model framework, where falling equity valuations can create incentives to restructure the firm's capital structure, often to the detriment of credit holders. **Debt to EV ratios at the index level have been improving marginally over the last two quarters.** While the median \$HY member may not necessarily be seeing the same multiple expansion that is evident in the S&P 500, \$HY valuations have still been buoyant. Meanwhile debt levels have not risen substantially over the last few years. As such Debt/EV ratios are near the bottom of their range since the end of 2021, with Cyclical firms seeing more improvement than Non-Cyclicals.



Figure 37: The recent risk rally has caused \$HY cyclical leverage to move toward post-Covid lows, even as Non-Cyclical leverage remains steady over the last year



Source : Deutsche Bank, S&P, Bloomberg Finance LP, ICE indices

Looking ahead to the next 12 month, **multiple risks can drive greater dispersion**. The energy shock and rising inflation worries are translating into higher US Treasury yields which can lead frothy multiples to re-rate lower. Rising energy and goods costs can also weigh on margins, which could lead to higher leverage for Spec-grade corporates in the coming quarters.

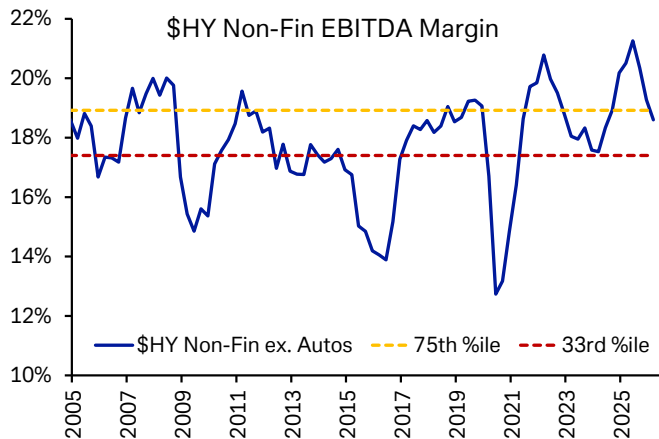
In order to model how these factors can effect leverage across sectors, we have created a scenario analysis in [Figure 40](#) below. **The first scenario is one in which the Strait of Hormuz opens up shortly** and there is a smaller commodity shock, keeping margin compression moderate. We also would likely see less inflationary pressures under this scenario and therefore less multiple compression as the Fed does not grow as hawkish as they might otherwise. We grow current revenue by the median 12-month revenue expectation in each sector, and then estimate EBITDA growth based on the 75th %-ile observed profit margin since 2004. We then re-rate the sector at the 75th %-ile EV/EBITDA. If current multiples or margins are lower than the 75th %-ile historically, we just use the current levels.

**In the second scenario, there is a more sustained commodity shock**, wherein oil prices are higher-for-longer, likely leading to higher yields on the back of higher inflation expectations and rate hikes. We still use the current revenue growth forecast but then contract multiples to their long-term median and margins to their 33rd %-ile unless they are already lower. For context, [Figures 38 & 39](#) shows what these levels look like relative to historic \$HY equity multiples and EBITDA margins.



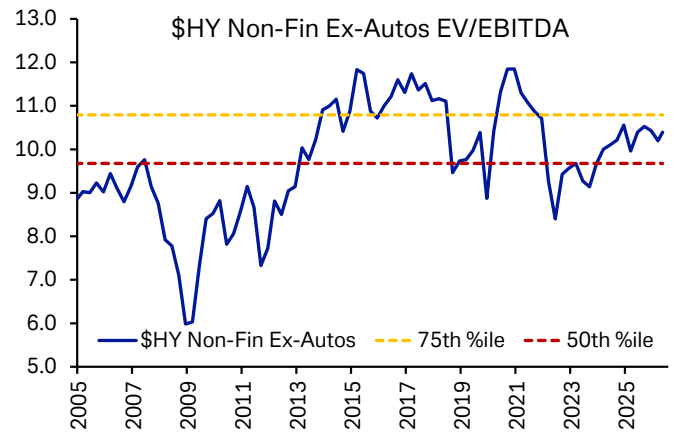


Figure 38: \$HY EBITDA Margins have compressed over the last 2 quarters before any increase from the current commodity shock



Source : Deutsche Bank, S&P, Bloomberg Finance LP, ICE indices

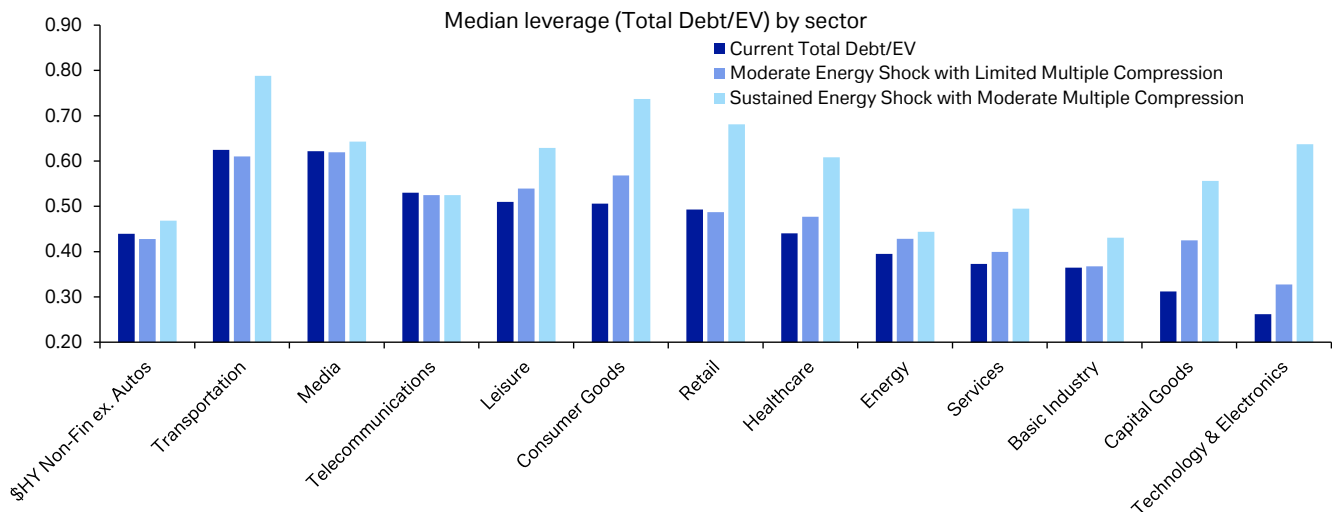
Figure 39: Equity multiples of the median \$HY issuer are near the 75th %-ile historically, and had moved toward the median level during recent hiking cycles



Source : Deutsche Bank, S&P, Bloomberg Finance LP, ICE indices

As we laid out above, \$HY Cyclical sectors are starting out with better leverage metrics while some Non-Cyclical sectors have higher outright leverage or high leverage in their own history as seen in [Figure 37](#) and [Figure 40](#). **Telecoms, Consumer Goods and Healthcare** stand out as the main Non-Cyclical risks to watch, while **consumer-oriented Cyclical sectors and Transports** are also displaying higher leverage.

Figure 40: While Transports, Media, and Telcos represent the largest near term risks, a sustained energy shock could impact Consumer-oriented Cyclicals more



Source : Deutsche Bank, S&P, Bloomberg Finance LP, ICE indices

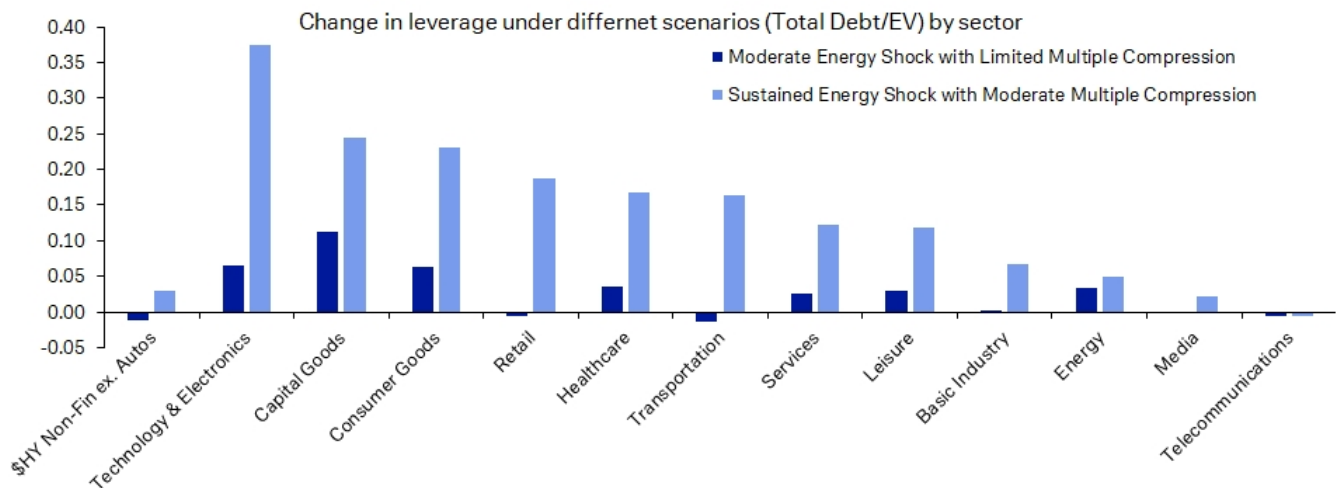
Moderate Energy Shock with Limited Multiple Compression = Margins compress to Min(current, 75th %ile since 2004) and Multiple compress to Min(current, 75th %ile since 2004).  
Sustained Energy Shock with Moderate Multiple Compression = Margins compress to Min(current, 33rd %ile since 2004) and Multiple compress to Min(current, Median since 2004)



Under our first scenario, the moderate commodity shock with limited multiple compression, **lowly-levered cyclicals see the biggest jump in leverage** on the back of both compressed margins and re-rated multiples. \$HY Capital Goods, Technology, and Consumer Goods see the biggest jump in leverage.

**Capital Goods and Technology** currently enjoy relatively low leverage levels, but come under pressure quickly even in the more mild scenario. While there is some dispersion under the first scenario, the second more sustained price shock leads to a wider spread increase in Spec-Grade leverage across sectors. Nonetheless, the more adverse scenario still sees Cyclical and Consumer-Oriented sectors underperform.

Figure 41: Technology, Cap Goods, and Consumer Goods would see the biggest impact from both a moderate and sustained energy shock and higher-for-longer rates compressing multiples

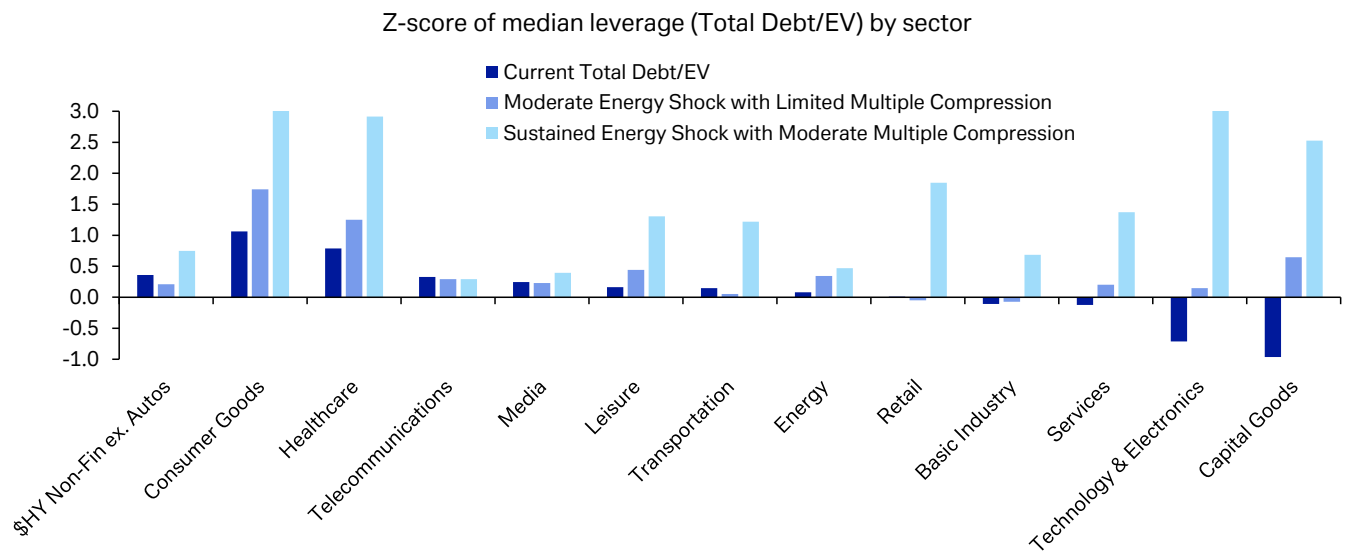


Source : Deutsche Bank, S&P, Bloomberg Finance LP, ICE indices  
Moderate Energy Shock with Limited Multiple Compression = Margins compress to Min(current, 75th %ile since 2004) and Multiple compress to Min(current, 75th %ile since 2004).  
Sustained Energy Shock with Moderate Multiple Compression = Margins compress to Min(current, 33rd %ile since 2004) and Multiple compress to Min(current, Median since 2004)

**Viewing the scenario analysis in Z-score space offers a potential view into how risks may appear in the \$LL and private-credit markets.** Since we do not have visibility into how enterprise values are developing in these markets, tracking the trends in public HY markets can inform us on where risks are trending. Using the framework and scenario analysis above, **Non-Cyclicals are the main risks to monitor in the current environment**, with greatest risk in Consumer Goods, Healthcare, and Telecoms. **US Cyclicals would face much greater risks in adverse scenarios** if multiples contract and rising energy costs cause margins to compress substantially, though Healthcare and Consumer goods would still be large risks.



Figure 42: When looking at leverage in their own histories, Non-Cyclical sectors such as Consumer Goods, Healthcare, and Telcos are high, with the former two sectors seeing more stress under our adverse scenarios as well



Source : Deutsche Bank, S&P, Bloomberg Finance LP, ICE indices  
Moderate Energy Shock with Limited Multiple Compression = Margins compress to Min(current, 75th %ile since 2004) and Multiple compress to Min(current, 75th %ile since 2004) .  
Sustained Energy Shock with Moderate Multiple Compression = Margins compress to Min(current, 33rd %ile since 2004) and Multiple compress to Min(current, Median since 2004)



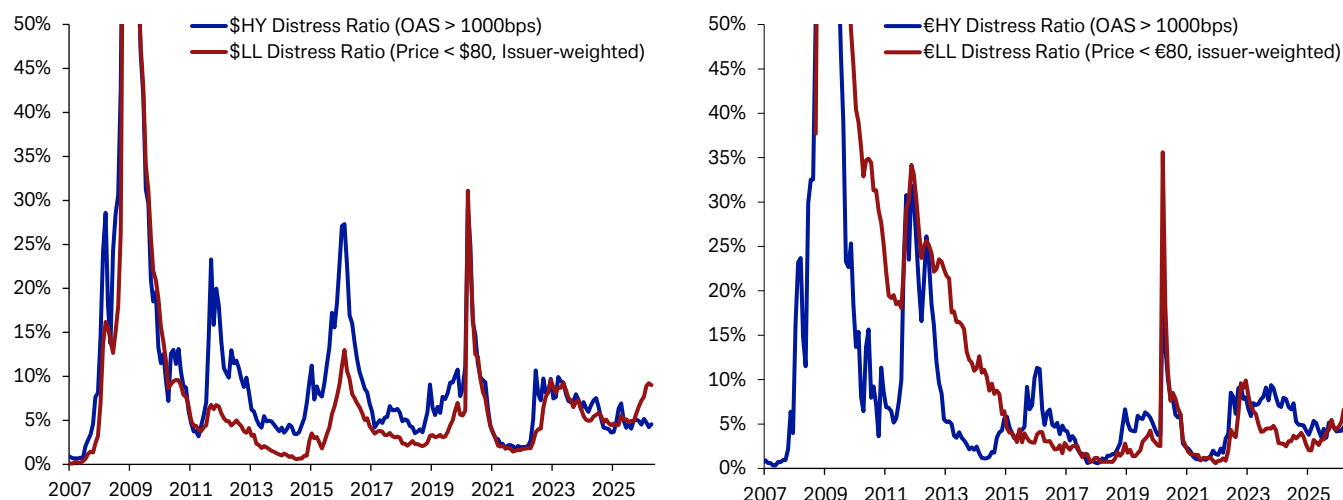
# What's priced into credit?

## LL distressed ratios are rising while HY ratios have moderated

How do our forecasts for US and EUR spec-grade default rates over the next 12 months compare to what investors are pricing into Leveraged Finance markets currently? We anticipate that US and European defaults will slow to 3.6% by year-end before climbing slowly back to 4% in the US and 3.9% in Europe by this time next year. **While overall index spreads are trading near historically tight levels, distress ratios are not similarly near their lows.** This reflects that investors have deemed pockets of debt quite risky and historically elevated distress ratios have been a good indicator of restructuring activity in 9-10 months.

**\$HY and \$LL distress ratios started to diverge in October of last year.** This coincides with investors becoming more wary of private credit risks following the events surrounding Tricolor and First Brands. The level of distressed issuers rose as AI-disruption became a theme early this year, sending some \$LL Software prices significantly lower. Through all of this, \$HY distress ratios have remained resilient near post-GFC lows, when discounting the 2021-22 period when there was ample fiscal & monetary support. **This reflects the nature of where defaults are likely to be concentrated in the coming months**, as LL markets currently have more of the structural risks we outlined above (more software and lower rated). €LL markets are smaller than the other spec-grade markets, but there is a similar dynamic of increasing floating-rate risk relative to €HY markets where distress ratios are pricing in less imminent default risk. Nonetheless, €Spec-Grade distress ratios are elevated relative to the post-European Debt Crisis lows, as investors expect moderate defaults moving forward.

Figure 43: HY index distressed ratios have decreased over the last few years as index quality improved and issuer stress became more localized; meanwhile LL distress ratios have trended higher in recent months due in part to percolating software and private credit worries



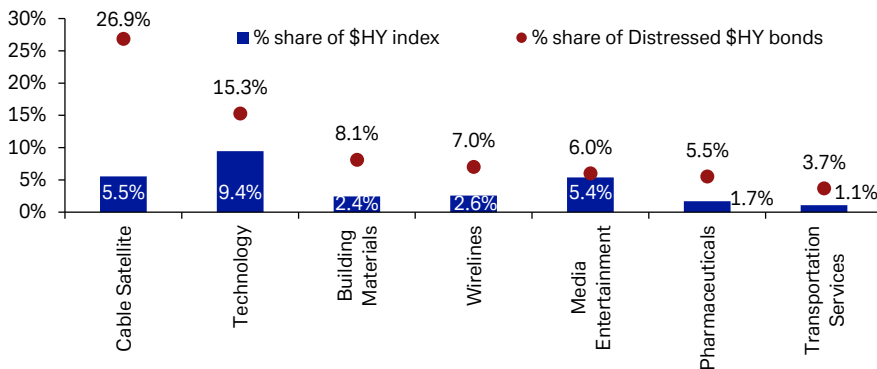
Source : Deutsche Bank, S&P, Bloomberg Finance LP, ICE Indices



## USD Distressed Debt is highly concentrated, while there is greater dispersion in EUR markets

Delving into where distressed debt resides in each market, **risks are far more concentrated in USD Spec-Grade markets**. Technology/Software has the largest concentration of distressed debt, with significant Telecom risks a close second. Further away, there are signs that Consumer Cyclical as well as Healthcare risks are percolating. Within \$HY bonds, Cable & Satellite (27%) makes up over a quarter of distressed debt. Adding in Wirelines (7%), means that Telecoms make up over a third of \$HY debt trading wider than 1000bps. The recent software weakness weighs on \$HY Technology (15%) which has the second largest sum of distressed bonds with Media (6%) the fifth largest but nearly in-line with the sector's overall weight in the index.

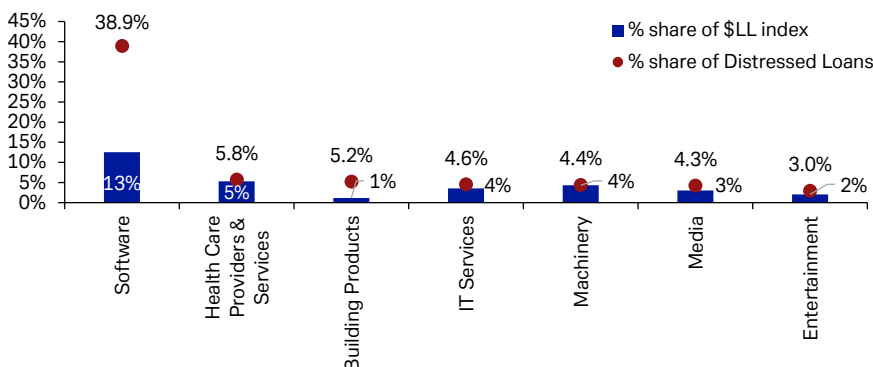
Figure 44: \$HY Cable Satellite is the main sector with an outsized share of distressed debt followed by Technology.



Source : Deutsche Bank, Bloomberg Finance L.P.

**In \$Leveraged Loans, the Software sector remains the main story.** It makes up roughly 13% of the \$LL market and has nearly two-fifths of the distressed debt. At nearly 39%, its share of distressed loans is basically triple its weight in the index. Building Materials is the only other \$LL sector with outsized risk priced in, but it is a much smaller sub-sector.

Figure 45: Software continues to have the largest share of distressed debt in the \$Lev Loan market.



Source : Deutsche Bank, Pitchbook

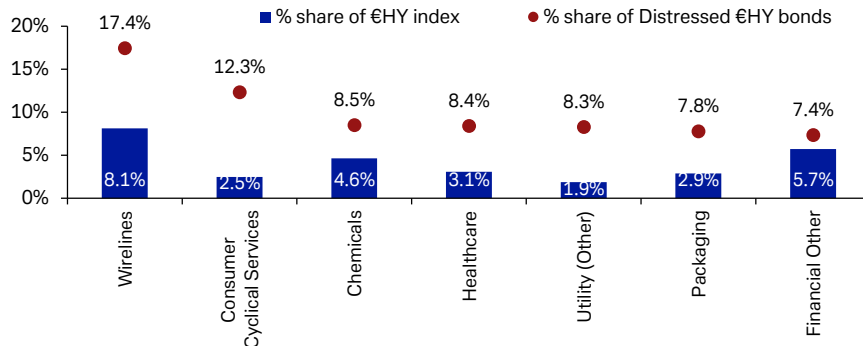
**Within €HY & €LL, the risks are far more dispersed.** Risks are also being priced into





both Cyclical and Non-Cyclicals. Wireless issuers have over 17% of distressed bonds to lead €HY, with fellow Non-Cyclical sectors Healthcare (8%) and Non-Electric Utilities (8.3%) also in the top 5. On the Cyclical side, Consumer Cyc Services (12%), Chemicals (9%), and Packaging (8%) round out the other €HY subsectors with significant outsized priced-in default risk.

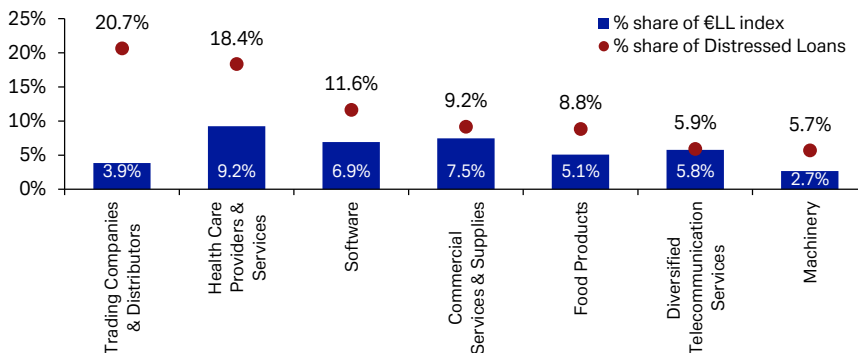
Figure 46: €HY distressed bonds are spread between Cyclical and Non-Cyclical issuers, with the greatest share in Wirelines



Source : Deutsche Bank, Bloomberg Finance L.P.

**€Leveraged Loan distress debt is a much smaller market and the risks are more concentrated.** Trading Companies and Distributors (21%), which highlights how soaring energy prices and supply chain issues could be impacted by the conflict in the Middle East. Healthcare (18%) has a slightly lesser share of distressed loans as Trading Companies, with Software (11.6%) the next largest concentration.

Figure 47: €LL distressed loans are more concentrated in Trading Companies and Healthcare, with some Software exposure as well



Source : Deutsche Bank, Pitchbook



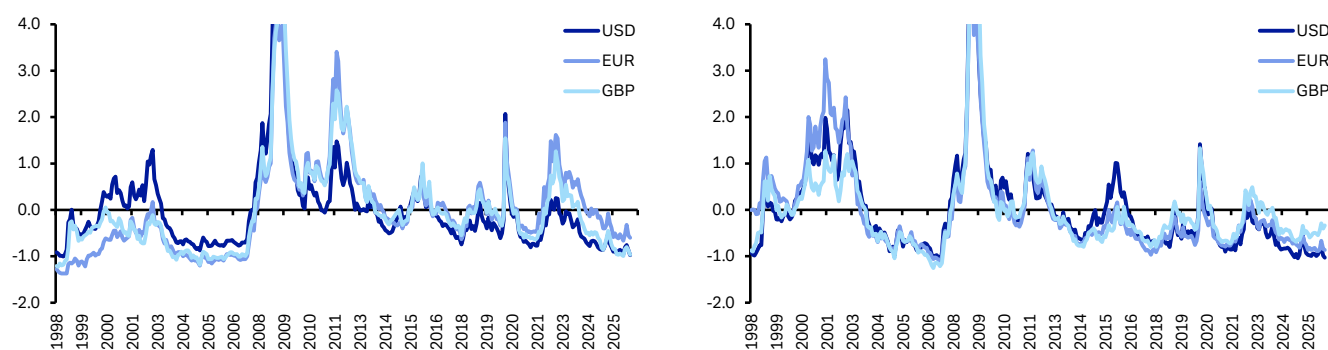
## Non-financial (cash) spread implied default rates

This final section was the initial focus of these annual studies. The purpose was to assess the level of credit spreads required to compensate buy-and-hold HY investors for default risk. We also analyze what level of defaults are currently implied by spreads, and how much excess spread is being provided to investors under different default scenarios.

The analysis focuses on Non-Financials around the 5-year tenor. To achieve this, we include all senior bonds 4-6 years until maturity within the ICE indices. Having calculated the average spreads for our sample bond sets, we use three different recovery assumptions (0%, 20% and 40%) to calculate implied default rates. We then compare these implied default rates with the appropriate average five-year cumulative global default rate, as well as the worst five-year periods observed since 1981. This is also compared against the average and worst five-year level for the primary region of the various bond markets (Europe – EUR; UK – GBP; US – USD). We have highlighted in [Figure 49](#) the cells where the implied default rate is lower than the average experience (darker blue) as well as those where the implied default rate is lower than the worst but higher than the average (lighter blue). The shading is based on regional default rates. This analysis should be viewed from the perspective of a longer-term buy-and-hold investor.

HY spreads across USD and EUR in particular are trading near multi-decade tight. The Q1 volatility stemming from AI-disruption fears and then the fallout of the US-Iran war has dissipated, with **spreads returning to near their long-term tights**. The solid economic growth that we referenced above as well as elevated yields have meant investors are looking through some of the percolating risk factors. Given the starting point for spreads, we do expect greater decompression and dispersion as margin pressures and higher-for-longer rates set in.

Figure 48: Z-scores of IG (left) and HY (right) credit spreads since 1998 highlight just how tight valuations currently are, especially USD and EUR HY markets



Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices

**With the current rich valuations in mind, we look at how spread implied defaults compare to past periods.** As to be expected, IG-rated implied default rates are going to be well above even the worst observed defaults for all recovery assumptions. Current \$IG spreads imply a 3.9% cumulative five-year default rate, assuming a 40% recovery, and a 6.4% default rate with 0% recovery. This premium is due to spreads also pricing in some liquidity and downgrade risks that are not



captured by the implied default equation we lay out in the appendix.

Even as overall HY index spreads are near historical tights, current 5yr spreads are still pricing in an above average default rate across markets. This is even when we assume 40% recoveries. **Assuming higher recoveries, the implied 5yr cumulative HY default rate is around 20% or better across all three markets, which is still above the average cumulative five-year default rate in each region by a decent margin.** Though it remains well below the worst-case scenario defaults, which would approximate a recessionary environment in the next five years. Current **CCC spreads in both USD and EUR are too tight** to adequately compensate investors for average historical cumulative 5 year defaults assuming a 40% recovery rate. If recovery rates fall to near 20%, then not only do current CCC spreads not compensate investors but \$HY and \$B spreads are too tight to protect investors.

Figure 49: Non-Financial 5-year cumulative spread implied default rates based on different recovery assumptions

|     |     | Spread Implied 5yr Cumulative Default Rate |             |              |              | Actual 5yr Cumulative Default Rates |                |                |                  |
|-----|-----|--------------------------------------------|-------------|--------------|--------------|-------------------------------------|----------------|----------------|------------------|
|     |     | 5yr Spread                                 | 0% Recovery | 20% Recovery | 40% Recovery | Global Worst                        | Global Average | Regional Worst | Regional Average |
| EUR | IG  | 78                                         | 3.9%        | 4.8%         | 6.4%         | 2.9%                                | 0.8%           | 2.4%           | 0.3%             |
|     | AA  | 44                                         | 2.2%        | 2.8%         | 3.7%         | 0.5%                                | 0.1%           | 0.0%           | 0.0%             |
|     | A   | 64                                         | 3.2%        | 4.0%         | 5.3%         | 1.2%                                | 0.3%           | 1.8%           | 0.2%             |
|     | BBB | 90                                         | 4.4%        | 5.5%         | 7.3%         | 5.0%                                | 1.6%           | 5.9%           | 1.0%             |
|     | HY  | 295                                        | 13.5%       | 16.6%        | 21.5%        | 32.5%                               | 16.5%          | 38.8%          | 14.7%            |
|     | BB  | 214                                        | 10.0%       | 12.3%        | 16.0%        | 20.0%                               | 7.9%           | 27.3%          | 7.3%             |
|     | B   | 382                                        | 17.2%       | 21.0%        | 27.0%        | 39.9%                               | 19.3%          | 47.6%          | 17.5%            |
| CCC |     | 753                                        | 29.5%       | 35.5%        | 44.2%        | 68.5%                               | 50.5%          | 64.0%          | 41.5%            |
| USD | IG  | 64                                         | 3.1%        | 3.8%         | 5.1%         | 2.9%                                | 0.8%           | 2.4%           | 0.9%             |
|     | AA  | 29                                         | 1.4%        | 1.8%         | 2.3%         | 0.5%                                | 0.1%           | 0.6%           | 0.1%             |
|     | A   | 46                                         | 2.2%        | 2.7%         | 3.6%         | 1.2%                                | 0.3%           | 1.3%           | 0.3%             |
|     | BBB | 79                                         | 3.8%        | 4.8%         | 6.3%         | 5.0%                                | 1.6%           | 4.3%           | 1.6%             |
|     | HY  | 268                                        | 12.3%       | 15.2%        | 19.7%        | 32.5%                               | 16.5%          | 30.9%          | 16.7%            |
|     | BB  | 167                                        | 7.9%        | 9.8%         | 12.8%        | 20.0%                               | 7.9%           | 17.6%          | 7.8%             |
|     | B   | 327                                        | 14.9%       | 18.3%        | 23.6%        | 39.9%                               | 19.3%          | 38.3%          | 19.0%            |
| CCC |     | 746                                        | 30.1%       | 36.1%        | 44.9%        | 68.5%                               | 50.5%          | 72.5%          | 52.3%            |
| GBP | IG  | 79                                         | 3.9%        | 4.8%         | 6.4%         | 2.9%                                | 0.8%           | 3.6%           | 0.4%             |
|     | AA  | 16                                         | 0.8%        | 1.0%         | 1.3%         | 0.5%                                | 0.1%           | 0.0%           | 0.0%             |
|     | A   | 61                                         | 3.0%        | 3.8%         | 5.0%         | 1.2%                                | 0.3%           | 3.2%           | 0.3%             |
|     | BBB | 94                                         | 4.6%        | 5.7%         | 7.5%         | 5.0%                                | 1.6%           | 7.3%           | 1.0%             |
|     | HY  | 402                                        | 17.8%       | 21.8%        | 27.9%        | 32.5%                               | 16.5%          | 42.9%          | 16.1%            |
|     | BB  | 329                                        | 14.6%       | 17.9%        | 23.1%        | 20.0%                               | 7.9%           | 30.0%          | 5.5%             |
|     | B   | 444                                        | 19.8%       | 24.1%        | 30.8%        | 39.9%                               | 19.3%          | 42.9%          | 15.6%            |

Source : Deutsche Bank, ICE Indices, S&P

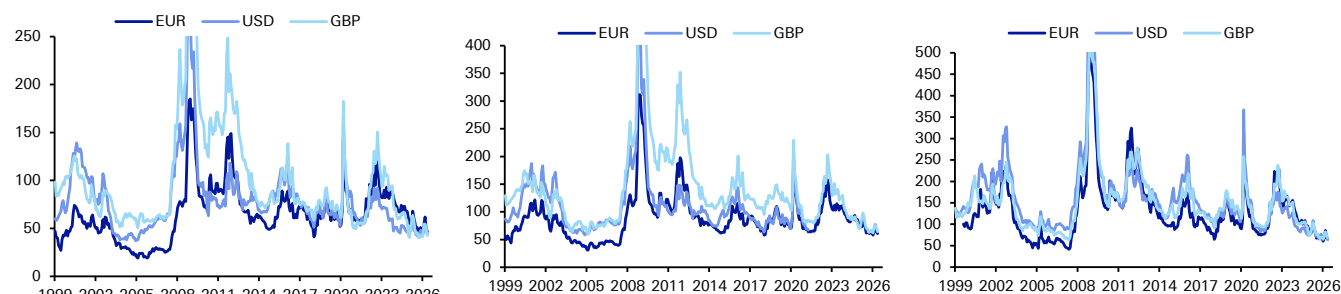
Note: Darker shading means implied default rate is lower than long-term global average. Lighter shading means implied default rate is lower than the worst historical global rate. As of 5/28/26



## Non-financial (cash) default spread premiums (DSP)

Default spread premiums (DSP) provide us with a sense of the excess spread offered in credits over that which is required to compensate for different default scenarios. We start by looking at DSP histories by rating in the EUR, USD and GBP credit markets. They are calculated by subtracting the spread required to compensate for average (historical) default rates and assuming an average recovery rates (40%) from the index spread level. In [Figure 50](#) we show this for IG ratings, where DSPs have always been positive.

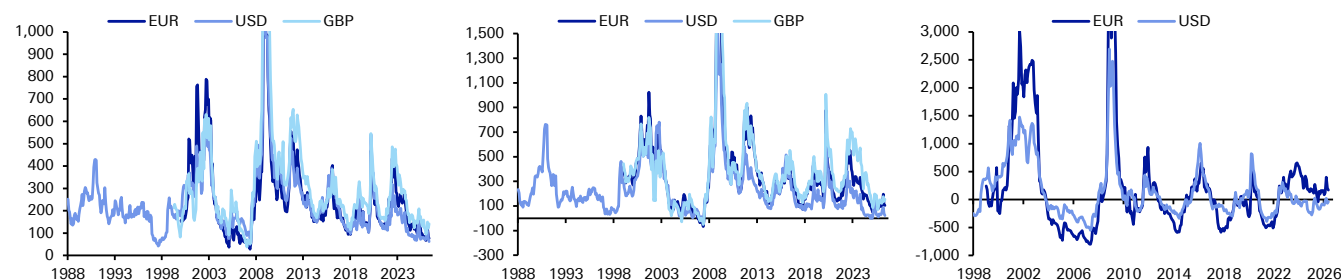
Figure 50: IG DSPs By currency and rating (bps) – AA (left), A (middle) and BBB (right)



Source : Deutsche Bank, S&P, Bloomberg Finance L.P., ICE indices

In [Figure 51](#), we show the same for ratings across HY. With spreads near historic tights, it follows that default spread premiums are near the lows of their long-term ranges. This indicates that **investors are being compensated for very little outside of default risk**. We appear to be in a period where liquidity, rating transition, and recovery uncertainty premia are being heavily discounted. The only ratings where DSPs are not at historic lows are EUR and USD CCCs. The former is a relatively small and idiosyncratic market, while the latter's DSP is still negative, meaning **\$CCC spreads are not compensating for average default risk and average recoveries** at current levels for buy and hold investors.

Figure 51: HY DSPs by currency and rating (bps) – BB (left), B (middle) and CCC (right)



Source : Deutsche Bank, Markit Group, ICE indices

Focusing on the current market pricing, we consider **which rating buckets are offering the greatest DSP given different default and recovery scenarios**. Once again, this analysis is based around the five-year maturity point (focused on bonds with 4-6 years to maturity) and not using index spreads as a whole as we do in Figures 61 and 62. In addition to average default cycles, we also consider the worst historical cycle for each market as well as the most benign. Additionally, we introduce two more recovery assumptions (0% and 20% in addition to 40%). This framework essentially tries to assess the most attractive default-adjusted spread

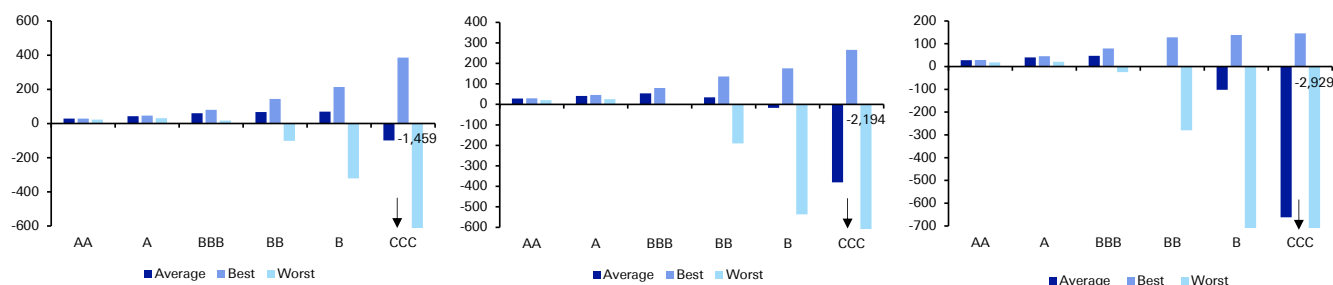


from a buy-and-hold perspective.

We start by looking at USD credit in [Figure 52](#) and provide some of the key highlights below.

- Based on an average default cycle and 40% recovery, **single-Bs offer the widest DSP**, with BBBs seeing the largest premium if recovery levels were to fall.
- Under the worst-case default scenario, which would be a recessionary default cycle, IG generally offers the widest DSP under all recovery assumptions, with even BBs negative at 40% recovery.
- **CCCs only outperform from here under the most bullish scenarios**, wherein they offer a sizeable premium. But of course in the worst-case scenario, there is a substantial wipeout of returns. As laid out above, **current CCC DSPs are negative for an average historical default rate** even at a 40% recovery assumption.

Figure 52: USD non-financial default spread premiums for average, best (lowest) and worst (highest) 5-year cumulative default observations assuming 40% (left), 20% (middle) and 0% (right) recoveries

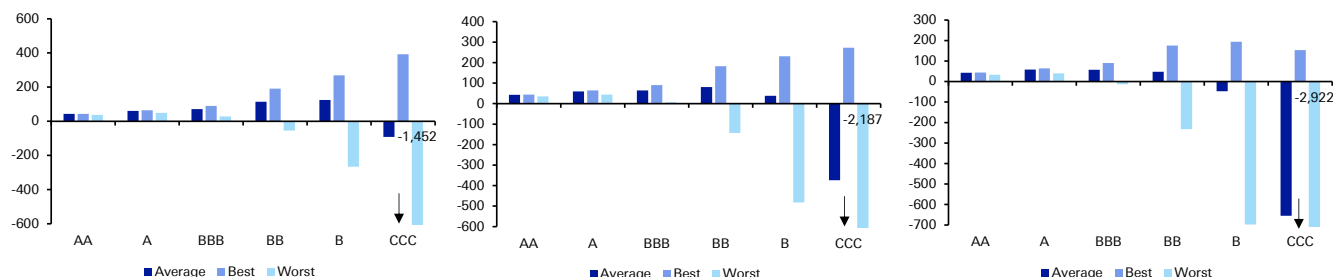


Source : Deutsche Bank, ICE indices

The EUR market analysis, laid out in [Figure 53](#), has broadly similar conclusions.

- **Single-Bs provide the widest DSP** based on an average default cycle for the 40% recovery assumption scenario, single-As actually provide the largest premium if recoveries are 0%, while BBs offer the best at 20%. This speaks, in part, to how tight EUR BBBs trade.
- **CCC DSPs are negative even if recoveries are 40%** under average default scenarios, and grows substantially if recoveries are lower than that.

Figure 53: EUR non-financial default spread premiums for average, best (lowest) and worst (highest) 5-year cumulative default observations assuming 40% (left), 20% (middle) and 0% (right) recoveries



Source : Deutsche Bank, ICE indices

While we believe that defaults can moderate in the short-run, there are still risks we





will see elevated cumulative defaults going forward. Especially if the Fed is not going to be easing policy in the short-to-medium term and there is potentially less fiscal support ahead if Congress becomes split in the latter half of President Trump's second term. Higher-quality, high yield bonds can offer a good level of buy-and-hold value despite potential spread volatility.



## Cohort analysis

In this sub-section, we update our analysis assessing what's priced in to current spreads by comparing them with the spreads that would have been required to compensate for default based on all realized 5-year cohorts over the last 30+ years using different recovery assumptions. We look at this on a global basis.

### Global cohorts

We start by looking at defaults globally with the analysis based only on non-financial issuers. We calculate spreads required to compensate for default based on each actual realised 5-year discreet cohort formed since 1981 (based on S&P data). Overall, this analysis is useful for showing where current spreads are across the board and in which periods through history these spreads would have (and would not have) compensated for the risk of default and by how much. We use both 40% and 0% recoveries, as exact recoveries by cohort are not available. This provides us with a compensation range if readers want to estimate for a different recovery rate.

In [Figure 55](#), we show the spread required to compensate for each historical cohort across both IG and HY rating bands. We have drawn a box around each cell where the spread required to compensate for default is wider than the tightest current spreads (as shown in [Figure 54](#)) of the relevant rating band across currencies (USD, EUR, GBP).

Figure 54: Current Non-financial spreads (vs. governments) by rating (bps)

|                  | Currency | IG  | AA  | A   | BBB | HY    | BB    | B     | CCC   |
|------------------|----------|-----|-----|-----|-----|-------|-------|-------|-------|
| Current          | EUR      | 75  | 48  | 65  | 85  | 269   | 171   | 377   | 1,338 |
|                  | USD      | 72  | 47  | 57  | 89  | 271   | 161   | 295   | 936   |
|                  | GBP      | 81  | 44  | 70  | 94  | 474   | 236   | 426   |       |
| Wide since 2007  | EUR      | 380 | 195 | 321 | 548 | 1,927 | 1,401 | 2,459 | 6,160 |
|                  | USD      | 524 | 320 | 460 | 650 | 1,660 | 1,234 | 1,825 | 2,992 |
|                  | GBP      | 360 | 205 | 315 | 542 | 2,585 | 2,167 | 3,520 |       |
| Tight since 2007 | EUR      | 59  | 24  | 52  | 70  | 212   | 142   | 260   | 475   |
|                  | USD      | 72  | 41  | 56  | 89  | 258   | 156   | 239   | 395   |
|                  | GBP      | 76  | 31  | 66  | 88  | 173   | 127   | 215   |       |

Source : Deutsche Bank, Bloomberg Finance LP, ICE Indices  
Data as of 5/28/2026

When looking at global defaults, the IG analysis as always shows that current spread levels across all ratings are wider than the spread needed to compensate for each of the past 5-year default cycles. As discussed, this is because of the other risks priced into spreads. Though it speaks to how tight BBBs are trading, that at a 0% recovery assumption, current BBBs would not compensate default risks around the dot-com era.

The HY market provides far more interesting observations for investors. Of the 40 cohorts that we have data for, going back to 1982, current CCC spreads would have adequately compensated investors for nearly half (21) of the previous cohorts when assuming a 40% recovery. **For HY overall, current spreads would not have compensated for 11 previous cohorts**, which are grouped around '85-'90 and the dot-com bubble burst.

For a more extreme zero recovery assumption and with spreads near long-term tightness, current valuations would only compensate investors for cohorts which saw historically few defaults. This would be the periods like the mid-90s, post-dot-com era, post-GFC, and the recent post-Covid cohort. These are also cohorts which benefitted from easier monetary policy. Only in 6 of 40 cohorts would CCCs have



been adequately compensated for the ensuing default risks at current spreads if recoveries were zero.

While we are not forecasting a dire default cycle ahead, there are concrete risks to keep cumulative defaults materially above the best-case periods of the past where default rates bottomed out. Therefore this exercise indicates that **current CCC spreads are too optimistic**. B3s are also likely priced for perfection while higher-rated spec-grade debt can outperform if there is no recession on the horizon. While our modelled 3-year cumulative default rates are likely to stay higher than average, the lack of recessionary risks mean current cohorts are not likely to reach the extremes seen of the 90s or dot-com era.

Figure 55: Spreads required to compensate for default based on Global 5-year cumulative default rates by cohort (boxed numbers show past 5-year default periods where current spreads would not compensate for eventual default risk)

|      | 40% Recovery |    |    |     |     |     |     |       | 0% Recovery |    |    |     |     |     |       |       |
|------|--------------|----|----|-----|-----|-----|-----|-------|-------------|----|----|-----|-----|-----|-------|-------|
|      | IG           | AA | A  | BBB | HY  | BB  | B   | CCC   | IG          | AA | A  | BBB | HY  | BB  | B     | CCC   |
| 1981 | 8            | 0  | 3  | 25  | 166 | 166 | 192 |       | 13          | 0  | 5  | 41  | 277 | 277 | 319   |       |
| 1982 | 11           | 0  | 8  | 27  | 235 | 224 | 228 | 471   | 19          | 0  | 14 | 46  | 391 | 374 | 380   | 784   |
| 1983 | 12           | 6  | 3  | 32  | 214 | 181 | 213 | 655   | 19          | 11 | 5  | 53  | 356 | 301 | 355   | 1,091 |
| 1984 | 9            | 5  | 3  | 23  | 269 | 188 | 320 | 750   | 15          | 8  | 5  | 39  | 448 | 313 | 533   | 1,250 |
| 1985 | 5            | 5  | 6  | 5   | 275 | 172 | 379 | 360   | 8           | 8  | 9  | 8   | 458 | 287 | 632   | 600   |
| 1986 | 13           | 5  | 8  | 33  | 241 | 98  | 342 | 631   | 22          | 8  | 13 | 55  | 401 | 164 | 570   | 1,052 |
| 1987 | 22           | 5  | 15 | 52  | 275 | 141 | 289 | 921   | 37          | 8  | 25 | 86  | 459 | 235 | 482   | 1,535 |
| 1988 | 15           | 5  | 10 | 34  | 307 | 152 | 353 | 923   | 25          | 8  | 16 | 57  | 512 | 253 | 588   | 1,538 |
| 1989 | 10           | 0  | 0  | 36  | 353 | 186 | 403 | 1,108 | 17          | 0  | 0  | 60  | 589 | 311 | 672   | 1,846 |
| 1990 | 8            | 0  | 0  | 26  | 353 | 148 | 434 | 1,630 | 13          | 0  | 0  | 44  | 589 | 246 | 723   | 2,717 |
| 1991 | 5            | 0  | 3  | 13  | 276 | 70  | 365 | 1,031 | 9           | 0  | 5  | 22  | 460 | 116 | 608   | 1,719 |
| 1992 | 3            | 0  | 3  | 4   | 148 | 24  | 207 | 657   | 4           | 0  | 5  | 7   | 247 | 41  | 345   | 1,095 |
| 1993 | 2            | 0  | 3  | 3   | 132 | 49  | 196 | 462   | 4           | 0  | 5  | 6   | 221 | 82  | 326   | 769   |
| 1994 | 3            | 0  | 3  | 7   | 136 | 58  | 196 | 772   | 6           | 0  | 5  | 11  | 227 | 96  | 326   | 1,286 |
| 1995 | 8            | 0  | 0  | 21  | 144 | 86  | 173 | 831   | 13          | 0  | 0  | 35  | 240 | 143 | 288   | 1,385 |
| 1996 | 8            | 0  | 3  | 18  | 169 | 91  | 242 | 404   | 14          | 0  | 4  | 30  | 282 | 152 | 404   | 674   |
| 1997 | 15           | 0  | 7  | 29  | 265 | 144 | 369 | 1,292 | 25          | 0  | 12 | 48  | 442 | 240 | 614   | 2,154 |
| 1998 | 31           | 0  | 13 | 58  | 395 | 218 | 543 | 1,698 | 52          | 0  | 22 | 97  | 659 | 363 | 905   | 2,830 |
| 1999 | 32           | 0  | 12 | 61  | 491 | 268 | 648 | 1,891 | 54          | 0  | 21 | 102 | 819 | 446 | 1,079 | 3,152 |
| 2000 | 33           | 0  | 15 | 58  | 476 | 244 | 618 | 2,030 | 55          | 0  | 25 | 97  | 793 | 407 | 1,030 | 3,383 |
| 2001 | 35           | 0  | 10 | 62  | 438 | 205 | 557 | 2,205 | 59          | 0  | 17 | 104 | 730 | 342 | 928   | 3,675 |
| 2002 | 19           | 0  | 0  | 36  | 308 | 111 | 352 | 1,542 | 31          | 0  | 0  | 60  | 513 | 185 | 587   | 2,570 |
| 2003 | 4            | 0  | 0  | 8   | 161 | 48  | 162 | 1,000 | 7           | 0  | 0  | 13  | 268 | 80  | 270   | 1,667 |
| 2004 | 6            | 0  | 2  | 9   | 105 | 44  | 113 | 554   | 9           | 0  | 3  | 15  | 175 | 73  | 188   | 923   |
| 2005 | 13           | 0  | 2  | 23  | 157 | 85  | 191 | 556   | 22          | 0  | 3  | 38  | 262 | 141 | 319   | 927   |
| 2006 | 8            | 0  | 2  | 13  | 188 | 83  | 239 | 731   | 13          | 0  | 3  | 21  | 314 | 138 | 398   | 1,218 |
| 2007 | 6            | 0  | 0  | 11  | 218 | 93  | 279 | 908   | 11          | 0  | 0  | 19  | 363 | 154 | 465   | 1,513 |
| 2008 | 5            | 0  | 0  | 9   | 267 | 85  | 351 | 1,677 | 9           | 0  | 0  | 15  | 445 | 141 | 585   | 2,795 |
| 2009 | 2            | 0  | 0  | 3   | 263 | 49  | 298 | 2,017 | 3           | 0  | 0  | 4   | 438 | 81  | 497   | 3,361 |
| 2010 | 0            | 0  | 0  | 0   | 125 | 23  | 114 | 649   | 0           | 0  | 0  | 0   | 208 | 38  | 191   | 1,081 |
| 2011 | 1            | 0  | 2  | 0   | 121 | 38  | 133 | 791   | 1           | 0  | 4  | 0   | 202 | 63  | 222   | 1,319 |
| 2012 | 4            | 0  | 2  | 5   | 142 | 61  | 145 | 1,015 | 6           | 0  | 4  | 8   | 237 | 101 | 242   | 1,692 |
| 2013 | 2            | 0  | 0  | 3   | 156 | 46  | 177 | 933   | 4           | 0  | 0  | 6   | 261 | 77  | 295   | 1,555 |
| 2014 | 4            | 0  | 0  | 7   | 153 | 46  | 180 | 769   | 7           | 0  | 0  | 11  | 255 | 77  | 301   | 1,282 |
| 2015 | 4            | 0  | 0  | 6   | 166 | 47  | 195 | 922   | 7           | 0  | 0  | 11  | 277 | 79  | 325   | 1,536 |
| 2016 | 8            | 0  | 0  | 13  | 190 | 36  | 219 | 1,200 | 14          | 0  | 0  | 21  | 317 | 60  | 365   | 2,000 |
| 2017 | 5            | 0  | 0  | 8   | 161 | 27  | 171 | 989   | 8           | 0  | 0  | 13  | 268 | 45  | 284   | 1,648 |
| 2018 | 5            | 0  | 4  | 5   | 165 | 30  | 174 | 1,317 | 8           | 0  | 7  | 9   | 274 | 49  | 290   | 2,195 |
| 2019 | 4            | 0  | 0  | 6   | 180 | 36  | 196 | 1,292 | 7           | 0  | 0  | 10  | 300 | 59  | 327   | 2,153 |
| 2020 | 5            | 0  | 0  | 7   | 185 | 45  | 163 | 1,780 | 8           | 0  | 0  | 12  | 308 | 76  | 272   | 2,967 |
| 2021 | 3            | 0  | 0  | 4   | 132 | 29  | 109 | 513   | 5           | 0  | 0  | 7   | 221 | 49  | 181   | 855   |

Source: Deutsche Bank, S&P, Bloomberg Finance L.P., ICE Indices



# Appendix A

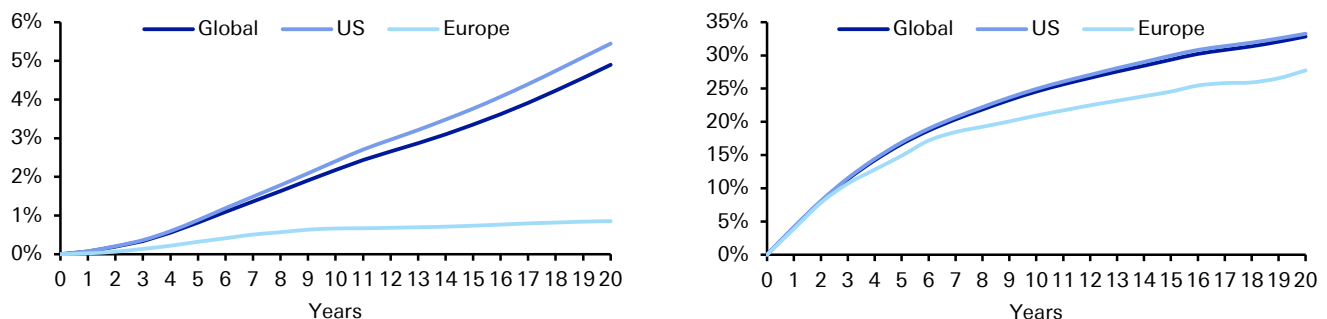
## Methodology, raw data and calculations for HTM analysis

The spread required to compensate for default is calculated using the expected loss for each rating band given historical default and different assumed recoveries. The starting point for such calculations is the rating agencies' historical databases on default. For the purposes of this report, we have mainly used data from S&P, as it provides us the flexibility to focus purely on non-financial defaults as well as looking at defaults regionally, although much of our analysis focuses on the global numbers.

### US vs. Europe cumulative default rates

In [Figure 56 - Figure 58](#) we show a number of charts comparing cumulative default rates for European issuers with those of US issuers. The main point here is that, in general, average historical European default rates have been lower. This is in large part due to the fact there is much less history for rated European issuers and less CCC rated issuers specifically. Based on the S&P database, there has only been more than 100 European IG rated issuers since 1995, and for HY there has only been more than 100 since 2004. Therefore, most of the relevant data for Europe occurs during the past decade or so of extremely low defaults, which probably helps explain the lower default rates relative to the more developed US market. This is also why we have focused on the global numbers for much of our analysis. Over time we would expect European markets to converge further to US markets.

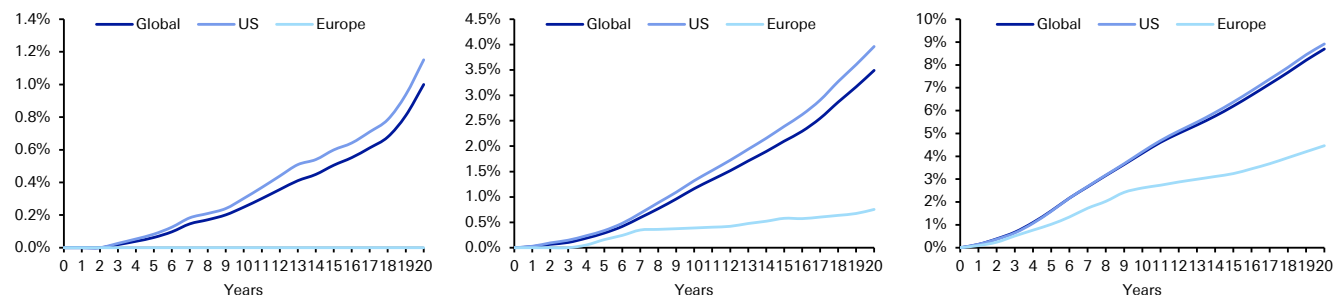
Figure 56: S&P Average Cumulative IG (left) and HY (right) Default Rates



Source : Deutsche Bank, S&P

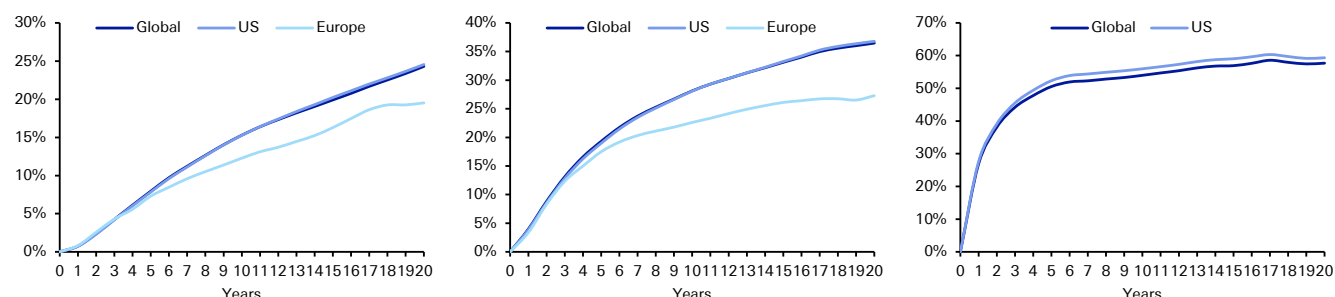


Figure 57: S&P Average Cumulative AA (left) A (middle) and BBB (right) Default Rates



Source : Deutsche Bank, S&P

Figure 58: S&P Average Cumulative BB (left) B (middle) and CCC (right) Default Rates



Source : Deutsche Bank, S&P

### Calculating spreads required to compensate for default

The spreads calculated are spreads based on the maturity of the indices. That would imply we need to calculate the spreads required to compensate for cumulative default probabilities over that time period. The formula we use assumes constant instantaneous hazard rate, which is determined by the spread to that maturity. We then integrate the continuously compounded survival probability to get the cumulative survival probability over time. Thus, the formula can be used to calculate the spread from cumulative default probability or vice versa. We get the cumulative default probabilities from the S&P database and calculate the compensation spreads from them.

$$D = 1 - e^{-ST/(1-R)}$$

where D is the cumulative default probability over time T and S is the Spread to that maturity and R is the recovery

Solving for spread S,

$$S = -\frac{(1-R)}{T} \ln(1-D)$$

Some of our analysis uses different calculations where it makes more sense to look at the path of defaults, rather than simply assuming a constant instantaneous hazard rate.

### Recovery rates

In terms of recovery, we have used a selection of different rates throughout the note, generally focusing on 0%, 20% and 40%. However, in [Figure 59](#) (for comparison





purposes) we publish a table showing average senior unsecured recovery rates for different rating bands. Recovery rates can fluctuate depending on different macroeconomic backdrops, which is why we include the range of recovery scenarios. Recoveries are a very important factor when trying to assess losses in the case of default and therefore calculate the spread required to compensate for default.

Figure 59: Moody's Senior Unsecured Recovery Rates by Rating (1983-2025)

|       | Year 1 | Year 2 | Year 3 | Year 4 | Year 5 | Average |
|-------|--------|--------|--------|--------|--------|---------|
| Aa    | 37.2%  | 39.0%  | 38.1%  | 44.0%  | 43.2%  | 40.3%   |
| A     | 37.7%  | 46.2%  | 47.4%  | 46.8%  | 46.2%  | 44.9%   |
| Baa   | 38.4%  | 40.3%  | 41.0%  | 41.3%  | 41.4%  | 40.5%   |
| Ba    | 40.1%  | 40.3%  | 40.0%  | 40.0%  | 39.9%  | 40.1%   |
| B     | 36.5%  | 36.4%  | 37.2%  | 37.9%  | 38.5%  | 37.3%   |
| Caa-C | 38.9%  | 39.0%  | 38.8%  | 38.8%  | 38.7%  | 38.8%   |
| IG    | 38.2%  | 41.6%  | 42.7%  | 43.1%  | 43.0%  | 41.7%   |
| HY    | 38.3%  | 38.2%  | 38.3%  | 38.5%  | 38.7%  | 38.4%   |
| All   | 38.3%  | 38.4%  | 38.5%  | 38.8%  | 39.1%  | 38.6%   |

Source : Moody's

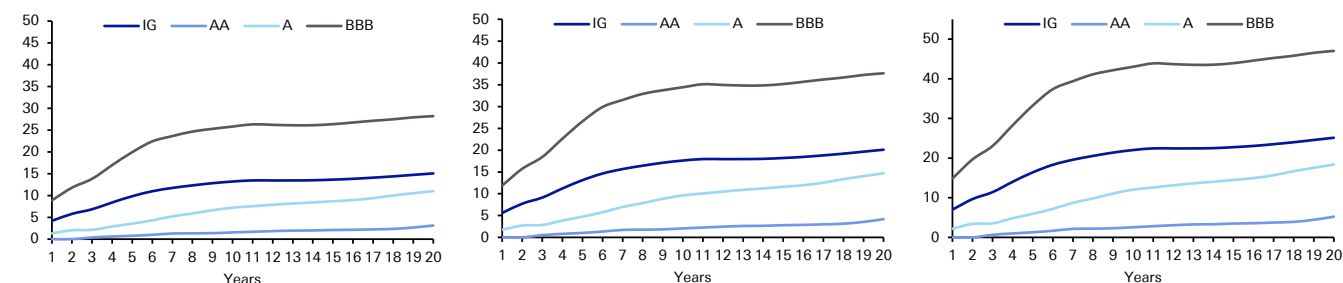
## Spreads required to compensate for default

Figure 60: Spreads Required to Compensate for Default Assuming Different Recovery Levels

| Years | 40% Recovery |    |    |     |     |     |     |       |  | 20% Recovery |    |    |     |     |     |     |       |  | 0% Recovery |    |    |     |     |     |     |       |  |
|-------|--------------|----|----|-----|-----|-----|-----|-------|--|--------------|----|----|-----|-----|-----|-----|-------|--|-------------|----|----|-----|-----|-----|-----|-------|--|
|       | IG           | AA | A  | BBB | HY  | BB  | B   | CCC   |  | IG           | AA | A  | BBB | HY  | BB  | B   | CCC   |  | IG          | AA | A  | BBB | HY  | BB  | B   | CCC   |  |
| 1     | 4            | 0  | 1  | 9   | 252 | 46  | 247 | 1,701 |  | 6            | 0  | 2  | 12  | 336 | 62  | 329 | 2,267 |  | 7           | 0  | 2  | 15  | 420 | 77  | 412 | 2,834 |  |
| 2     | 6            | 0  | 2  | 12  | 250 | 73  | 280 | 1,283 |  | 8            | 0  | 3  | 16  | 333 | 98  | 373 | 1,711 |  | 10          | 0  | 3  | 20  | 416 | 122 | 466 | 2,139 |  |
| 3     | 7            | 0  | 2  | 14  | 241 | 88  | 284 | 1,035 |  | 9            | 1  | 3  | 18  | 322 | 118 | 379 | 1,380 |  | 11          | 1  | 4  | 23  | 402 | 147 | 473 | 1,725 |  |
| 4     | 8            | 1  | 3  | 17  | 230 | 97  | 275 | 875   |  | 11           | 1  | 4  | 23  | 307 | 129 | 366 | 1,167 |  | 14          | 1  | 5  | 28  | 384 | 161 | 458 | 1,458 |  |
| 5     | 10           | 1  | 4  | 20  | 219 | 101 | 261 | 772   |  | 13           | 1  | 5  | 27  | 292 | 135 | 348 | 1,030 |  | 16          | 1  | 6  | 33  | 365 | 169 | 436 | 1,287 |  |
| 6     | 11           | 1  | 4  | 22  | 207 | 104 | 248 | 668   |  | 15           | 1  | 6  | 30  | 276 | 139 | 330 | 890   |  | 18          | 2  | 7  | 37  | 345 | 173 | 413 | 1,113 |  |
| 7     | 12           | 1  | 5  | 24  | 195 | 104 | 234 | 590   |  | 16           | 2  | 7  | 32  | 260 | 139 | 312 | 787   |  | 20          | 2  | 9  | 39  | 325 | 173 | 389 | 983   |  |
| 8     | 12           | 1  | 6  | 25  | 185 | 104 | 220 | 525   |  | 16           | 2  | 8  | 33  | 247 | 138 | 294 | 700   |  | 21          | 2  | 10 | 41  | 308 | 173 | 367 | 875   |  |
| 9     | 13           | 1  | 7  | 25  | 177 | 103 | 209 | 487   |  | 17           | 2  | 9  | 34  | 236 | 137 | 279 | 649   |  | 21          | 2  | 11 | 42  | 295 | 172 | 349 | 812   |  |
| 10    | 13           | 2  | 7  | 26  | 169 | 102 | 200 | 450   |  | 18           | 2  | 10 | 34  | 225 | 136 | 266 | 601   |  | 22          | 3  | 12 | 43  | 282 | 170 | 333 | 751   |  |
| 11    | 13           | 2  | 8  | 26  | 162 | 99  | 191 | 418   |  | 18           | 2  | 10 | 35  | 216 | 132 | 254 | 558   |  | 22          | 3  | 13 | 44  | 269 | 166 | 318 | 697   |  |
| 12    | 13           | 2  | 8  | 26  | 155 | 97  | 182 | 394   |  | 18           | 2  | 10 | 35  | 206 | 129 | 243 | 525   |  | 22          | 3  | 13 | 44  | 258 | 161 | 304 | 656   |  |
| 13    | 13           | 2  | 8  | 26  | 149 | 95  | 175 | 373   |  | 18           | 3  | 11 | 35  | 199 | 126 | 234 | 497   |  | 22          | 3  | 14 | 44  | 248 | 158 | 292 | 621   |  |
| 14    | 14           | 2  | 8  | 26  | 144 | 92  | 169 | 353   |  | 18           | 3  | 11 | 35  | 191 | 123 | 225 | 470   |  | 23          | 3  | 14 | 44  | 239 | 154 | 281 | 588   |  |
| 15    | 14           | 2  | 9  | 26  | 139 | 91  | 163 | 332   |  | 18           | 3  | 12 | 35  | 185 | 121 | 218 | 442   |  | 23          | 3  | 14 | 44  | 232 | 151 | 272 | 553   |  |
| 16    | 14           | 2  | 9  | 27  | 135 | 89  | 159 | 317   |  | 18           | 3  | 12 | 36  | 180 | 119 | 212 | 422   |  | 23          | 4  | 15 | 45  | 225 | 149 | 265 | 528   |  |
| 17    | 14           | 2  | 9  | 27  | 130 | 88  | 153 | 295   |  | 19           | 3  | 13 | 36  | 173 | 117 | 204 | 393   |  | 24          | 4  | 16 | 45  | 217 | 147 | 255 | 491   |  |
| 18    | 14           | 2  | 10 | 27  | 126 | 86  | 147 | 276   |  | 19           | 3  | 13 | 37  | 167 | 115 | 196 | 368   |  | 24          | 4  | 17 | 46  | 209 | 144 | 245 | 460   |  |
| 19    | 15           | 3  | 11 | 28  | 122 | 86  | 142 | 262   |  | 20           | 4  | 14 | 37  | 163 | 114 | 189 | 349   |  | 25          | 4  | 18 | 47  | 204 | 143 | 237 | 437   |  |
| 20    | 15           | 3  | 11 | 28  | 119 | 85  | 138 | 251   |  | 20           | 4  | 15 | 38  | 159 | 114 | 183 | 335   |  | 25          | 5  | 18 | 47  | 199 | 142 | 229 | 419   |  |

Source : Deutsche Bank, S&P

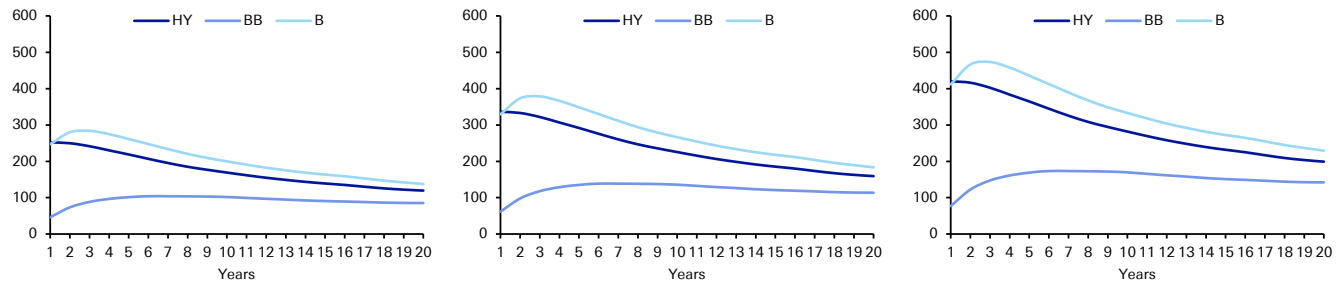
Figure 61: IG Spread Required to Compensate for Default Assuming a 40% (left), 20% (middle), 0% (right) Recovery



Source : Deutsche Bank, S&P



Figure 62: HY Spread Required to Compensate for Default Assuming a 40% (left), 20% (middle), 0% (right) Recovery



Source : Deutsche Bank, S&P

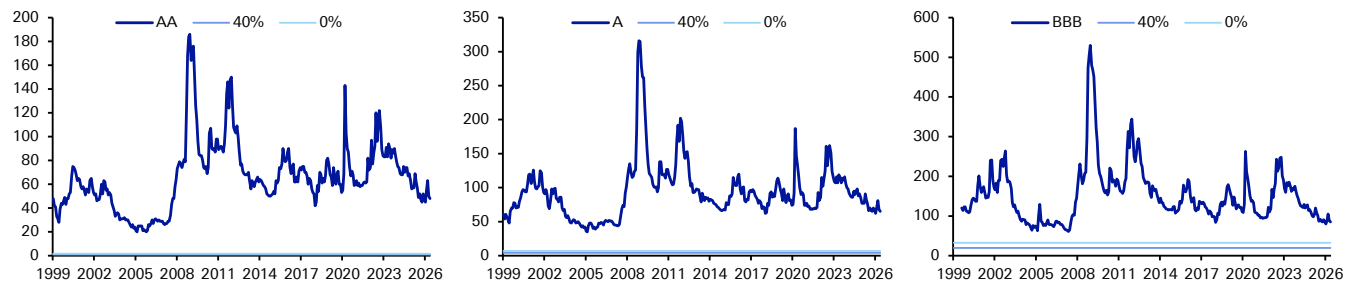
### Credit spreads vs. spreads required to compensate for default

Whilst we have formed most of our conclusions in earlier sections of this note, the following section takes a more detailed graphical look at the spreads required to compensate for default probability assuming different recovery rates against historical index level spreads.

The charts focus on non-financial indices across the rating bands. We include charts for the EUR, USD, and GBP markets across both IG and HY. We initially show the spread histories compared with the spread required to compensate for average historical default based on the appropriate rating and index average life, assuming both a 40% and 0% recovery. We then show the DSP charts where we subtract the spread required to compensate for default from the actual trading levels. For this we only use the analysis where we assume a 40% recovery.

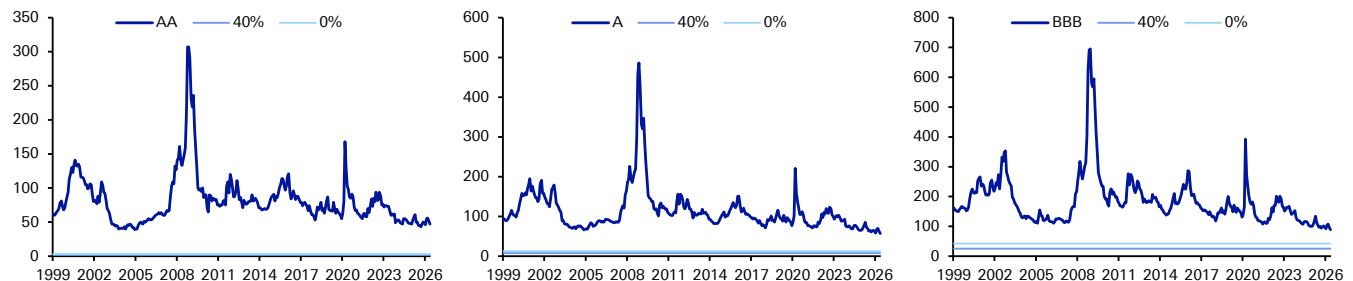
### Investment Grade

Figure 63: EUR AA (left), A (middle) and BBB (right) Index Spread Histories vs. Default-Compensation Spreads (bps)



Source : Deutsche Bank, Markit Group

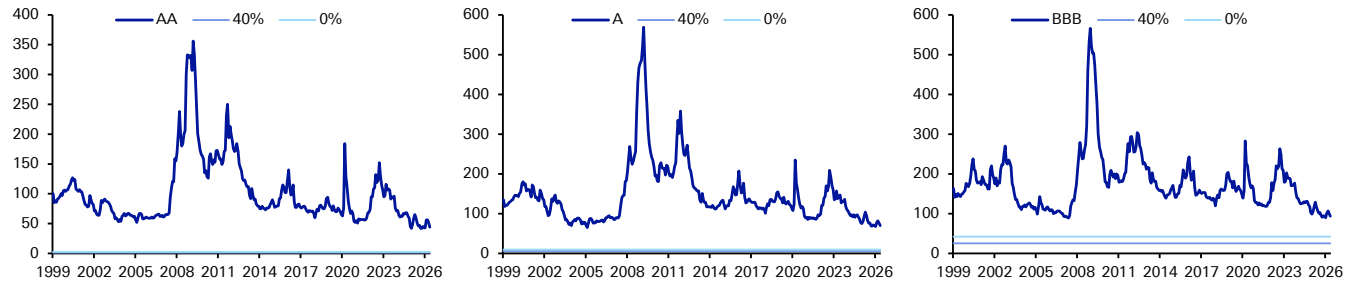
Figure 64: USD AA (left), A (middle) and BBB (right) Index Spread Histories vs. Default-Compensation Spreads (bps)



Source : Deutsche Bank, S&P, Bloomberg Finance L.P., ICE Indices

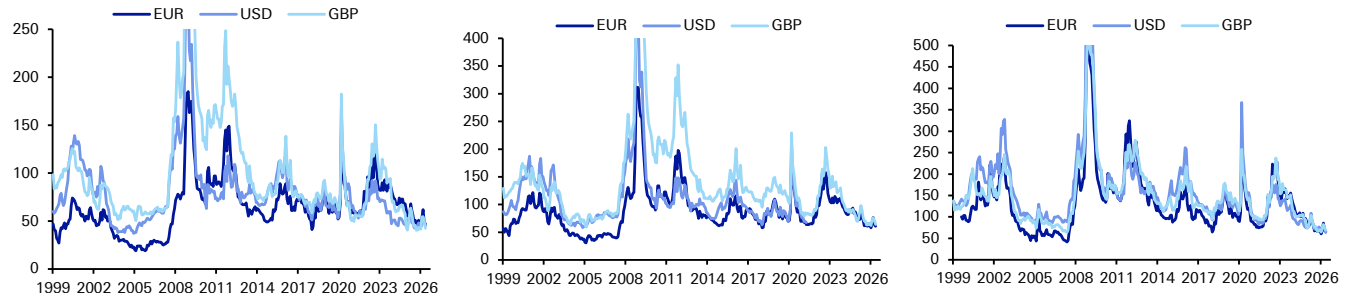


Figure 65: GBP AA (left), A (middle) and BBB (right) Index Spread Histories vs. Default-Compensation Spreads (bps)



Source : Deutsche Bank, S&P, Bloomberg Finance L.P., ICE Indices

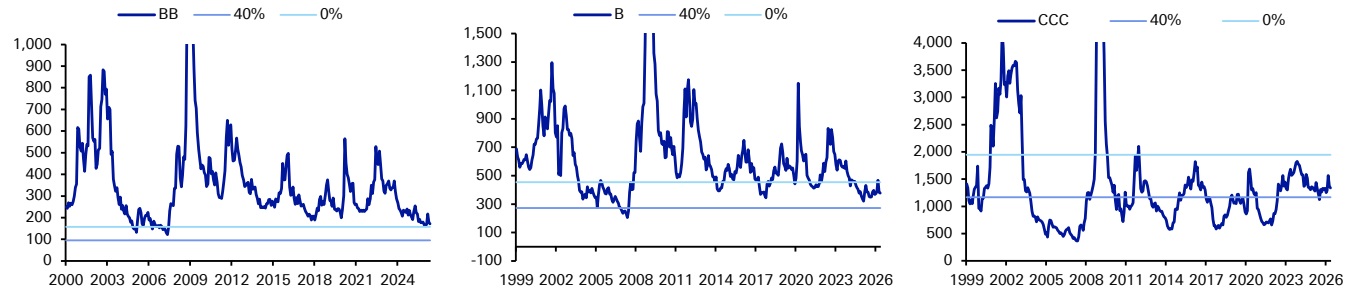
Figure 66: AA (left), A (middle) and BBB (right) Default Spread Premium (bps)



Source : Deutsche Bank, S&P, Bloomberg Finance L.P., ICE Indices

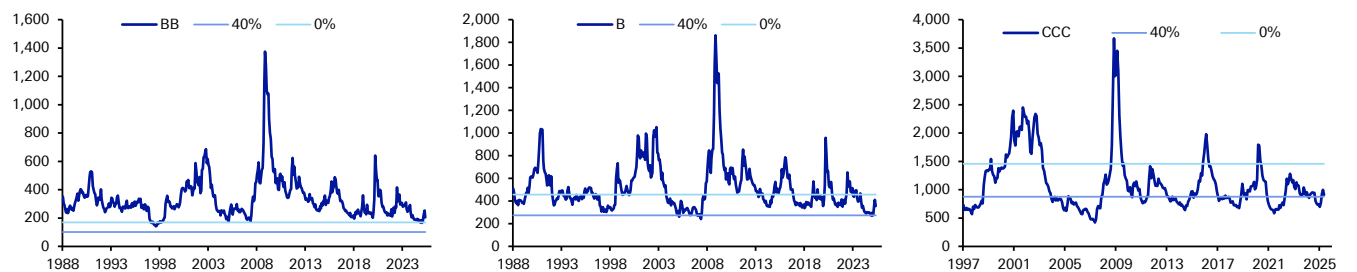
## High Yield

Figure 67: EUR BB (left), B (middle) and CCC (right) Index Spread Histories vs. Default-Compensation Spreads (bps)



Source : Deutsche Bank, S&P, Bloomberg Finance L.P., ICE Indices

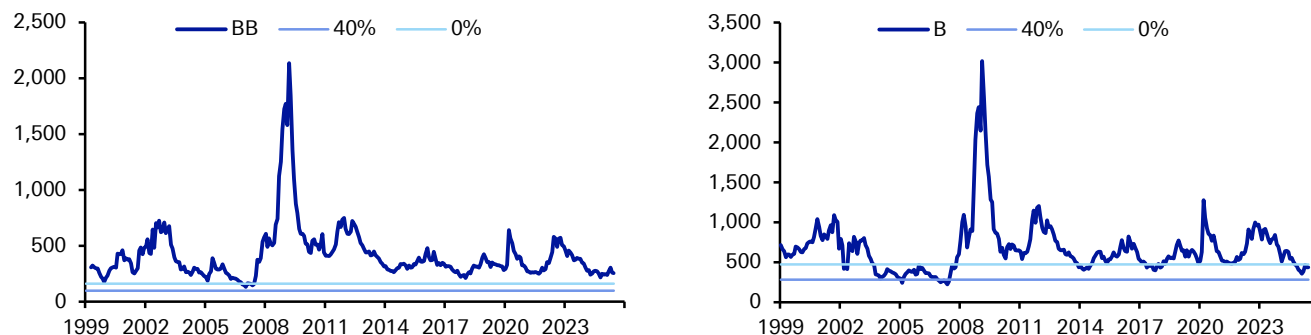
Figure 68: USD BB (left), B (middle) and CCC (right) Index Spread Histories vs. Default-Compensation Spreads (bps)



Source : Deutsche Bank, S&P, Bloomberg Finance L.P., ICE Indices

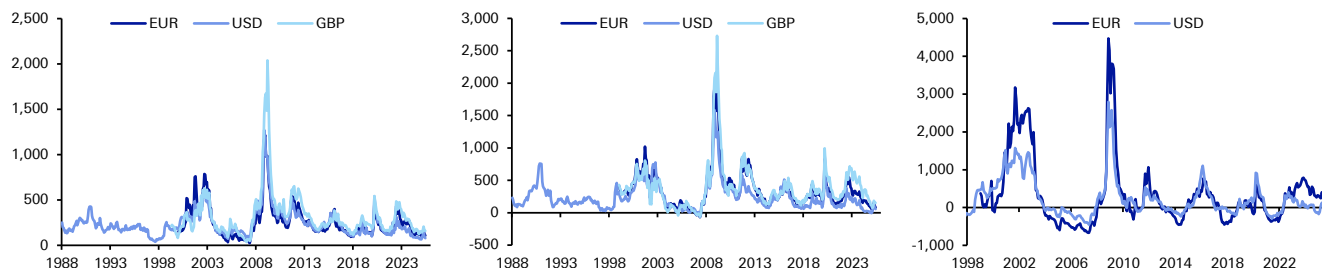


Figure 69: GBP BB (left) and B (right) Index Spread Histories vs. Default-Compensation Spreads (bps)



Source : Deutsche Bank, S&P, Bloomberg Finance L.P., ICE Indices

Figure 70: BB (left), B (middle) and CCC (right) Default Spread Premium (bps)



Source : Deutsche Bank, S&P, Bloomberg Finance L.P., ICE Indices

### Why additional spread is required

This piece has only ever aimed to look at the spread required to compensate for default. In effect, it is the first building block in assessing where credit should trade, as defaults are the only way a buy-and-hold investor actually loses money in credit relative to the risk-free investment. In reality, there are other important factors that should be taken into consideration. However, trying to put a number to this becomes increasingly subjective and open to interpretation. For those wanting to explore further, these are some of the factors we believe should be considered for those not buying and holding to maturity.

### Liquidity

While credit has always tended to be less liquid than government bonds (there were countries where this was not the case post the sovereign crisis), it could be argued this issue remains important largely due to the evolving regulatory environment and significant intervention in recent years. We have written on a number of previous occasions that liquidity risk is a potentially bigger worry for investors than default risk and why investors with a mark-to-market requirement may require more compensation. The initial sharp sell-off in credit during the pandemic arguably highlighted these liquidity issues. Although with the Fed buying corporate bonds for the first time after this shock, this might lead many to think the ultimate downside trading liquidity issue has been permanently reduced. However, what happens in the next crisis if inflation is higher?

### Return over risk-free alternative



Clearly, one does not invest in credit to only get a return equal to the risk-free (i.e., government bonds). We need additional spread for it to be worth holding credit on a risk-reward basis.

### What is the risk-free rate these days?

The sovereign crisis severely compromised the notion of a risk-free rate to benchmark credit. However, in the years since the sovereign crisis we've gone from high sovereign risk and high yields to one where more and more government markets were trading with negative yields as aggressive central bank intervention dominates. So, investors have had to question the suitability of government credit benchmarks from both extremes over the past few years. This makes it very difficult to assess relative risk. If inflation returns more permanently, this adds yet another dimension.

### Cost of credit investing

Clearly, the further you move along the credit curve, the more intensive you need to be in analysing credit. Therefore, the cost base is higher and requires a higher reward than simply compensating you for default risk. Management fees also have to be paid out of returns.

### Ratings transition risk

Some investors can only own bonds down to a certain rating category and may be forced to sell if a bond is downgraded through this lower limit. Hence, we probably need a premium for risk of downward rating migration, especially in troubled times. However, this changes over time and investors are less forced sellers on downgrades below certain levels than they used to be.

### Uncertainty and timing of recovery rate

In an event of default, the amount and timing of recovery is uncertain. We note that ultimate recoveries for unsecured senior bonds have averaged 47.4% since 1987. This is above the level of 34.8%, over the same period, that trading prices a month after default implies. The latter is often the recovery rate used in models.

### Short-term performance targets

Investment grade rarely fails to compensate for default risk over the medium to long run, but investors are very much measured on a short-term basis. They therefore need some cushion to protect against mark-to-market volatility.

Quantifying all these factors above is outside the remit of this report. The buy-and-hold investor has less need to worry about them, though. We hope this report shows the crucial default building block that credit spreads are built around.

## Structural US & European corporate default models

Figure 71: US Structural Corporate Default Model (1983-2022, quarterly)

|                                                             | Coefficients | t Stat | P-value |
|-------------------------------------------------------------|--------------|--------|---------|
| Intercept                                                   | -0.177       | -7.1   | 0.0%    |
| US Non Financial Corporate Debt to GDP (T-9)                | 0.386        | 7.7    | 0.0%    |
| US Non Financial Corporate Short-Term/Long-Term Debt (T-21) | 0.001        | 2.9    | 0.4%    |
| BBB Real Yields (T-6)                                       | 0.005        | 5.3    | 0.0%    |
| DB US Credit Recession Indicator (T-15, squared)            | 0            | 7.4    | 0.0%    |

Source : Deutsche Bank, Bloomberg Finance LP



Figure 72: Europe Structural Corporate Default Model (1983-2022, quarterly)

|                                                       | Coefficients | t Stat | P-value |
|-------------------------------------------------------|--------------|--------|---------|
| Intercept                                             | -0.05        | -2.2   | 2.9%    |
| EA-20: Non Financial Corporate Debt to GDP (T-3)      | 0.001        | 2.9    | 0.5%    |
| DB Eurozone Credit Recession Indicator (T-9, squared) | 0            | 6.5    | 0.0%    |
| Real ECB Policy Rate (T-3)                            | 0.136        | 1.9    | 6.7%    |

Source : Deutsche Bank, Bloomberg Finance LP





## Appendix 1

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Deutsche Bank  
Research

# Private capital monitor

## Media narratives v the hard reality

3 June 2026

Luke Templeman | Galina Pozdnyakova

**Deutsche Bank Research Institute**

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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## Executive summary

- Private capital managers' confident Q1 performance is a stark contrast to the media and investor narratives that have focussed on concerns about credit quality, AI disruption and redemptions. We take a closer look at what this divide means for PC in 2026.
- AI disruption: Our risk scoring and indexes show that PC managers were more worried about the 2022-23 rate rises, but today, the media is far more worried about AI.
- Overall in Q1, PC managers became more attuned to various external risks including AI disruption. Still, the large managers remain confident about their portfolios and fundraising.
- Managers emphasised that retail fundraising woes have been more concentrated and less severe than the media presents.
- We show our proprietary survey of individuals in the UK and the US that highlights the virality of negative headlines in the financial press.
- We track decompression in BDCs' non-accrual rates to show that the deterioration comes after quarters of strong growth. Thus, further defaults will require significant stress in the equity layer.
- We continue to expect PC dealmaking to recover as the most intense adverse headlines subside.
- Last, we take a look at the impact of market volatility amidst geopolitical tensions on realisations and dealmaking. We expect both to be resilient, including IPOs, as both corporates and dealmakers have become accustomed to market turbulence this decade. We also note that softness in sponsored deals is less pronounced outside tech and managers are eager to invest in key themes such as infrastructure, energy and defence.

The background of the slide features a close-up photograph of two hands holding a large orange and a large red apple. The hands are positioned at the bottom, with fingers visible. The orange is on the left and the apple is on the right. A semi-transparent dark blue rectangular overlay covers the middle portion of the image, containing the text.

# 01. Q1 2026 results

# What do earnings calls from large, listed managers say about the private capital environment?

## Key themes

*Q1 was characterised by a complex macro environment, with managers navigating geopolitical tensions, fears of AI-driven disruption, and a bifurcation in private credit markets. Despite this, management teams are confident amidst strong fundraising, accelerating demand for AI-related infrastructure, and strategic advantage of diversified, scaled platforms. Firms are differentiating themselves through operational expertise and a disciplined investment processes, while being ready for opportunities from market dislocations.*

### 1. AI as a generational investment catalyst, especially in infrastructure

- The AI revolution is the most dominant theme, viewed as a massive, multi-decade tailwind. The focus is less on direct software investment and more on providing the essential physical infrastructure required to power AI. Management consistently highlighted the enormous capital required for data centres, power generation, transmission, cooling systems, and the broader energy transition.
  - Blackstone noted its portfolio of data centres exceeds \$150 billion, with a \$160 billion prospective pipeline, and stated AI infrastructure is the "single most important thing for the performance of our clients". Ares sized the third-party data centre market opportunity at around \$900 billion.
- Firms are positioning themselves as beneficiaries of the AI build-out, regardless of which software models win.
- Internally, firms are adopting AI to enhance productivity. TPG noted that nearly 80% of its staff uses its customized AI tools daily

### 2. A bifurcation in private credit markets with strong institutional backing

- Despite negative headlines and "noise" surrounding retail-focused BDCs, managers reported robust institutional demand for private credit, emphasizing a "flight to quality." Several firms noted a clear divergence. While retail channels experienced redemption requests, institutional demand remained strong.
  - KKR noted "meaningful inbound interest from institutions around our direct lending business".
  - Blackstone stated its institutional and insurance clients, representing 75% of its credit AUM, "continued to commit large-scale capital".
- Managers stressed their disciplined underwriting, low LTVs, and focus on senior secured debt as key risk mitigants. Diversification away from sponsor-backed direct lending into areas like asset-based finance (ABF) and investment-grade private credit is a major trend.

### 3. Fundraising strength driven by scale and client consolidation

- Despite the environment, fundraising was a significant bright spot. Across the board, large, diversified managers are benefiting from a trend of investors consolidating their relationships with fewer, strategic partners who can offer a wide range of products – clients are increasingly seeking multi-asset, customized solutions rather than single-fund products. The GP-led secondaries market is seen as a major growth area, driven by the need for liquidity solutions for fund sponsors.

### 4. Cautious optimism on monetisations amid geopolitical uncertainty

- The M&A and IPO environment is viewed with caution due to geopolitical instability, but firms with high-quality, well-performing assets see a path to monetization. Firms are actively exiting assets at strong multiples.

Source: Bloomberg Finance LP, Deutsche Bank.



# What do earnings calls from large, listed managers say about the private capital environment?

## Key risks

*The primary risks centre on the disruption of software and other "white-collar" industries by AI, the potential for a broader credit cycle turn, and redemption pressures in the retail wealth channel for private credit.*



### 1. AI disruption to software and "white-collar" business models

- While AI is seen as an opportunity, its potential to disrupt existing business models, particularly in software, is a frequently cited risk. While there is a general acknowledgment that the full impact of AI is unknown and will play out over several years, managers are actively reviewing their software portfolios for AI risk:
  - Ares had a review that concluded that 86% of its portfolio had low AI disruption risk, 13% had medium risk, and only 1% had high risk.
  - TPG noted one of its most exposed funds has 7% exposure to companies in a "mitigate category" where material AI risk is perceived.
  - Blackstone mentioned that software "has come into focus as an at-risk area".
- The consensus is to be defensively positioned, focusing on software with proprietary data and high barriers to entry, while avoiding areas like content generation or simple productivity tools.

### 2. Redemption pressures in retail private credit vehicles

- The slowdown and net outflows in non-traded BDCs and other retail credit funds are a headwind, though managers frame it as manageable and cyclical.
- While the overall impact on AUM and fees is presented as minimal to firm-wide earnings, it is causing a near-term deceleration in fee growth from these specific products.
- Managers also defended the redemption gates (typically 5% of NAV per quarter) as an essential feature to protect investors from forced asset sales and align the fund's liquidity with its illiquid underlying assets.

### 3. Geopolitical Instability and Macro Headwinds

- The conflict in Iran and broader geopolitical tensions were cited as creating uncertainty, volatility, and a more challenging operating environment – the conflict has caused a near-term "pause" in transaction activity as sponsors and corporates re-evaluate the landscape.
- Despite the risks, managers believe periods of uncertainty favour scaled, patient investors.
  - Ares noted it experienced its two fastest growth periods during the GFC and COVID crises.

Source: Bloomberg Finance LP, Deutsche Bank.



# What do earnings calls from large, listed managers say about the private capital environment?

## Scoring key concerns using earnings transcripts and our AI tool, dbLumina – Q4 vs Q1

*Managers became on average more concerned about risks last quarter. They are also relatively more concerned about AI disruption and it is now the top 3 risk in our list, though it still trails macroeconomic environment risk by half. Importantly, managers continue to stress they're comfortable with own credit portfolios and fundraising.*

### AI & digital infrastructure

- Earlier this year, AI was discussed more as an opportunity. Software exposure was noted, but the risk of disruption was less of a focus. Now, the risk of AI-driven disruption to software business models has become a central topic of questioning and a key area of risk management. Firms are proactively quantifying and managing this risk.

### Private credit:

- The narrative has become more nuanced. While underlying credit quality remains strong, the sector is experiencing a turbulence in the US retail wealth channel, while institutional demand and opportunities in non-corporate or non-US credit are accelerating.

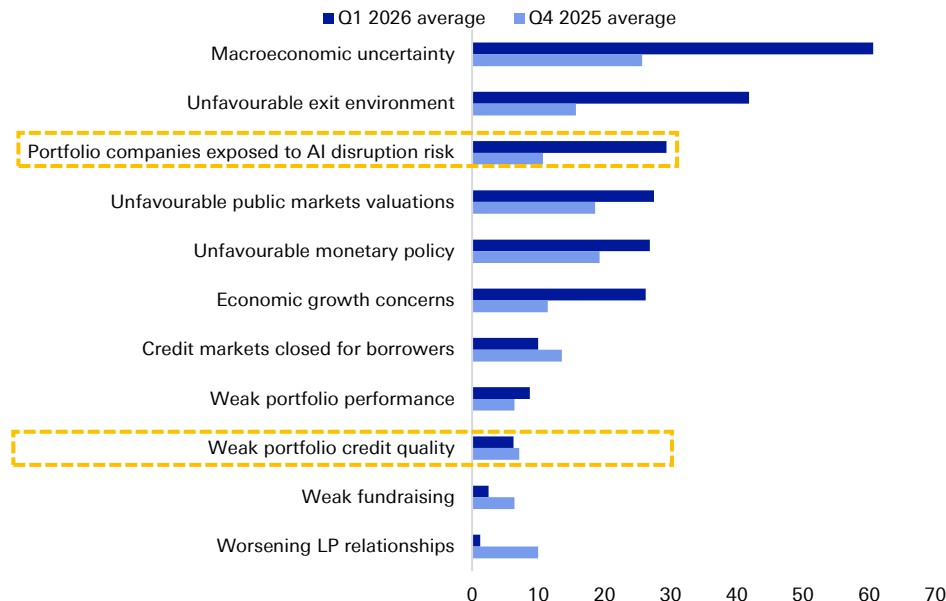
### Realisations & IPOs

- The strong monetisation momentum from late 2025 was tempered by early 2026 volatility. However, the underlying pipelines remain robust, suggesting that a stabilisation in markets could lead to an acceleration in H2.

### Retail channel volatility

- The wealth channel was a key growth engine, with record inflows reported by many firms for 2025. But the "social media and press reporting" on private credit led to a tangible slowdown and increased redemptions in US-focused retail credit funds – the risk of pro-cyclical flows in the retail channel, previously a more theoretical concern, materialized in Q1 2026.
- Managers also noted that redemption requests are often concentrated among a small number of larger, often institutional-like, investors within these funds, rather than a broad-based retail exodus.
- Firms are emphasizing the structural features of these semi-liquid vehicles and the fact that they have met all redemption requests, which they believe will ultimately build long-term confidence.

Average concern score across 8 large listed managers (from 0, least concerned, to 100, most concerned)



Source: Bloomberg Finance LP, Deutsche Bank.

# Q1 earnings: reported performance by asset class – performance has slowed outside infrastructure



| KKR                                | Q1    | LTM   |
|------------------------------------|-------|-------|
| Private equity                     |       |       |
| Traditional PE portfolio           | 1%    | 10%   |
| Real assets                        |       |       |
| Opportunistic real estate          | -1%   | 2%    |
| Infrastructure                     | 2%    | 10%   |
| Credit                             |       |       |
| Leveraged credit composite         | -1%   | 5%    |
| Alternative credit composite       | -1%   | 4%    |
| Apollo                             | Q1    | LTM   |
| Direct origination                 | 0.5%  | 8.5%  |
| Opportunistic credit               | 2.5%  | 11.4% |
| Multi-credit                       | 1.0%  | 7.9%  |
| Asset-backed finance               | -1.0% | 8.2%  |
| Flagship PE                        | -0.3% | 4.7%  |
| Carlyle                            | Q1    | LTM   |
| Global private equity              |       |       |
| Corporate PE                       | -2%   | 3%    |
| Real estate                        | 1%    | 3%    |
| Infrastructure & natural resources | 9%    | 25%   |
| Global credit                      | 4%    | 15%   |

| Ares                        | Q1    | LTM   |
|-----------------------------|-------|-------|
| Credit                      |       |       |
| Alternative credit          | 3.9%  | 15.3% |
| Opportunistic credit        | -0.2% | 11.7% |
| US senior direct lending    | 2.1%  | 11.8% |
| US junior direct lending    | 1.5%  | 14.8% |
| European direct lending     | 2.6%  | 9.2%  |
| APAC credit                 | 2.5%  | 20.3% |
| Corporate private equity    | -1.1% | 3.5%  |
| Real assets                 |       |       |
| Americas real estate equity | 0.6%  | 5.9%  |
| European RE equity          | 0.1%  | 3.1%  |
| Infrastructure debt         | 1.9%  | 9.0%  |
| Secondaries                 |       |       |
| Private equity secondaries  | 0.9%  | 7.2%  |
| Real estate secondaries     | 2.5%  | 7.9%  |
| Blue Owl                    | Q1    | LTM   |
| Direct lending              | -0.4% | 8.5%  |
| Alternative credit          | 1.7%  | 11.0% |
| Net lease                   | 2.6%  | 14.7% |
| Real estate credit          | 1.9%  | 8.5%  |
| Digital infrastructure      | 3.9%  | 2.6%  |

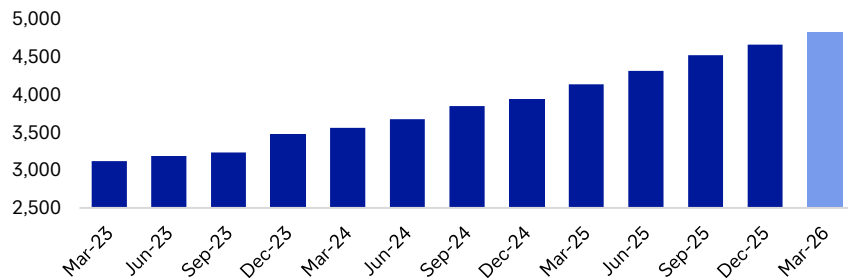
| Blackstone               | Q1    | LTM   |
|--------------------------|-------|-------|
| Real estate              |       |       |
| Opportunistic            | -0.9% | -1.6% |
| Core+                    | 0.8%  | 2.6%  |
| Private equity           |       |       |
| Corporate private equity | 3.2%  | 15.7% |
| Tactical opportunities   | 3.6%  | 10.9% |
| Secondaries              | 0.7%  | 12.7% |
| Infrastructure           | 7.8%  | 24.8% |
| Credit & insurance       |       |       |
| Private credit           | 0.6%  | 8.9%  |
| Liquid credit            | -1.3% | 4.1%  |
| TPG                      | Q1    | LTM   |
| Capital                  | -2.3% | 6.7%  |
| Growth                   | -1.5% | 2.0%  |
| Impact                   | 0.3%  | 12.5% |
| Credit                   | 2.2%  | 10.8% |
| Real Estate              | 1.9%  | 8.3%  |

Source: Company reports, Bloomberg Finance LP, Deutsche Bank. Note: Performance reflects gross returns or appreciation depending on the manager, strategy and time period.

# Growth in key metrics for selected large private capital managers – strong AUM growth but softer earnings QoQ



Total AUM in \$bn



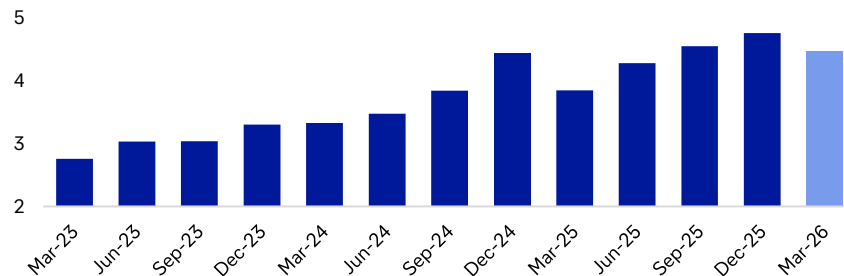
Dry powder in \$bn



Average fee-related earnings margin (%)



Fee-related earnings in \$bn



Source: Bloomberg Finance LP, Deutsche Bank.

## Management comments – focus on resilience amidst a more volatile backdrop



- **Stephen Schwarzman of Blackstone:** “Blackstone delivered outstanding first-quarter results despite the turbulent environment, highlighted by almost \$70 billion of inflows and positive appreciation across nearly all of our flagship strategies. Our all-weather model protects us in these times of disruption while also allowing us to invest where we see the greatest opportunity”
- **Joseph Bae and Scott Nuttall of KKR:** “Against a volatile backdrop, monetization activity accelerated, and over the past 12 months we’ve invested more capital on behalf of our clients than at any point in our history. We are highly confident in the strength of our platform and our long-term positioning.”
- **Marc Rowan of Apollo:** “Our first quarter results set a strong tone for the year, with record fee-related earnings and assets under management surpassing \$1 trillion – a testament to the trust our clients place in us and a reminder of the value we create at scale. Whether we’re originating investment grade credit, delivering retirement solutions, or developing new products and capabilities, innovation and discipline continue to drive us forward.”
- **Harvey Schwartz of Carlyle:** “Our first quarter results reflect continued momentum executing against our strategic plan. Carlyle AlInvest delivered another quarter of exceptional growth, fundraising for both institutional and wealth clients had a strong start to the year, and we had a record quarter for U.S. Buyout realizations – each reinforcing our confidence in the path to achieving the 2028 targets...”
- **Michael Arougheti of Ares:** “We reported strong first quarter results highlighted by continued growth across our key financial metrics, including record first quarter fundraising of \$30 billion, up more than 45% year over year. We are on track for another record year of fundraising as we continue to see broad-based investor demand across our platform. We also continue to see strong fundamental performance across our investment portfolios despite the volatile market environment”.
- **Jon Winkelried of TPG:** “TPG’s strong first quarter performance reflects the significant momentum across our global platform, as the scale of our franchise and consistent execution continue to translate into powerful results. Over the past year, despite an uncertain macro environment, we delivered step function growth across capital formation, deployment, and realizations. Our resilient business model is intentionally built to navigate complexity and capitalize on opportunity. As our clients deepen their engagement with TPG, we are confident in our positioning and ability to deliver long-term growth and differentiated value for our stakeholders..”
- **Doug Ostrover and Marc Lipschultz of Blue Owl:** “Blue Owl’s results for the first quarter of 2026 demonstrate the power of our three differentiated and scaled platforms, each of which has contributed to our continued expansion to \$315 billion of AUM. Our financial results reflect stability, stemming from our durable capital base, and growth, driven by fundraising and ongoing capital deployment.”

Source: Company reports, Deutsche Bank.



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## **Spotlight section: the key narratives weighing on private capital**



# 1. Private capital outflows fears

Private capital managers argue that the "headline-driven" anxiety, particularly in the press and social media, is disconnected from the fundamental reality they are observing. While acknowledging a cyclical slowdown and elevated redemptions in some US retail vehicles, managers assert that the impact is contained and far less severe than portrayed. They point to strong portfolio performance, structural resilience of perpetual funds, and robust demand from institutional clients as counterweights. They highlight investor education, product diversification, and frame the current dislocation as a market share opportunity for scaled, trusted platforms.

## Redemptions are concentrated and not systemic:

- Ares: for its non-traded BDC, the firm noted that the "majority of repurchase requests... came from a limited number of family offices and smaller institutions in select regions... Over 95% of our investors did not request redemptions"
- Blue Owl: for its OCIC fund, redemption requests were "concentrated with 1% of investors representing a majority of tenders" and approximately 90% of the investor base did not tender at all.
- Blackstone: on redemptions: "contrary to this popular idea that it's small investors that are leading the charge here, it is actually a smaller number of large investors who are double the size basically on average of the typical investor in these vehicles."

## In sharp contrast to the retail wealth channel, managers report strong demand from institutional and insurance clients, who view the dislocation as an opportunity.

- Blackstone: mentioned the "striking the difference in terms of what we've seen from the institutional and insurance clients relative to the wealth channel," and noted that Q1 was one of their best quarters for credit fundraising from these clients on record.
- Ares: stated that "the institutional investor is not anxious. They're not allocating away from private credit. And in fact, I think they're looking at this as a huge opportunity to take advantage of a bizarre dislocation and bring liquidity into the market to capture excess return."
- KKR: received "meaningful inbound interest from institutions around our direct lending business" in the weeks leading up to their call, with clients viewing the dislocation as an "interesting entry point".

## While acknowledging the reality of the outflows, managers assess their financial and strategic impact as minimal and manageable, saying that the growth in other areas far outweighs the softness in specific US wealth products.

- Ares: said its two private credit wealth products account for only 4.5% of its overall fee-paying AUM and that in a "very unlikely scenario" where if these funds experienced 5% quarterly redemptions for a full year with no new inflows, it would affect total firm FPAUM by only approximately 1% annually.
- Blue Owl: Net outflows from its two BDCs were less than 6 basis points of the firm's beginning-of-period AUM, with the funds collectively making up less than 17% of total AUM.
- KKR: Its private BDC footprint is "even smaller, around \$3 billion of AUM or 0.4% of our AUM in total".

## There is a consensus that the softness is cyclical and temporary. Managers are not altering their long-term plans for the wealth channel. Blackstone said it will continue to expand its wealth team and product suite at a "fairly rapid pace". Ares confirmed it has not changed its fundraising guidance.

- Blackstone, drawing a parallel to the earlier noise around his firm's real estate vehicle, stated, "We're going to get through this like we've always gotten through these moments, and the products will continue to grow".
- Blue Owl expects to "continue to be in a softer environment in wealth" but can maintain its margin targets regardless.

## Managers defend the redemption gates (typically 5% of NAV per quarter) as a fundamental and necessary feature of the products, designed to protect investors from forced asset sales and match the illiquid nature of the underlying loans.

- Blackstone noted, "These caps on redemptions are not a bug. They're a feature of these products... The key question is, are you offering a premium in exchange for giving up this liquidity?"
- Blue Owl noted that for its OCIC fund, regular-way paydowns from underlying loans were almost \$3 billion in the quarter, providing 3x coverage for the \$1 billion in gross redemptions, before considering new inflows or credit lines.

## Product and channel diversification: Capital that might have gone to a US BDC can be seamlessly deployed elsewhere.

- Ares explicitly stated that any capital not deployed in its non-traded vehicles will be "taken up by other traded and institutional funds and SMAs with limited to no impact to our current year profitability". They also highlighted very strong inflows into their European direct lending and SME funds.

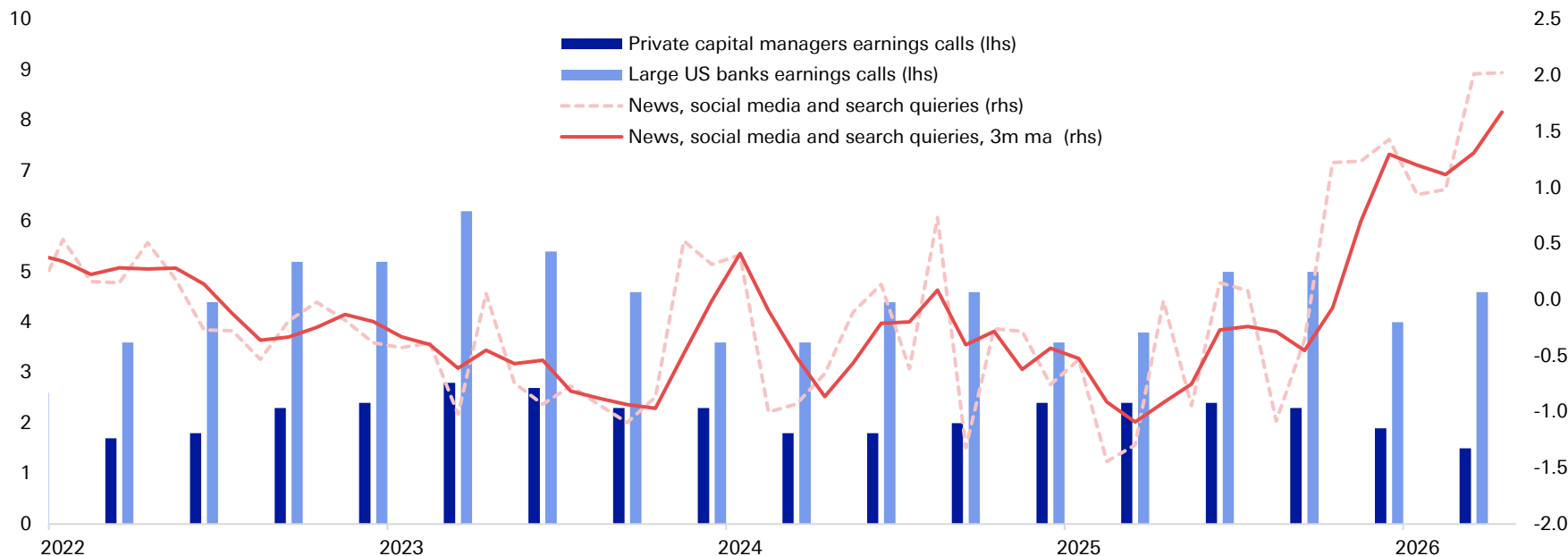
Source: Bloomberg Finance LP, Deutsche Bank.



When we asked our AI tools to contrast sentiment around private credit risks, it is clear that there is a big disconnect between sentiment in the media, which is the most negative it's been for a while, and private capital managers, who have been more concerned about this topic in 2023 when impact of rate hikes and recession risks were at the forefront. This is true for large US banks as well.



AI analysis of sentiment around private credit risk  
(higher = more concerns; maximum of 10 for private capital and banks sentiment)

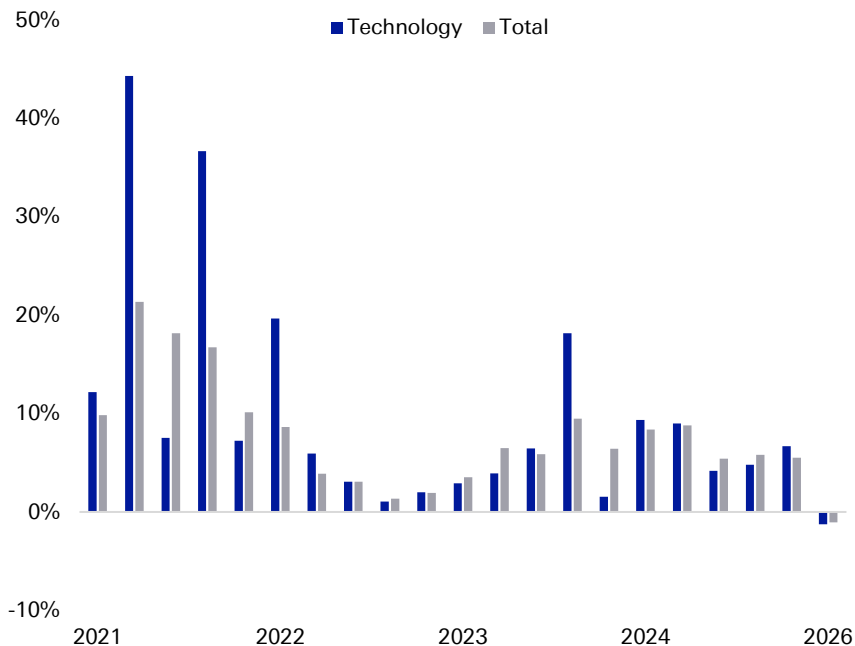


Source: Bloomberg Finance LP, Google Trends, Deutsche Bank.

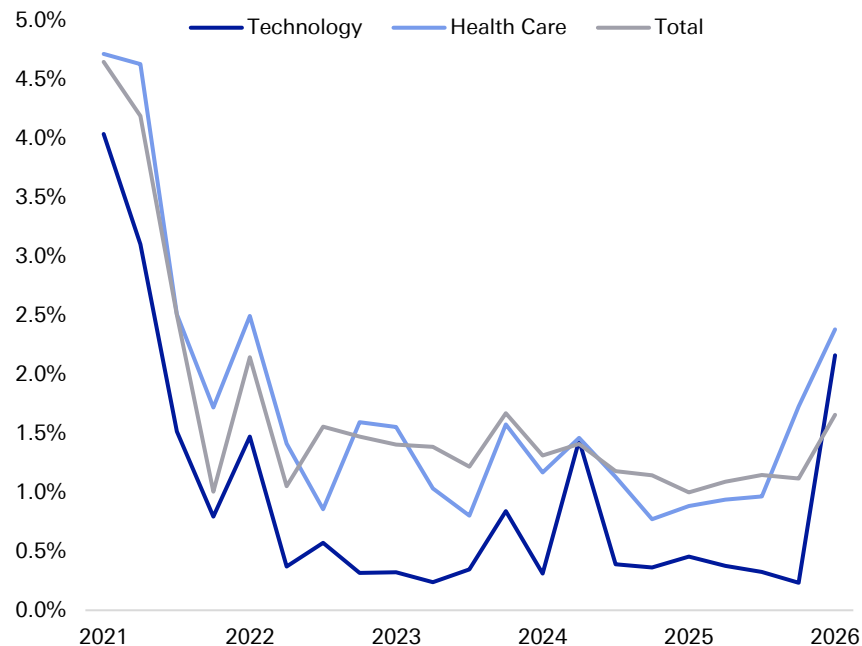
While there has been a lot of focus on net outflows and rising default rates in BDCs, these metrics are worsening after quarters of strong growth and low credit stress economy-wide. Some decompression is reasonable as sentiment gives a pretext for some overdue write-downs, especially in tech. Nevertheless, the equity layer will need to deteriorate more to see big increases in overall default rates. Commentary from PE-driven managers suggests this is not an immediate concern



Growth of fair value of total assets of all selected BDCs \*



Non accruals as % of assets at cost, all selected BDCs \*



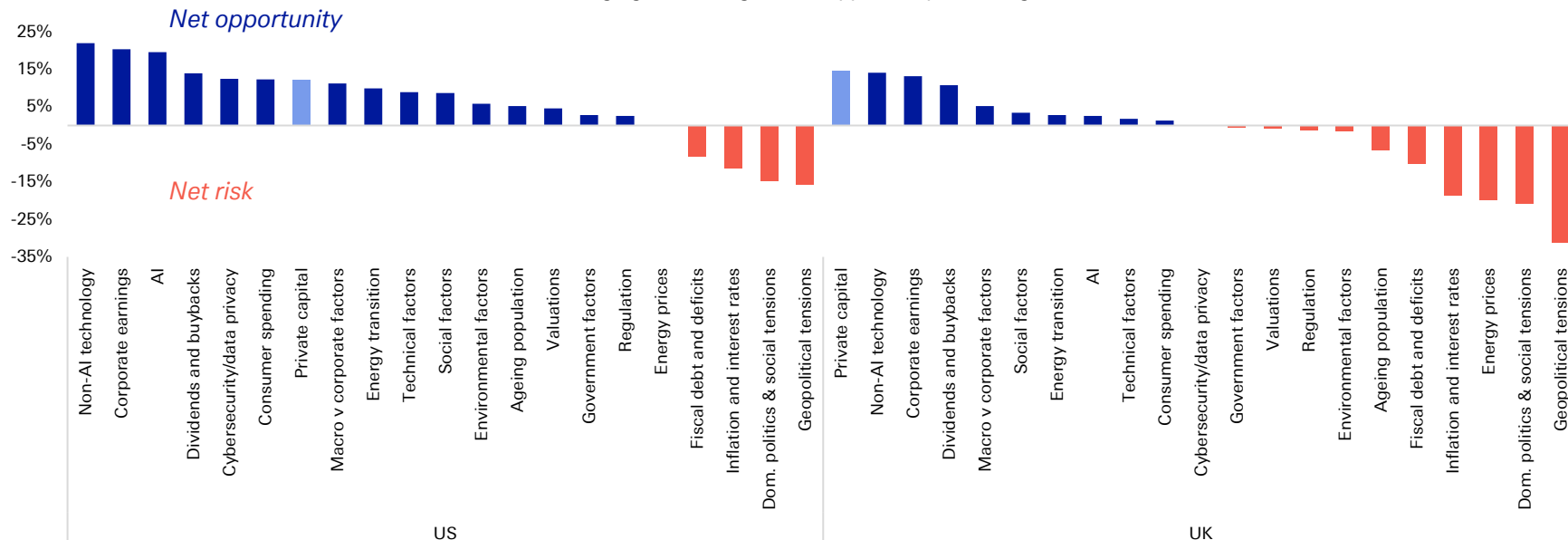
Source: Bloomberg Finance LP, Deutsche Bank. \* Note: as tracked by Bloomberg, total assets of c \$420bn.

Our survey of around 500 people in both the US and UK (a representative sample of the population) shows that the sentiment amongst the broader public towards private capital is sanguine. This is in contrast to market participants, which placed private capital risk third in our survey at the end of 2025 when asked about the biggest risks to market stability in 2026, which shows the impact of financial media sentiment.



For each investment theme listed below, please indicate whether you perceive it as a risk or an opportunity for investors in 2026

Mean score ranging from 1 (significant opportunity) to -1 (significant risk)



Source: dbDataInsights, Deutsche Bank.

## 2. How serious is AI disruption risk for portfolios?

Still an equity question first. While services and tech make up c50% of BDC assets, we will need to see bigger markdowns by sponsors first to signal a lack of support from the equity cushion. Big managers assessment of their equity exposure shows this is not likely soon.



Managers are taking AI risk seriously, particularly within software, but generally view their direct exposure as limited and well-underwritten. They have quantified their exposure and stress-tested portfolios, concluding that the immediate risk to their credit-focused strategies is manageable:

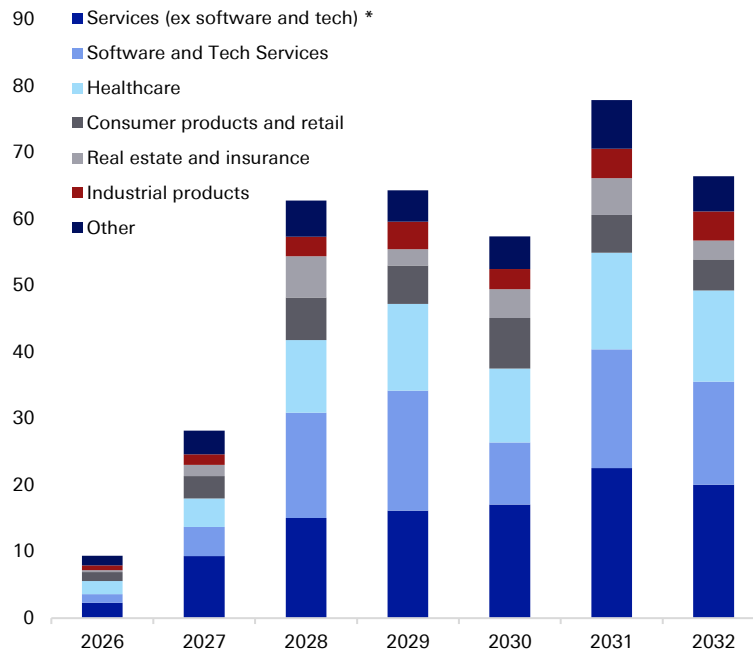
- **KKR:** Software represents **7%** of total AUM, **15%** in private equity, **5%** in credit, and **2.5%** in Global Atlantic. While public market weakness led to markdowns, the underlying software companies are seeing healthy single-digit revenue and EBITDA growth.
- **Ares:** Conducted a nine-week independent review of its software portfolio (6% of total AUM, <8% of private credit AUM). The study concluded the portfolio is "very well positioned," with **86%** classified as low-risk, **13%** as medium-risk, and only **1%** as high-risk of AI disruption. This high-risk portion represents less than 1% of the firm's total AUM.
- **TPG:** Has undertaken a "systematic review of the risks in and outside of software." In its TPG 8 fund, work showed that only **7%** of the remaining value fell into a "mitigate category" where material risk is perceived.
- **Blue Owl:** Acknowledges a "software maturity wall" coming in 2028-29 but stresses that its tech portfolio consists of very large companies (average EBITDA of \$320 million) with significant equity cushions from sponsors. They view the current situation as an "equity question, not a debt question".

### How are managers mitigating the risk?

Mitigation strategies include proactive portfolio re-underwriting, strategic divestment, internal AI adoption for productivity, and a thematic pivot toward AI-beneficiary assets.

- **Blackstone** is assessing companies based on their incumbency models, proprietary data, and workflow integration. **Ares** is focusing its senior lending on companies providing core operational software for regulated industries, avoiding more vulnerable areas like content generation.
- A cross-firm strategy is to invest heavily in the infrastructure enabling the AI revolution, mostly data centres. The need for data centres directly feeds into the need for more power. **Blackstone** is the most active private investor in the US utility sector.
- Leveraging AI in portfolio companies: **KKR** has deployed AI across over 150 portfolio companies to automate workflows and enhance products, using its operational team, Capstone, to ensure lessons are shared across the firm. **TPG** is investing to help its software portfolio companies leverage AI opportunities.

Selected BDCs, maturities by industry (\$bn)

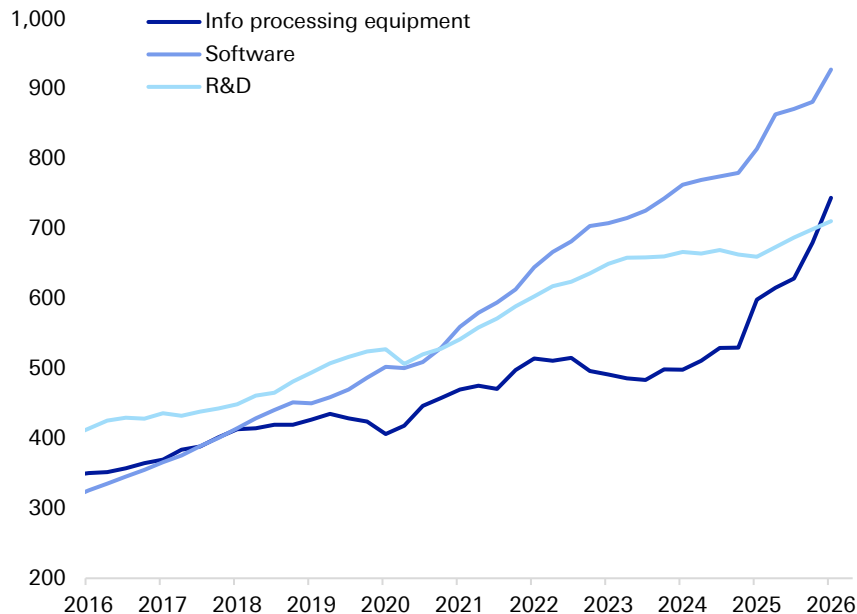


Source: Bloomberg Finance LP, Deutsche Bank. \* Note: services include industries such as industrial, consumer and financial services; BDCs as tracked by Bloomberg, total assets of c \$420bn.

In the meanwhile, managers are doubling down on infrastructure investments amidst investor appetite for the AI theme, and this is likely to further fuel AI build out. Power is amongst the bottleneck private capital firms are likely to tackle further.

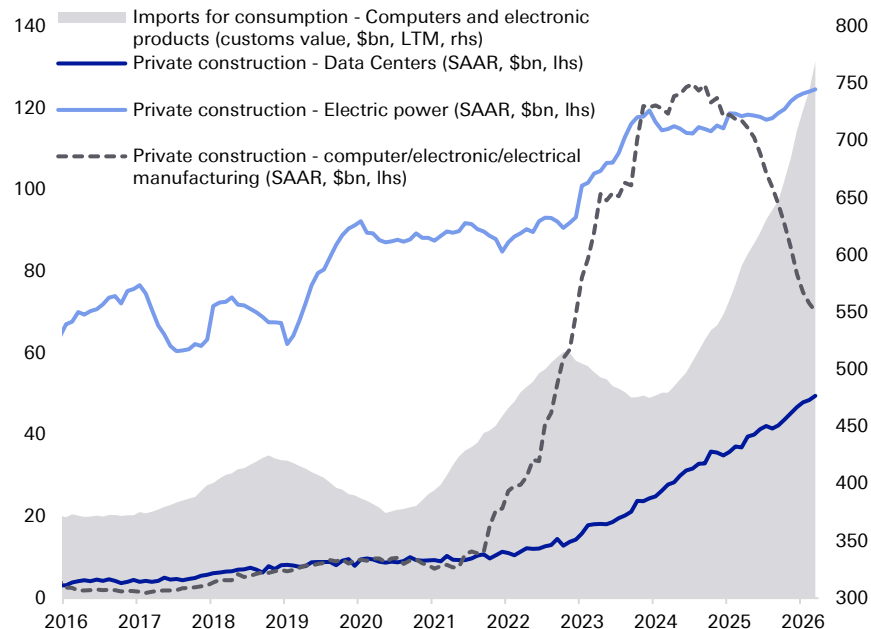


Real private non-residential fixed investment (SAAR, bn 2017 chained dollars)



Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

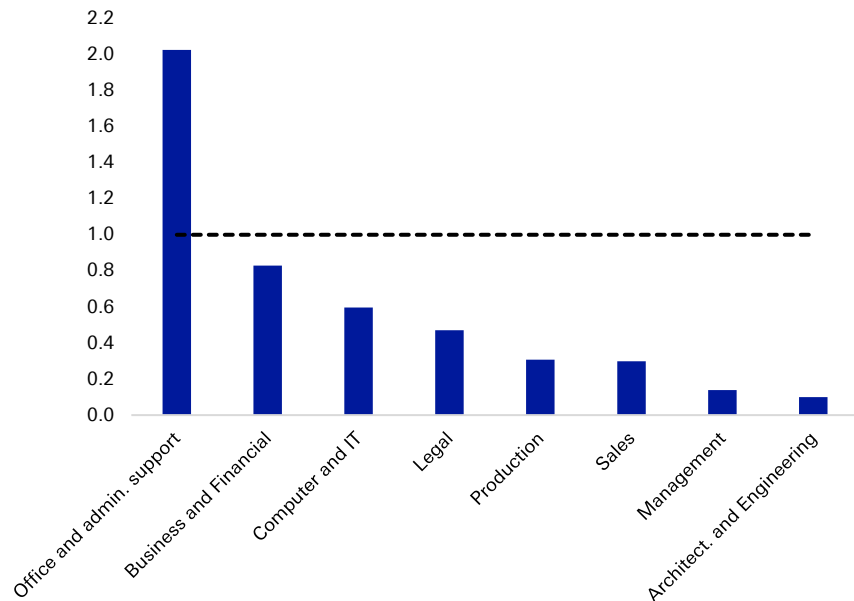
Data centre construction has run ahead of new (electric) power investments



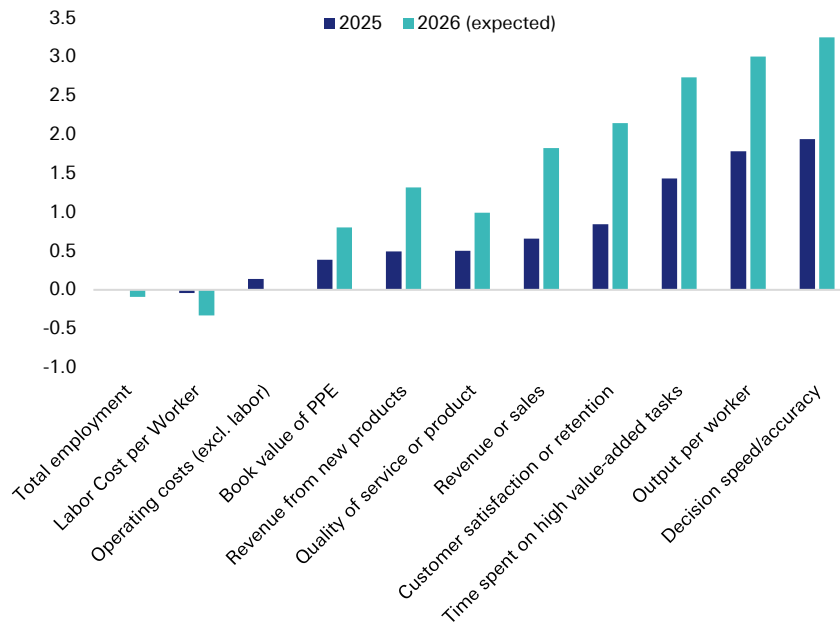
For software, the wide range of potential outcomes of AI's impact means a more benign path than the media suggests may be plausible. Indeed, US CFOs expect the fastest growth in AI's impact in 2026 to be in, first, generating more sales and then some productivity gains and do not describe most corporate roles as outright replaceable or see a significantly negative impact on headcount.



CFO survey: AI negative exposure index by occupation group  
ratio of replacement mentions to enhancement mentions, >1 indicates that AI is more frequently described as replacing rather than enhancing tasks



The impact of AI usage on firm outcomes  
(%, averages across bucketed options)



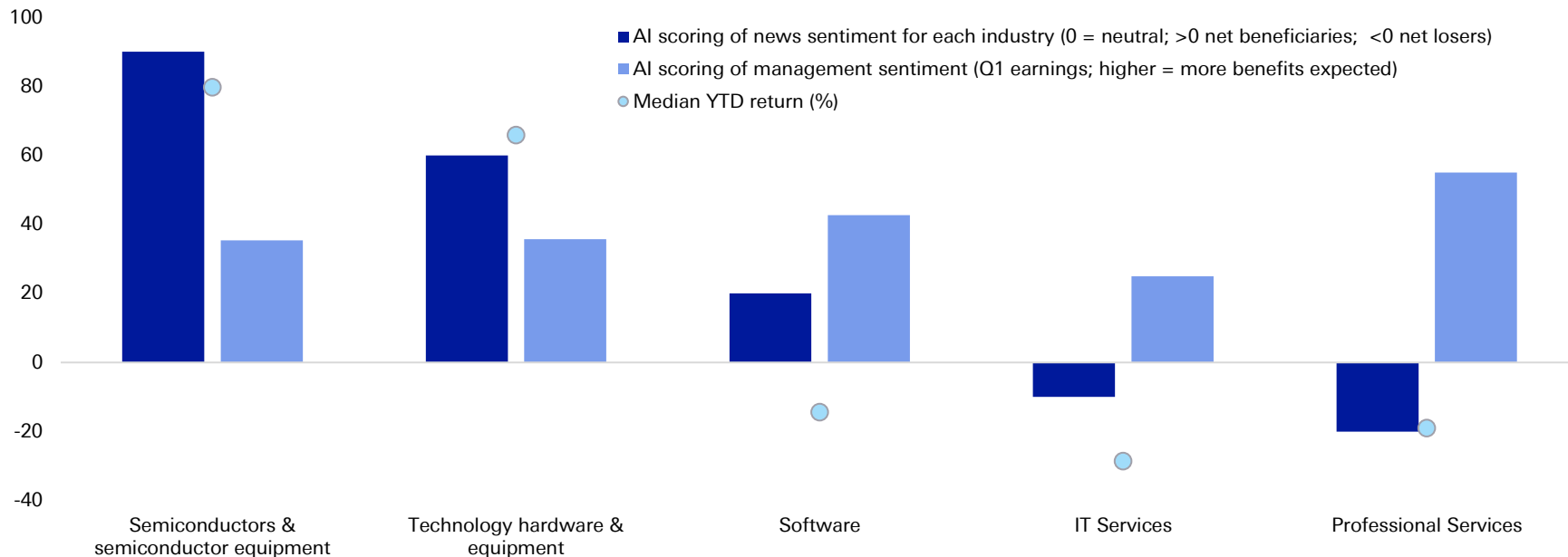
Source: Bloomberg Finance LP, Richmond Fed CFO survey, Federal Reserve Bank of Atlanta "Artificial Intelligence, Productivity, and the Workforce: Evidence from Corporate Executives", Deutsche Bank.



Moreover, our AI scoring of software risk sentiment again shows a big disconnect between what companies and media are saying about AI disruption risk, and, as the result, the potential mispricing in tech and services shares.

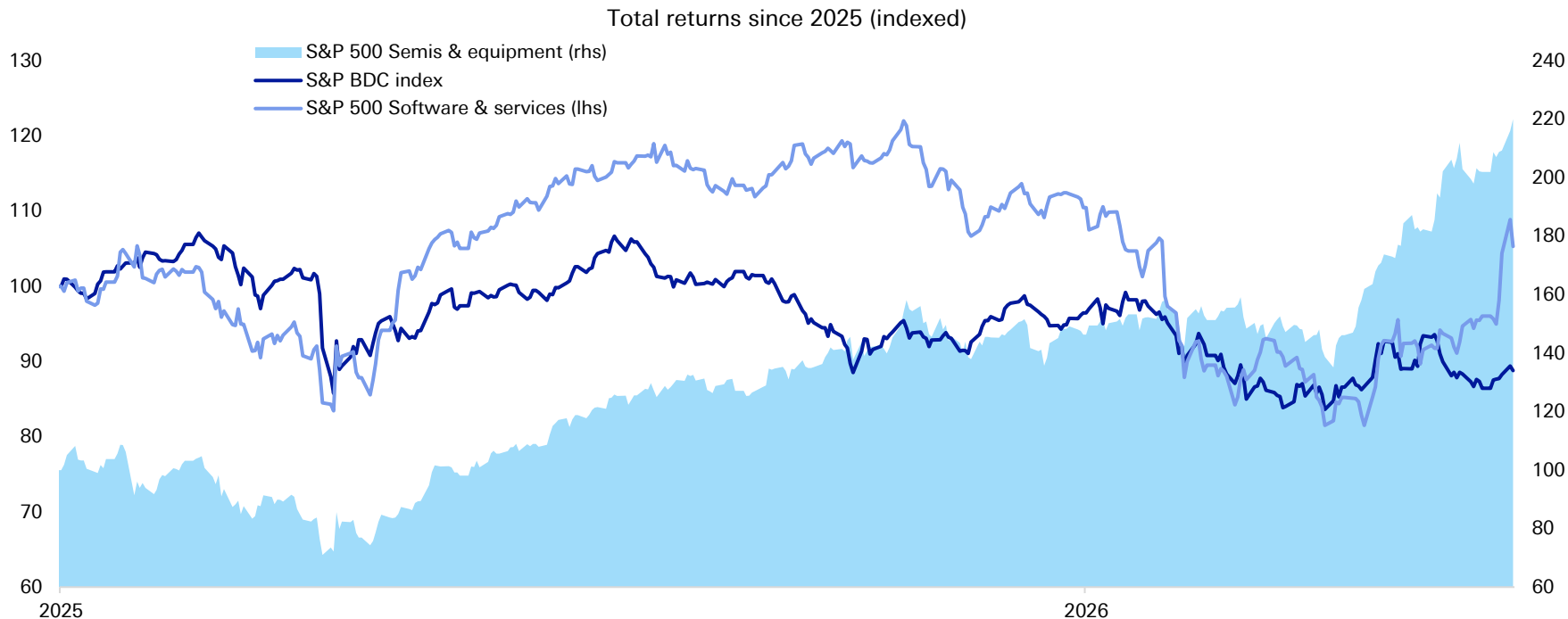


AI scoring of media and management sentiment around AI disruption risk for selected industries and their YTD performance (S&P 500 stocks)



Source: Bloomberg Finance LP, Google Trends, Deutsche Bank.

So there is still room for fears of AI doom in software to allay. This should return some confidence in the BDC market as well.



Source: Bloomberg Finance LP, Deutsche Bank.

### 3. Geopolitical volatility

Managers view the recent conflict in Iran as the latest in a series of "market-moving events" since 2020 that are challenging periods to navigate, but which do not derail long-term strategy. While sponsored dealmaking has been soft in recent months, it held up better ex. tech. Private capital is likely to further channel deployment into areas with thematic tailwinds like energy and security for now.



1. The message is that geopolitical shocks create near-term volatility but ultimately dealmaking recovers.
2. Managers view the conflict and broader geopolitical splintering as an accelerant for pre-existing investment themes such as defence and energy security.
3. Geopolitical uncertainty is a key factor impacting the monetization environment and the views are mixed.

#### How serious is the impact on portfolios and markets?

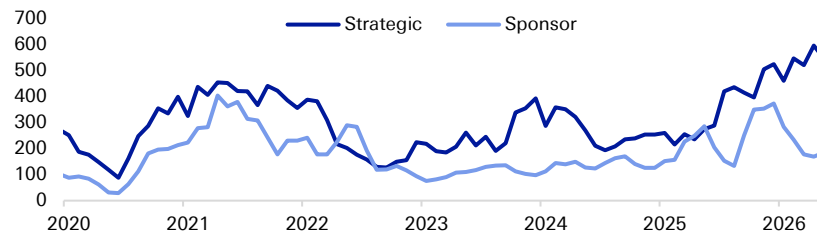
- Managers assess the direct impact on portfolio fundamentals as limited, but acknowledge the significant indirect impact on market sentiment, deployment pacing, and monetization timelines. The primary effect is a slowdown in M&A and capital markets activity as buyers and sellers pause to evaluate the new landscape.
- The conflict in Iran is cited as a reason for a pause in transaction activity. **Ares** noted that "when you see things like the conflict in Iran, you get a little bit of a pause as everybody just evaluates." However, they also reported that their aggregate pipeline is at a record level and that the direct lending pipeline is re-engaging, drawing a parallel to a similar pause after tariff announcements in April of last year, which was followed by a record deployment year.
- The increase in oil prices reinforces the strategic value of portfolios tilted towards energy and infrastructure. **TPG's** climate platform is benefiting from the increased focus on energy security, with the firm noting "The Strait of Hormuz may be bad for many things, but it's good for our business here," as it drives demand for renewables.

#### How are managers mitigating risk and finding opportunity?

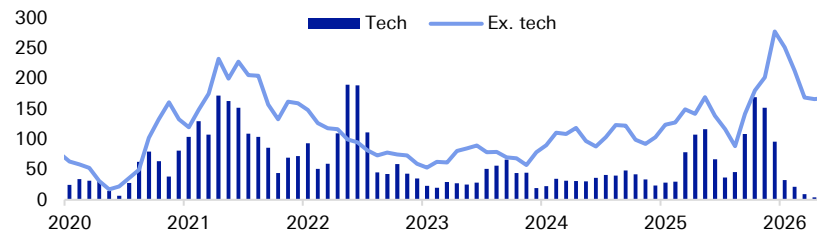
- Managers repeatedly stress that their global and strategic diversification is the primary defence against localized geopolitical shocks.
- Managers are increasing exposure to physical assets and sectors benefiting from the focus on security and re-industrialization.
- In general, managers see the volatility as a chance to invest

Source: Bloomberg Finance LP, Dealogic, Deutsche Bank.

US M&A activity has bifurcated between strength in corporate and weakness in sponsored deals...  
(\$bn 3m sum)



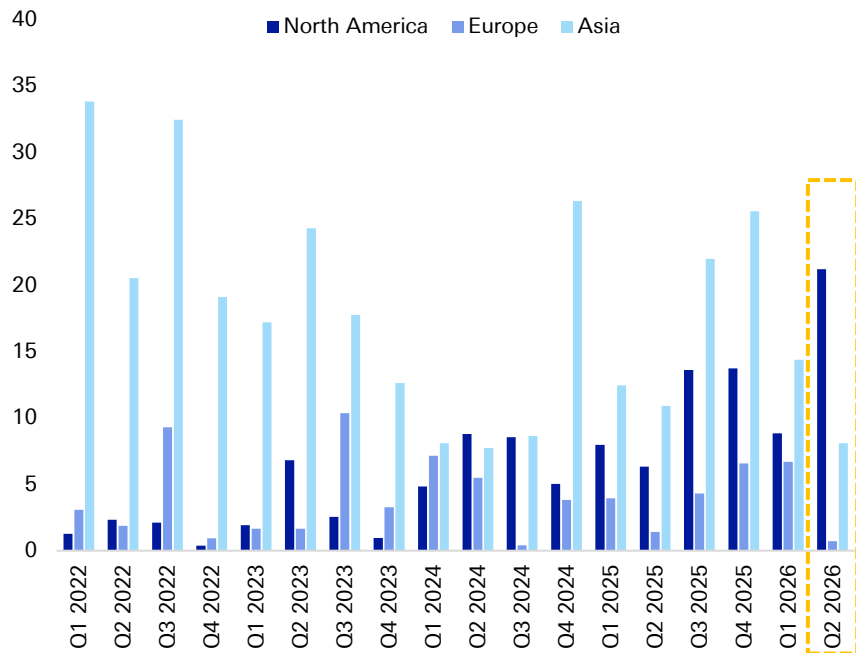
... but much of that PE weakness is tech-related. Other thematic sectors are in focus amidst all the dry powder  
US sponsored M&A activity (\$bn 3m sum)





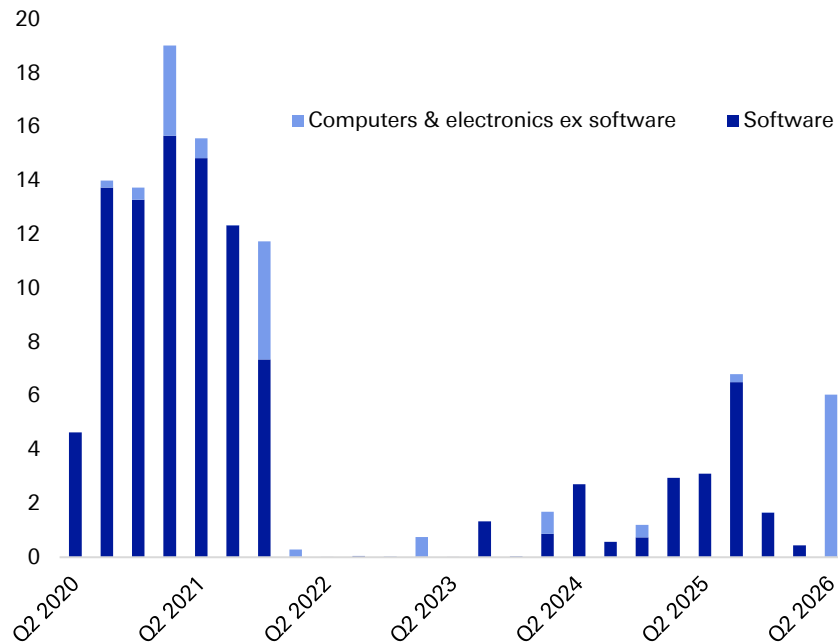
For realisations, we expect IPO recovery momentum to continue through the rest of the year, with M&A activity also resilient. Although there are some near-term cooling risks, corporates have navigated a vast array of shocks and now are well-adapted to expect risks and volatility, supported by cash buffers and liquidity. This should keep a few options for sponsors to exit portfolio companies even if some market volatility persists. See more [here](#).

IPO deal values by region (\$bn)\*



Source: Dealogic, Deutsche Bank. \* Note: excluding financials, Q2 2026 is QTD as of May 18<sup>th</sup>.

North America IPOs, computer & electronics (\$bn) \*





03.

## Market conditions

## Shares of US-listed private capital managers are down -20% YTD amidst persistent negative sentiment and despite the recovery in the broader markets in Q2



Private capital managers total return performance relative to broader markets (USD)



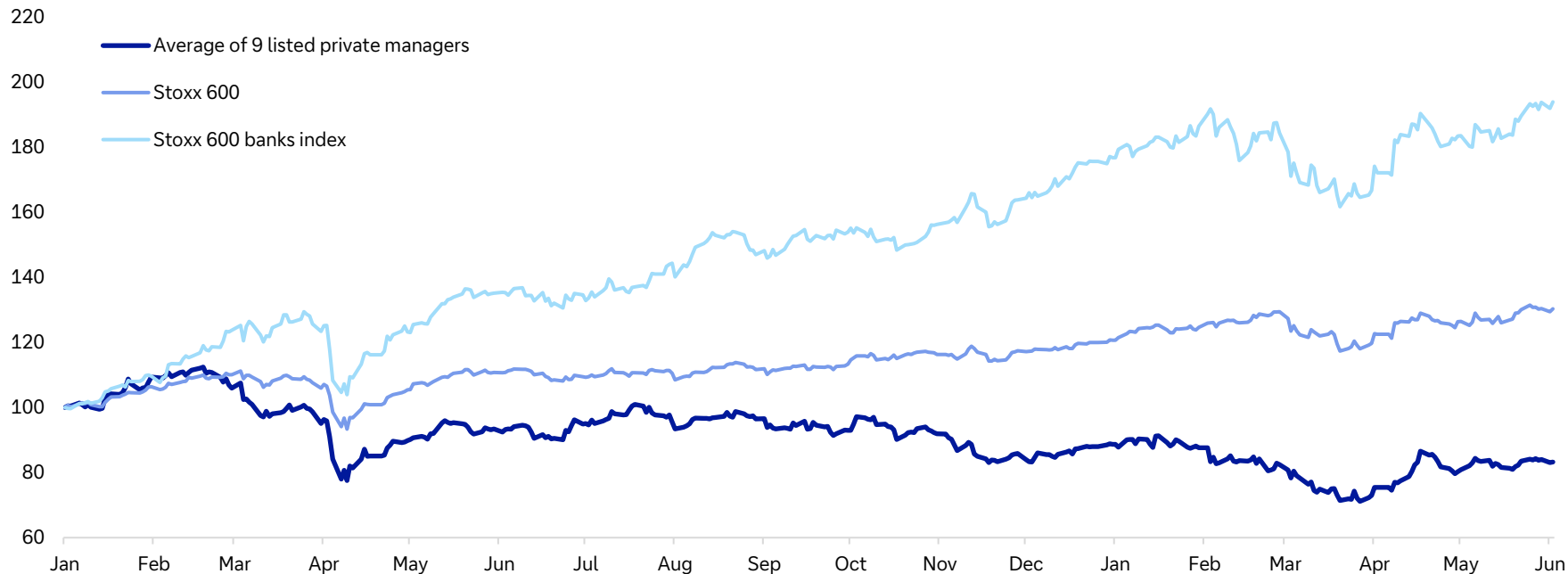
Source: Bloomberg Finance LP, Deutsche Bank.



## The underperformance of private capital firms in Europe has been less stark this year (-5%)



Private capital managers total return v broader markets in 2025 (EUR)

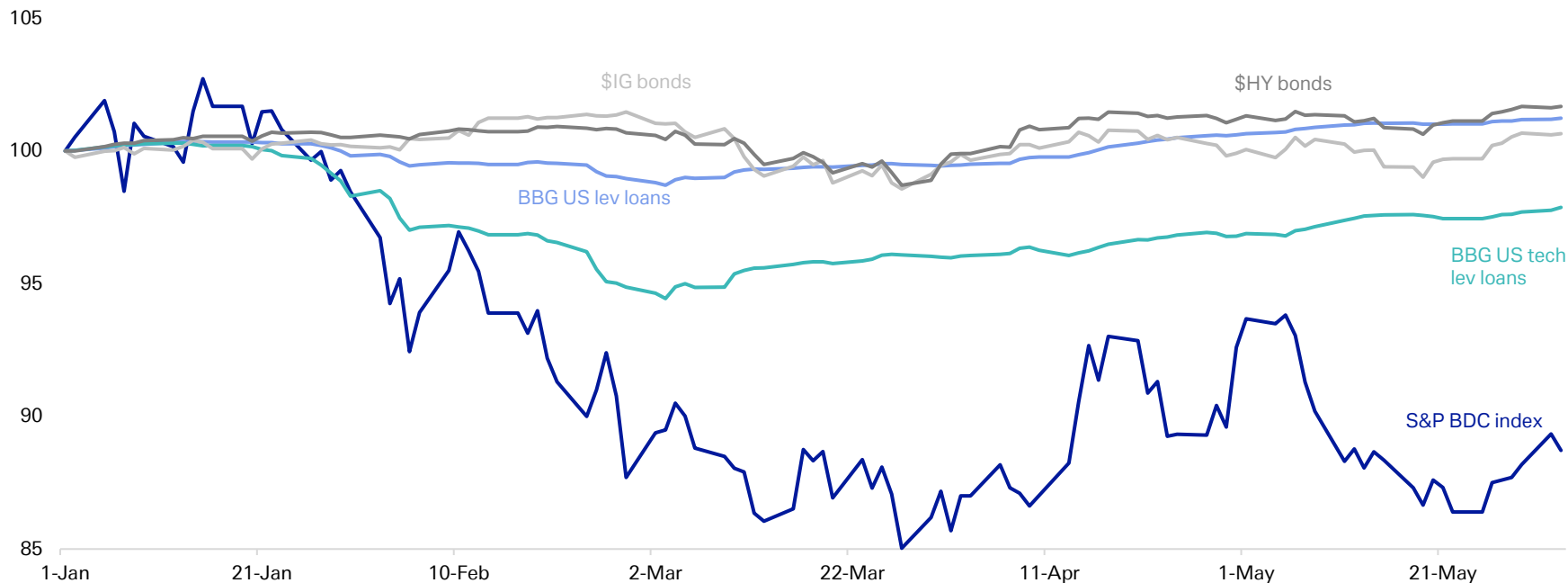


Source: Bloomberg Finance LP, Deutsche Bank.

## It's a similar story for BDC returns vs the broader credit markets

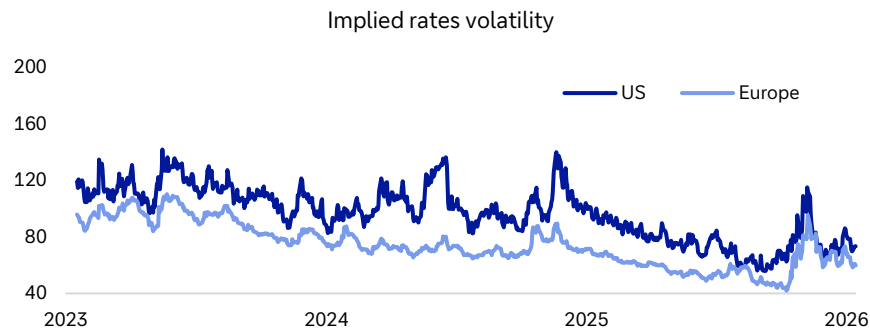
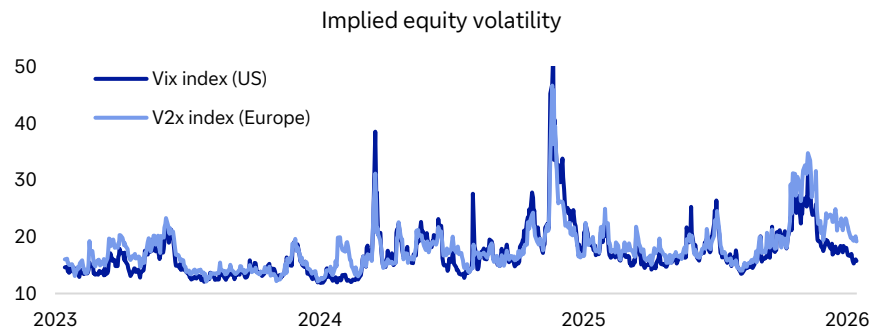
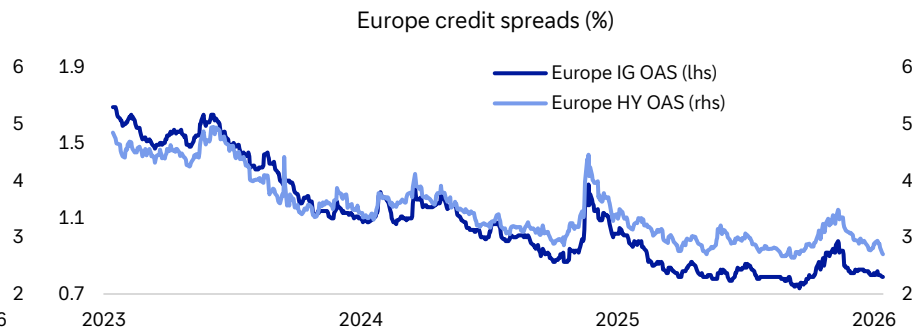
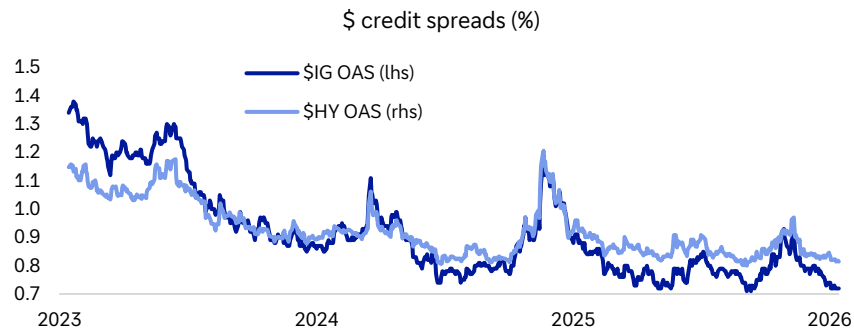


Credit assets YTD performance



Source: Bloomberg Finance LP, Deutsche Bank.

## Volatility is back to somewhat subdued in the US, with Europe's disadvantage amidst the Iran conflict more pronounced

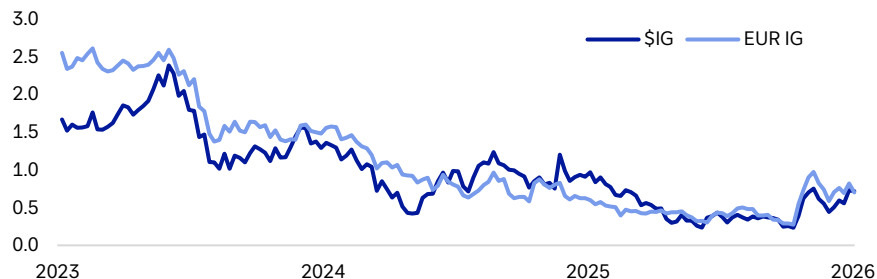


Source: Bloomberg Finance LP, Deutsche Bank.

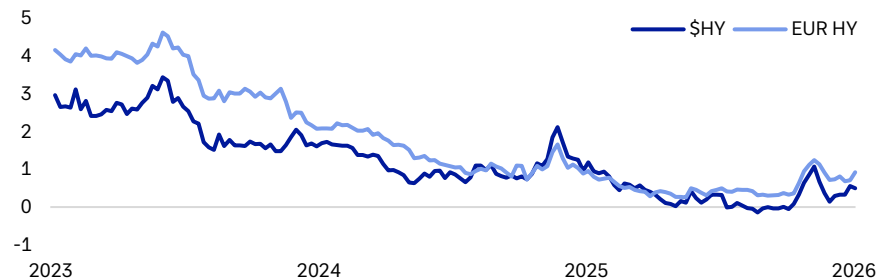
# Rising refinancing costs may deter some debt issuance but overall credit conditions remain favourable



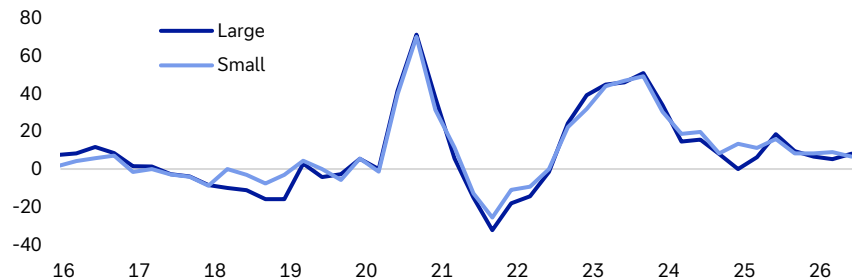
IG bonds - Refinancing proxy in %



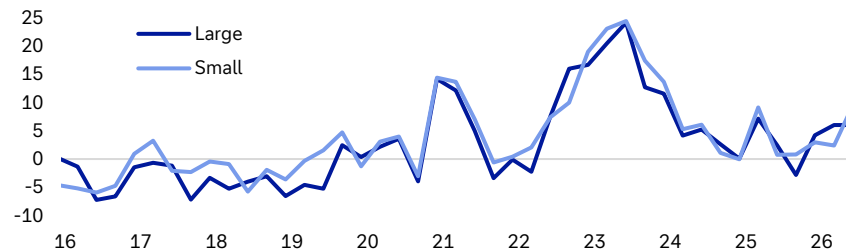
HY bonds - Refinancing proxy in %



Fed SLOOS: banks tightening standards for C&I loans to firms (%)

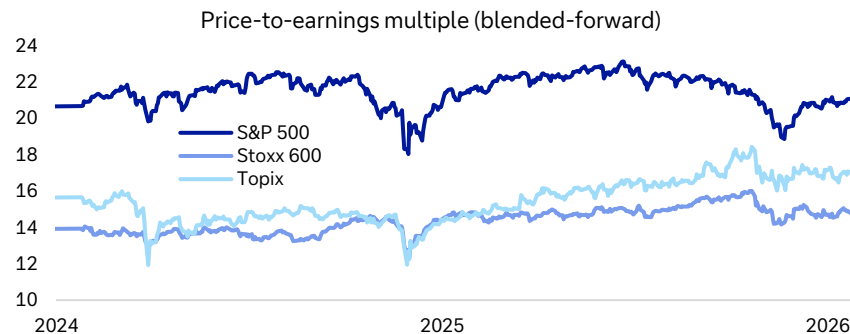
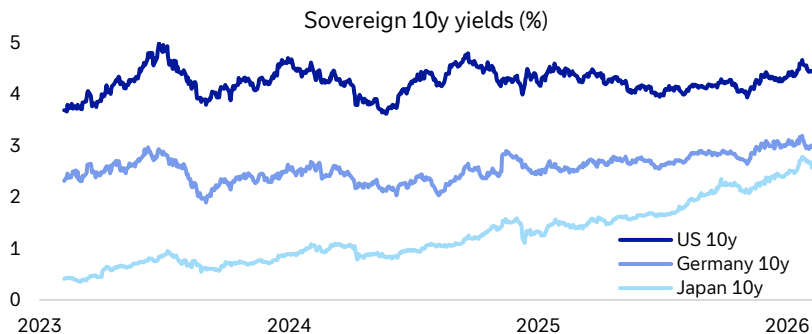
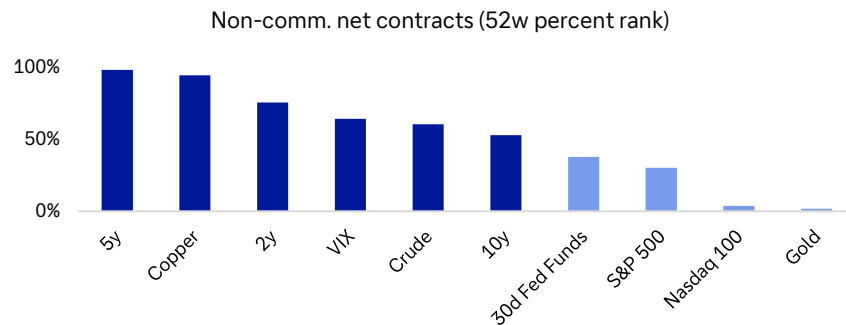
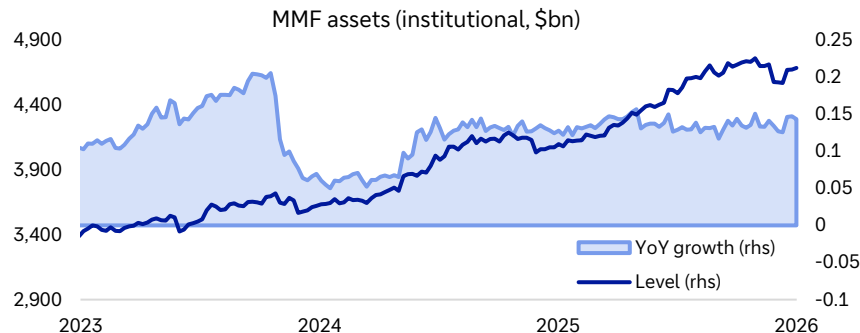


Euro Area bank lending survey: change in credit standards for business loans



Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

The extent of upward pressure on sovereign yields is understandably a key topic for markets. While the US economy and markets have been accustomed to rates in the current range in the past couple of years, the picture is more negative in Europe and Asia.

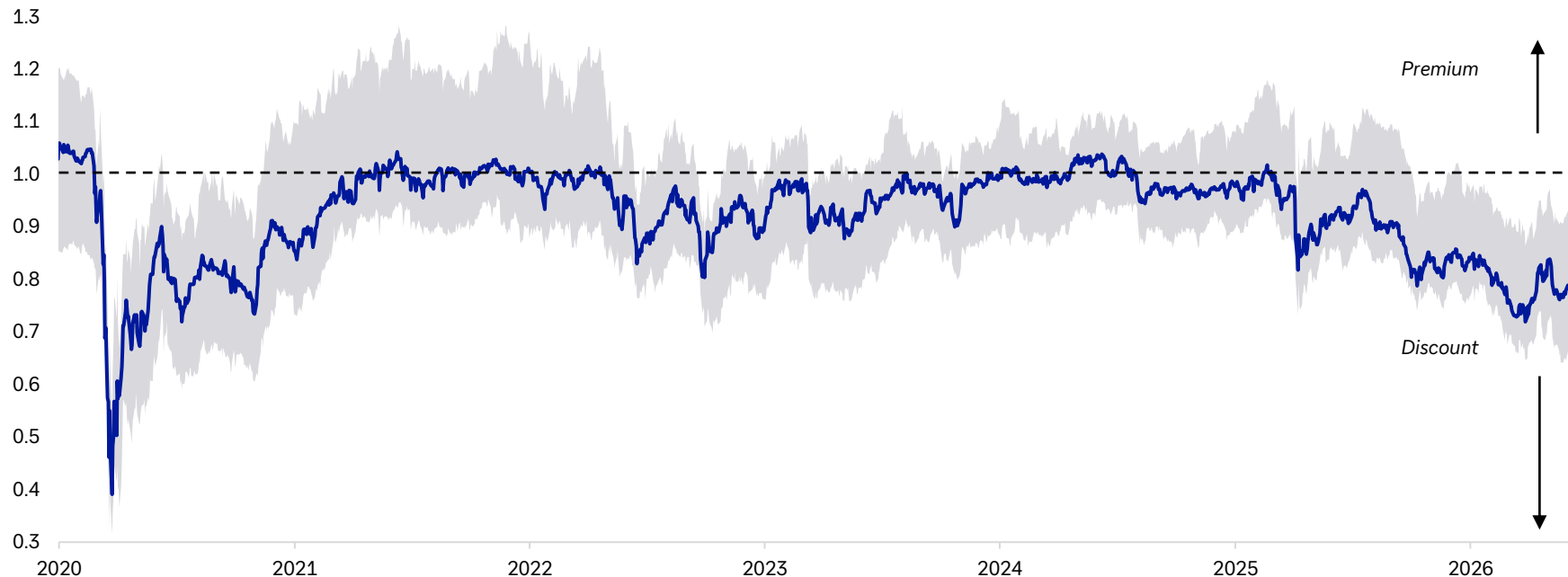


Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

The median BDCs discount to NAV is still wide and now stands at c 23%. Around 25% of BDC investments tend to be in tech, suggesting severe concerns beyond just AI disruption risks.



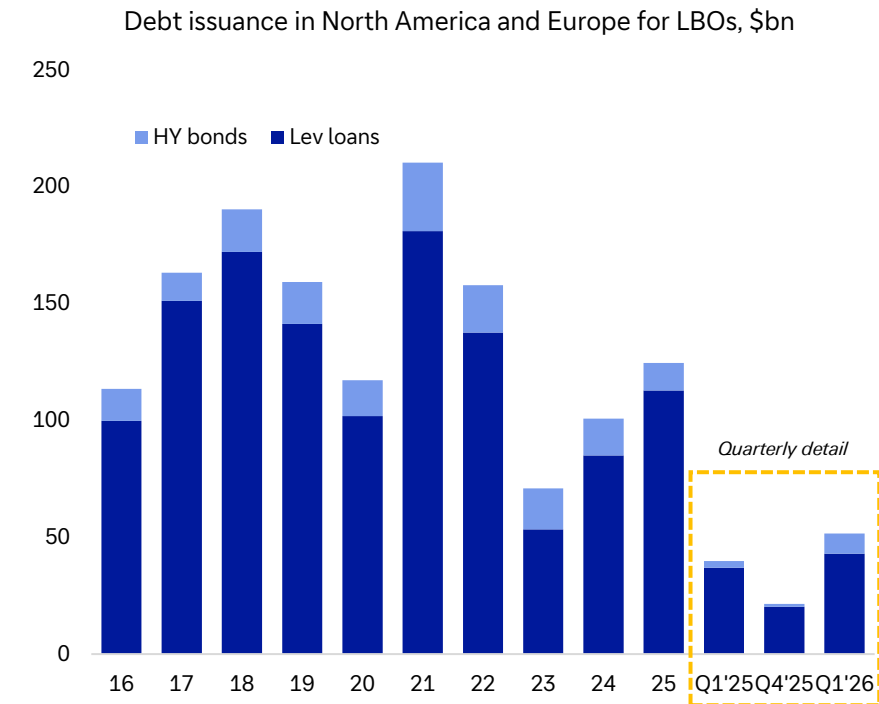
Median price-to-NAV ratio of funds in the S&P BDC index



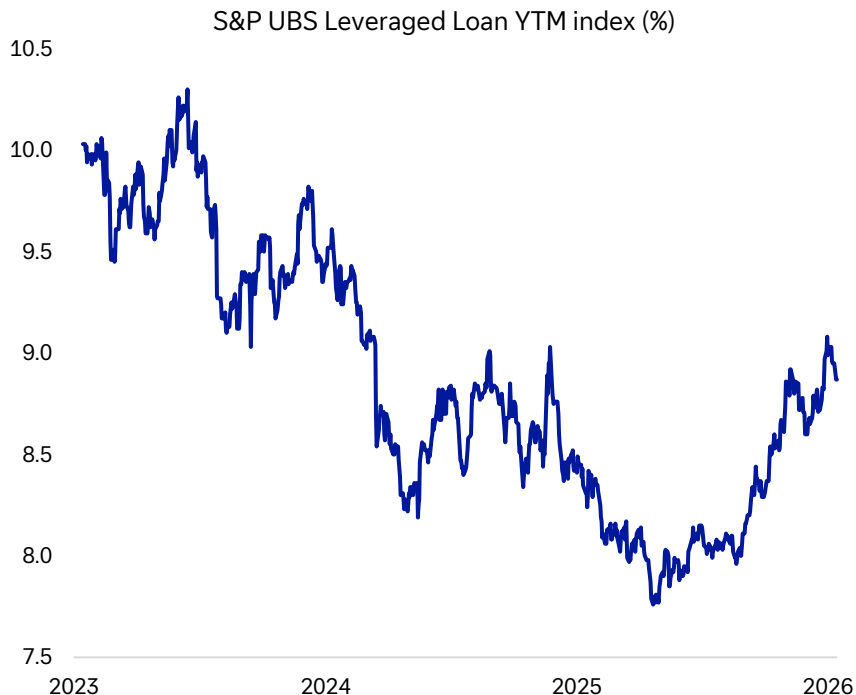
Source: Bloomberg Finance LP, Deutsche Bank.



Q1 debt issuance for LBOs is already at 40% of the 2025 total. Higher yields and spreads decomposition will help attract investor demand for more deals.



Source: White & Case, Bloomberg Finance LP, Deutsche Bank.





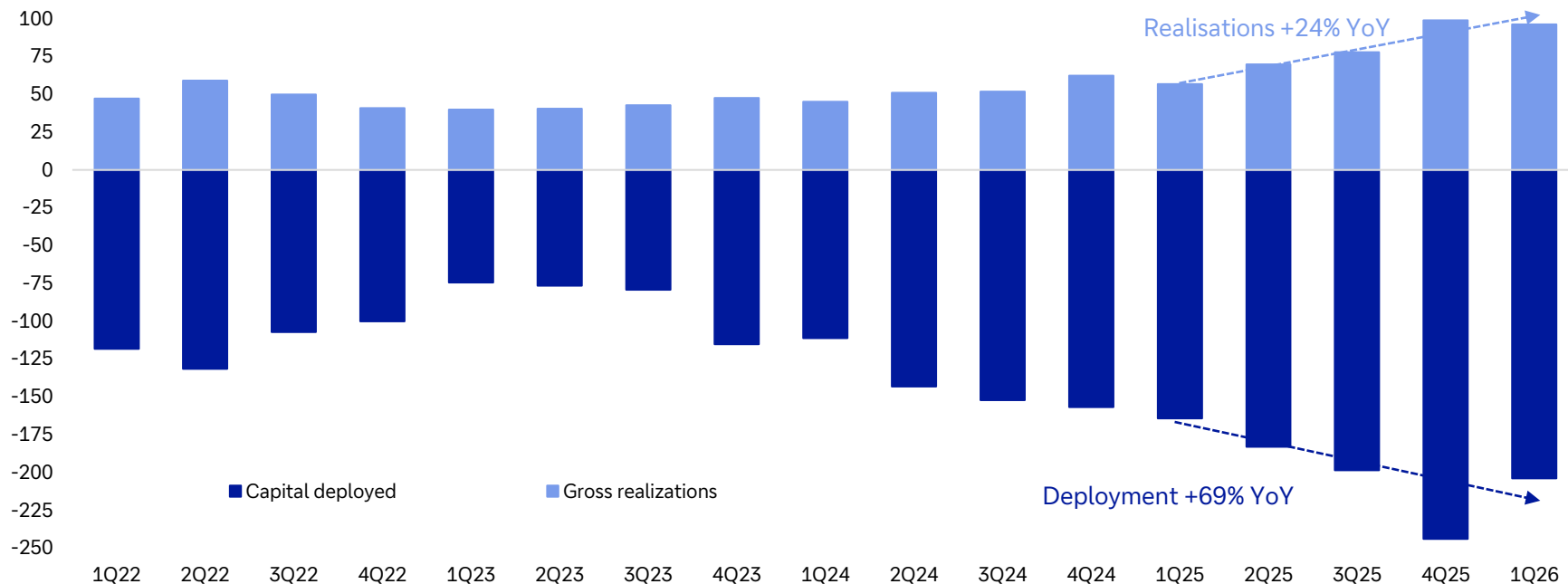
04.

## Fundraising environment

## Despite a QoQ drop, both deployment and realisations have been solid YoY



Selected private managers, deployment v realisations (\$bn)

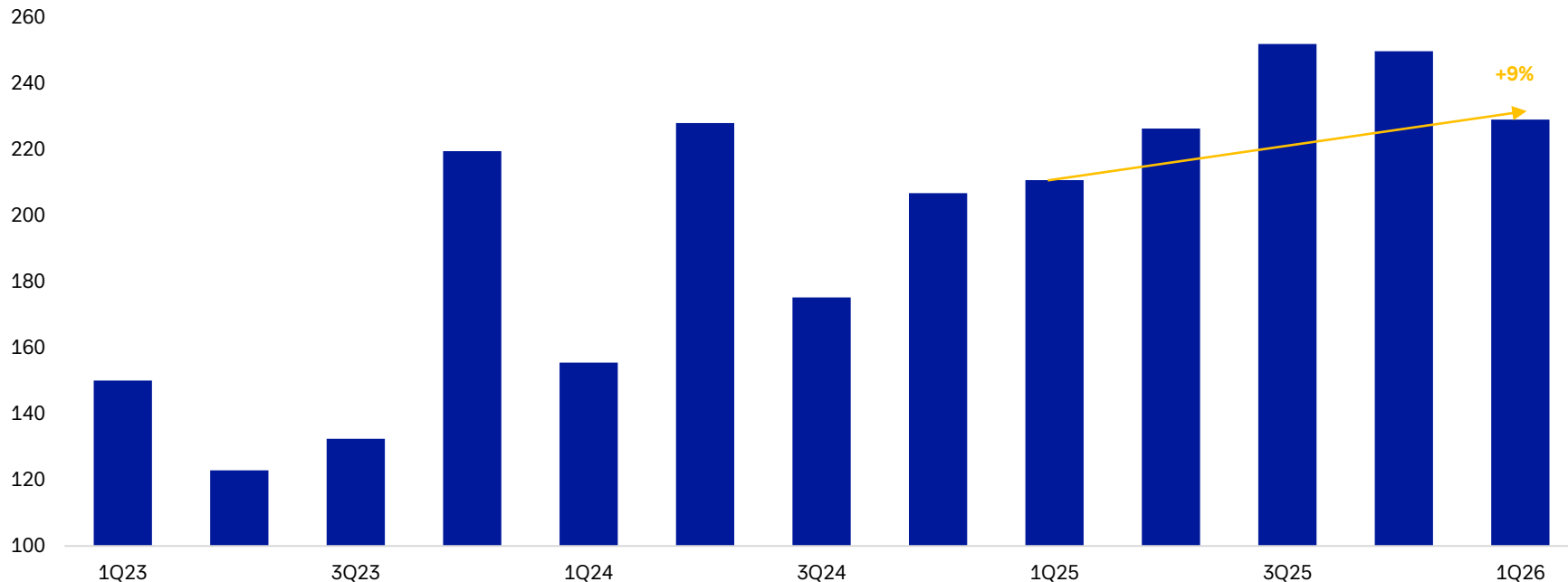


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Deutsche Bank. \* Note: Deutsche Bank company research forecasts.

Aggregate fundraising growth continued in the negative territory. New fund launches will be the ultimate bellwether of LP sentiment and good progress on exits will help.



Fundraising by selected large, listed managers (\$bn)

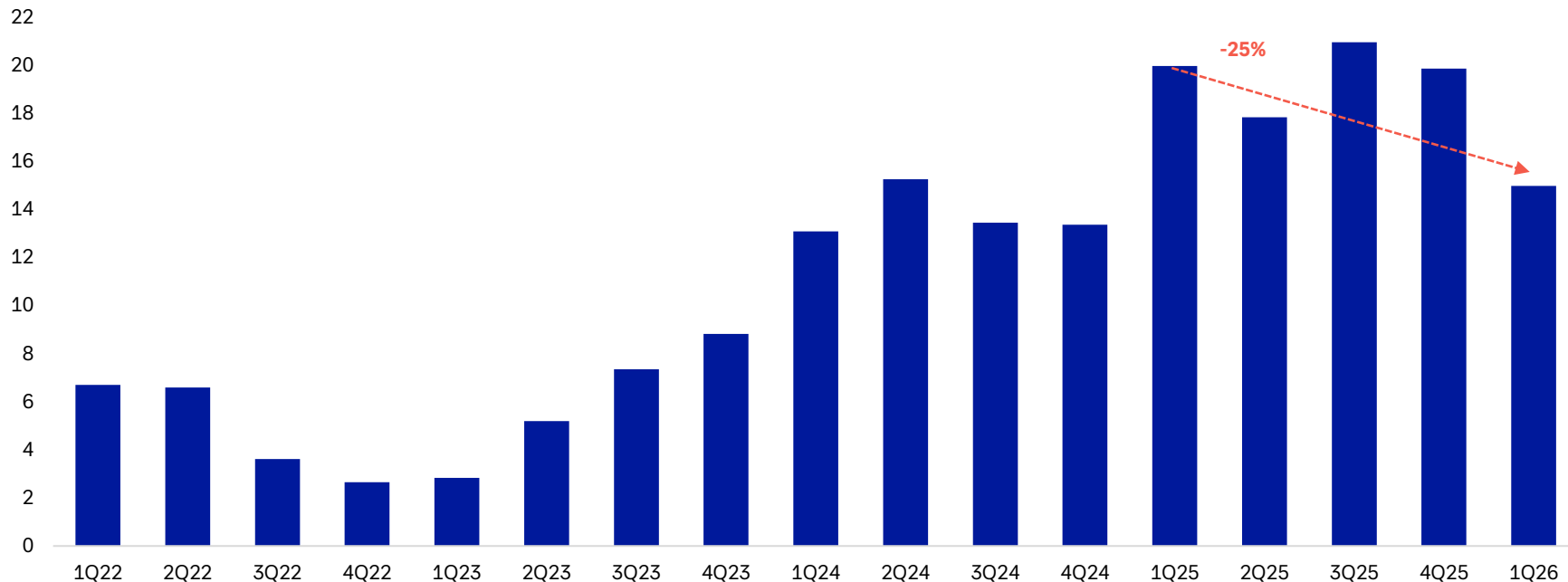


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Deutsche Bank.

Gross retail fundraising (not taking into account redemptions) is down by a quarter. Managers emphasise that the issue is headline driven and concentrated, but the sentiment needs to improve significantly to restore strong growth.



Retail fundraising by largest listed private capital managers \*

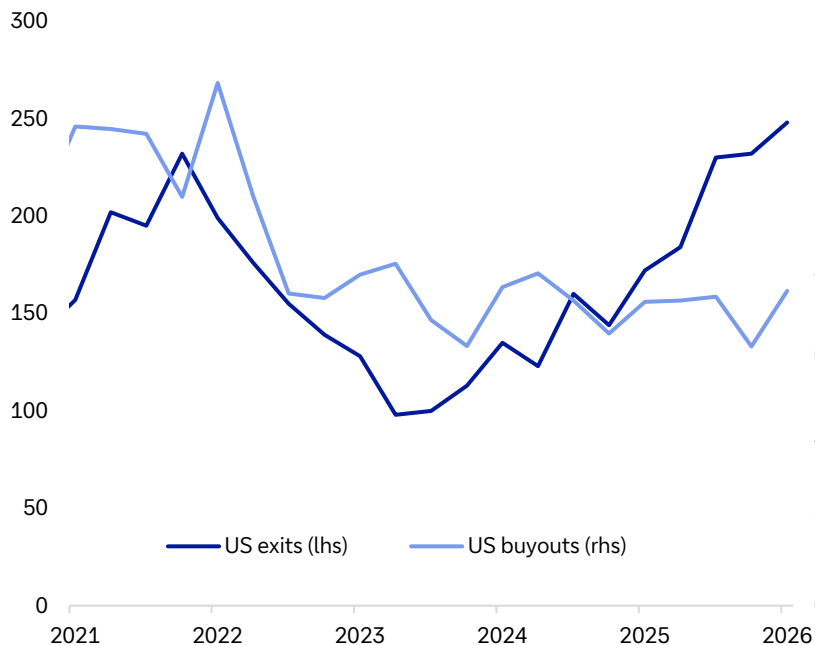


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Bloomberg Finance LP, Deutsche Bank. \* Note: gross, only funds with available Q1 data.

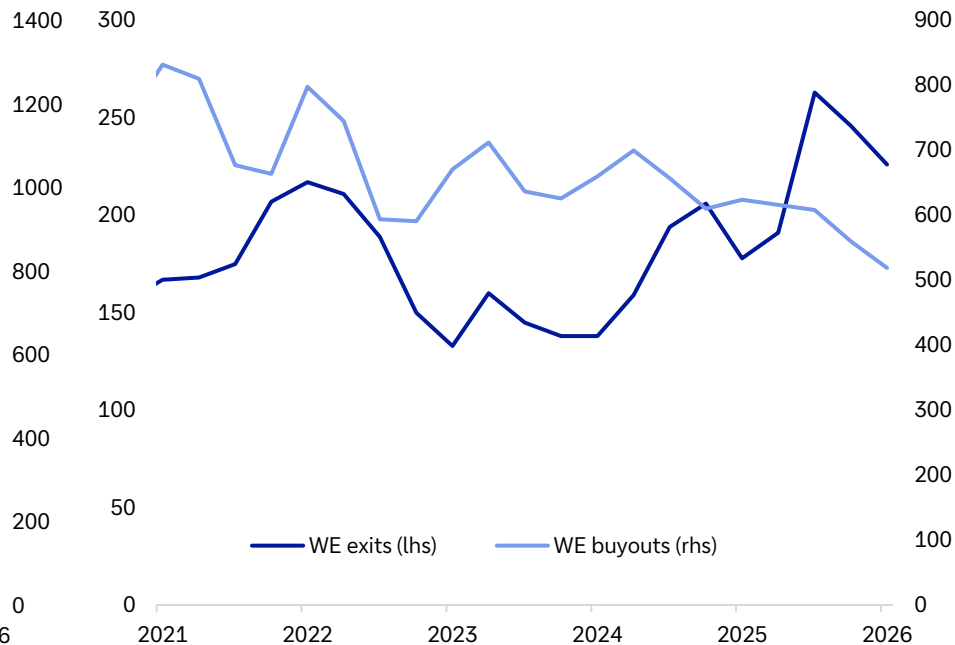
# Strengthening exit activity should assuage investor concerns about private equity and free up more capital to do deals



US PE exits have accelerated past 2021 highs



European exits are high but somewhat slowing



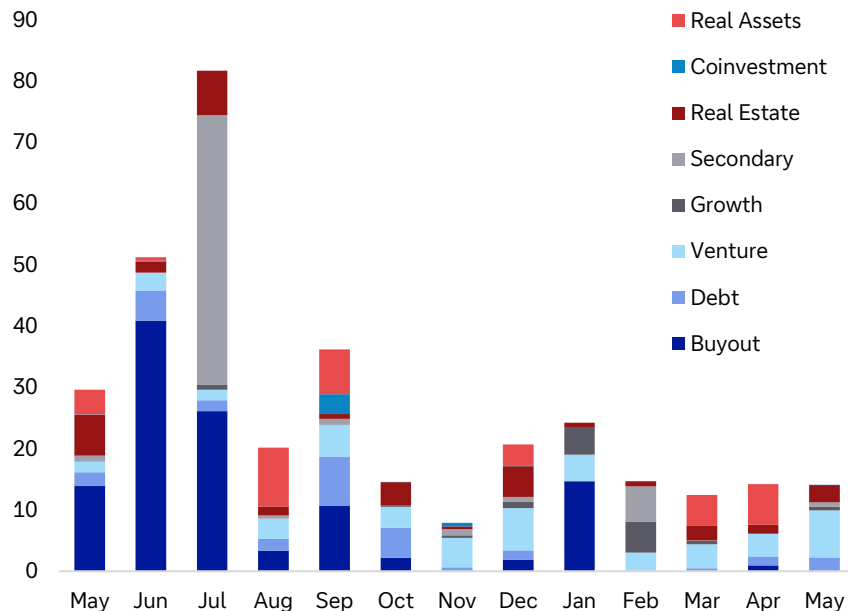
Source: White & Case, Deutsche Bank.



## New fund launches – private equity gathering pace in recent months

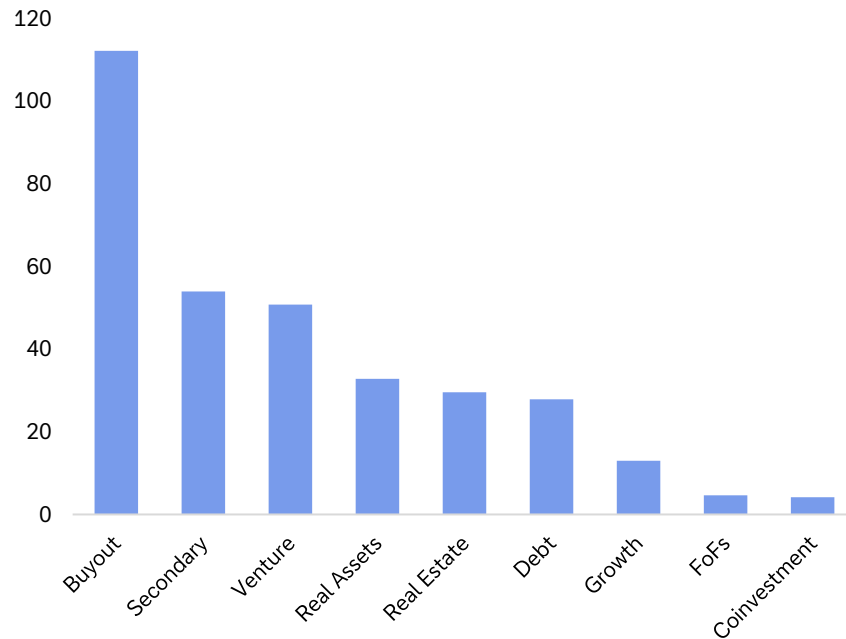


Fundraising funds - target in \$bn by strategy type and launch month, US and Europe



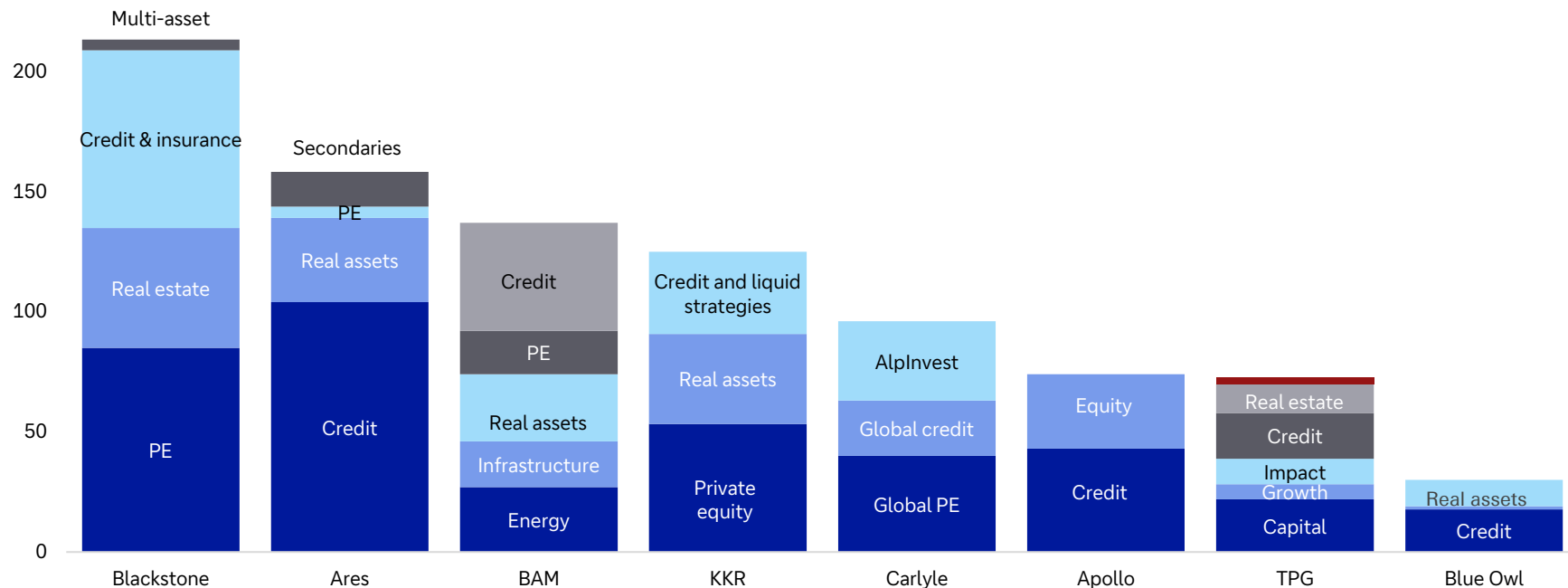
Source: Bloomberg Finance LP, Deutsche Bank.

Fundraising funds in US and Europe, last 12m in \$bn





Dry powder by manager and reported segment, Q1 2026 (\$bn)

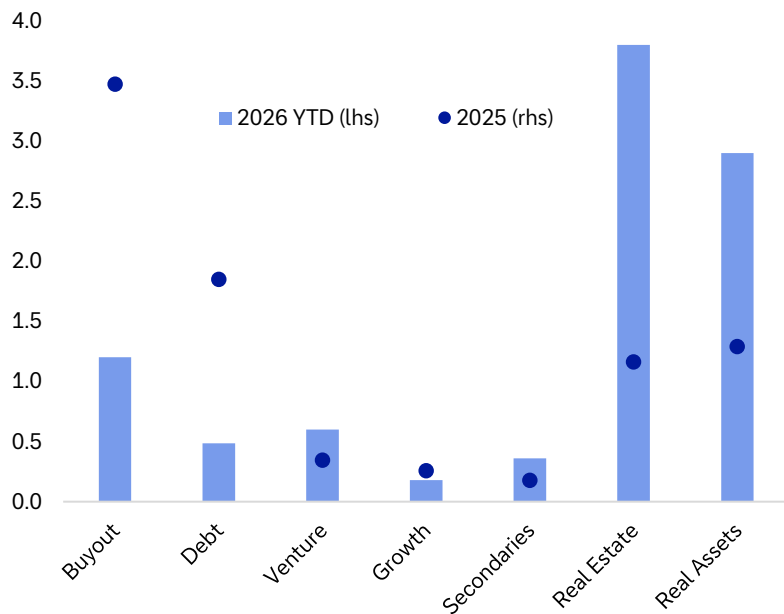


Source: Company reports, Deutsche Bank.

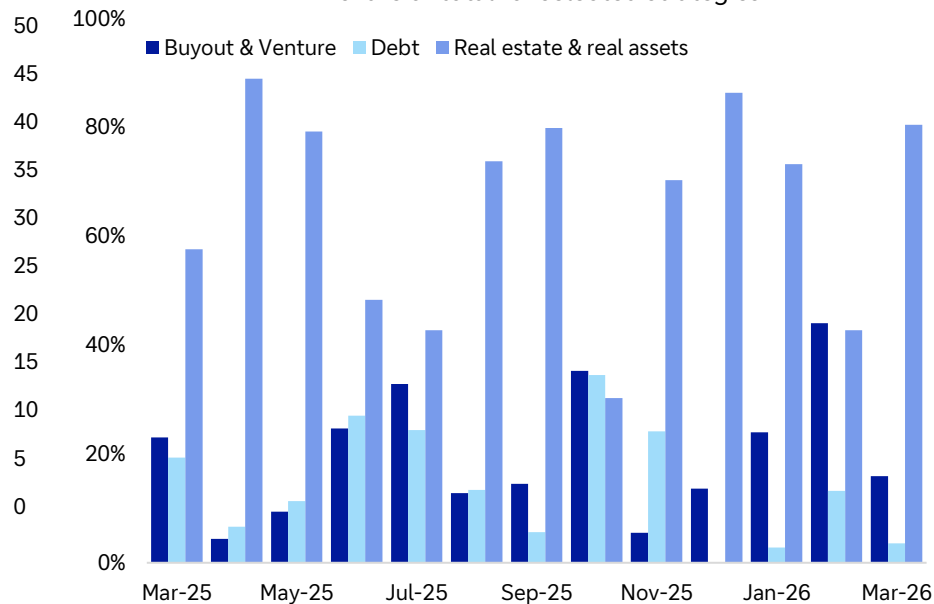
## Recent disclosed LP commitments



Disclosed LP commitments by strategy in \$bn



Disclosed LP commitment targets by month and strategy, share of total for selected strategies



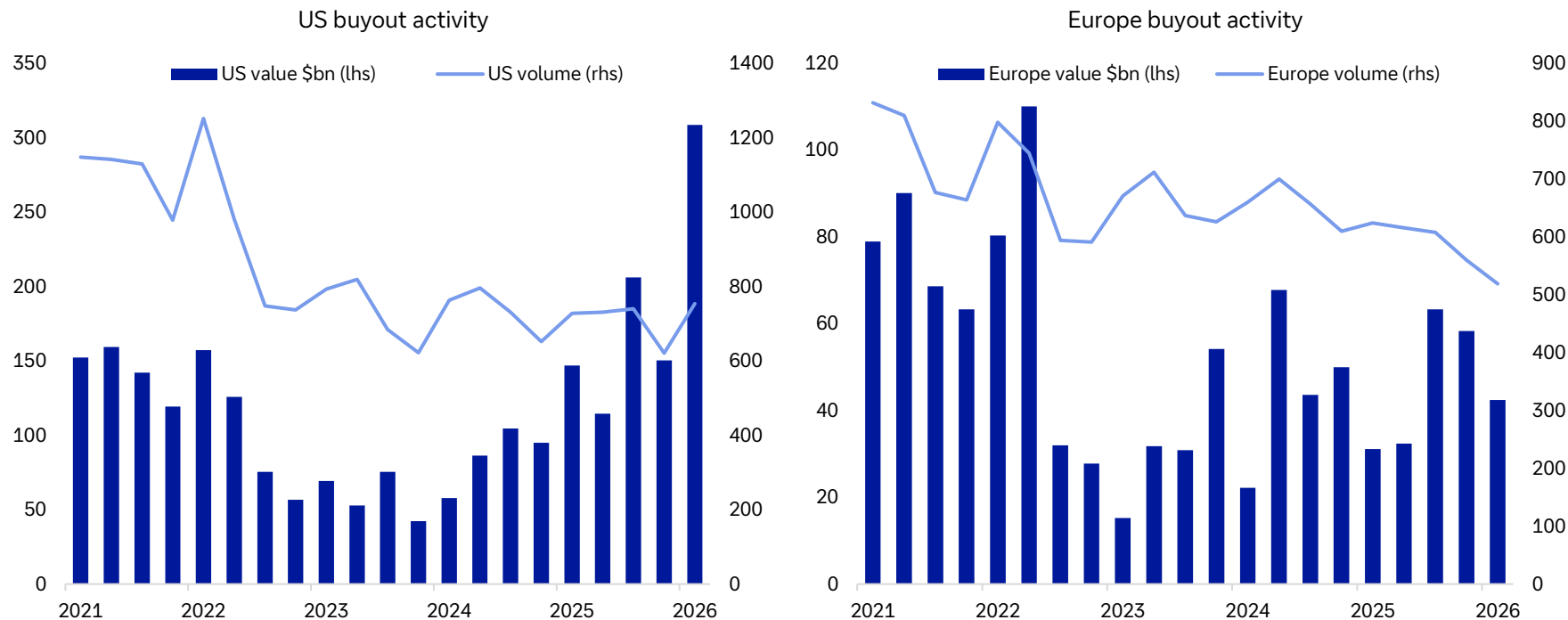
Source: Bloomberg Finance LP, Deutsche Bank.



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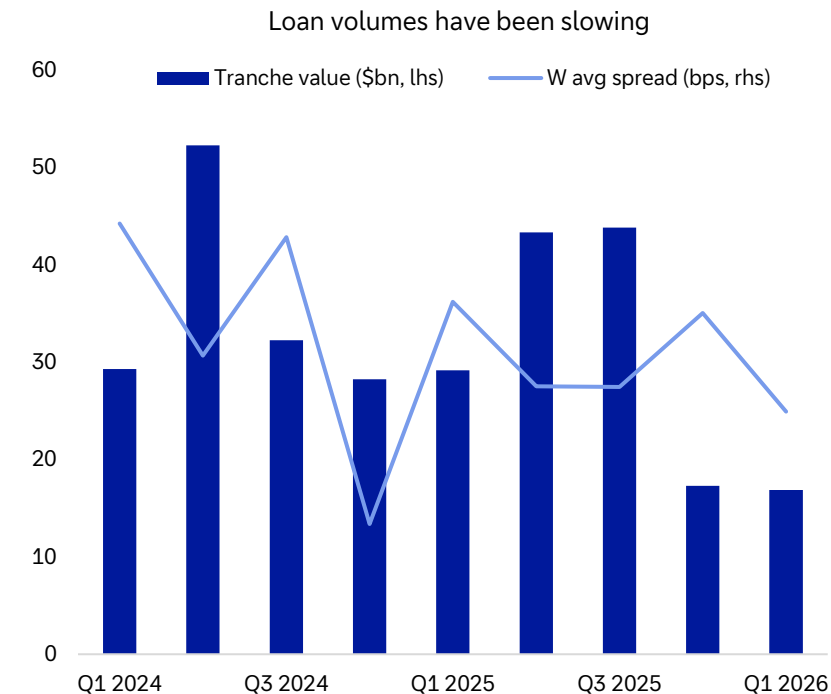
## Dealmaking activity

# Dealmaking activity in buyouts

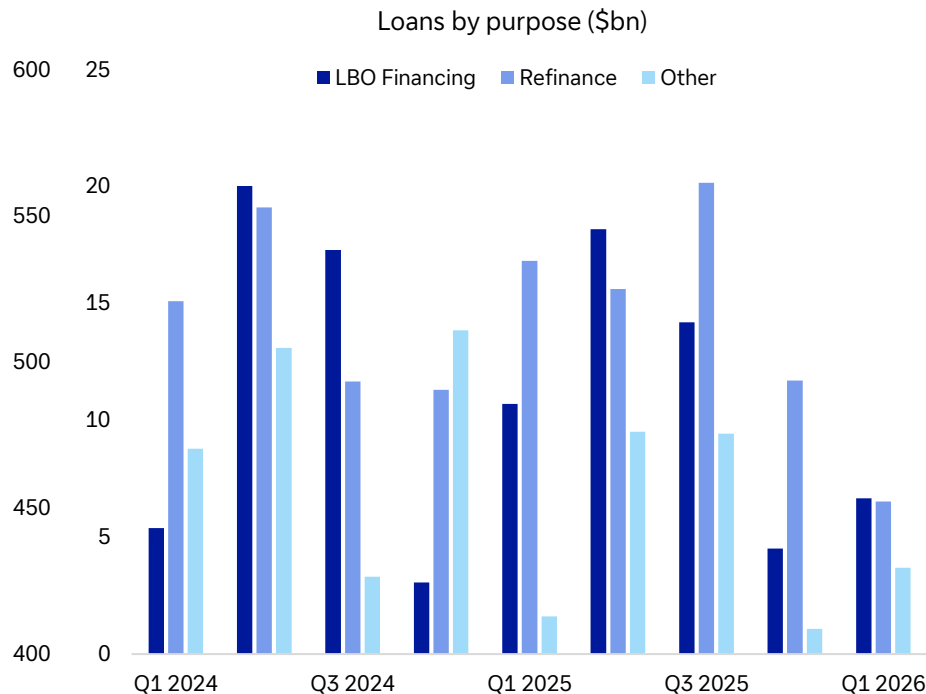


Source: White & Case, Deutsche Bank.

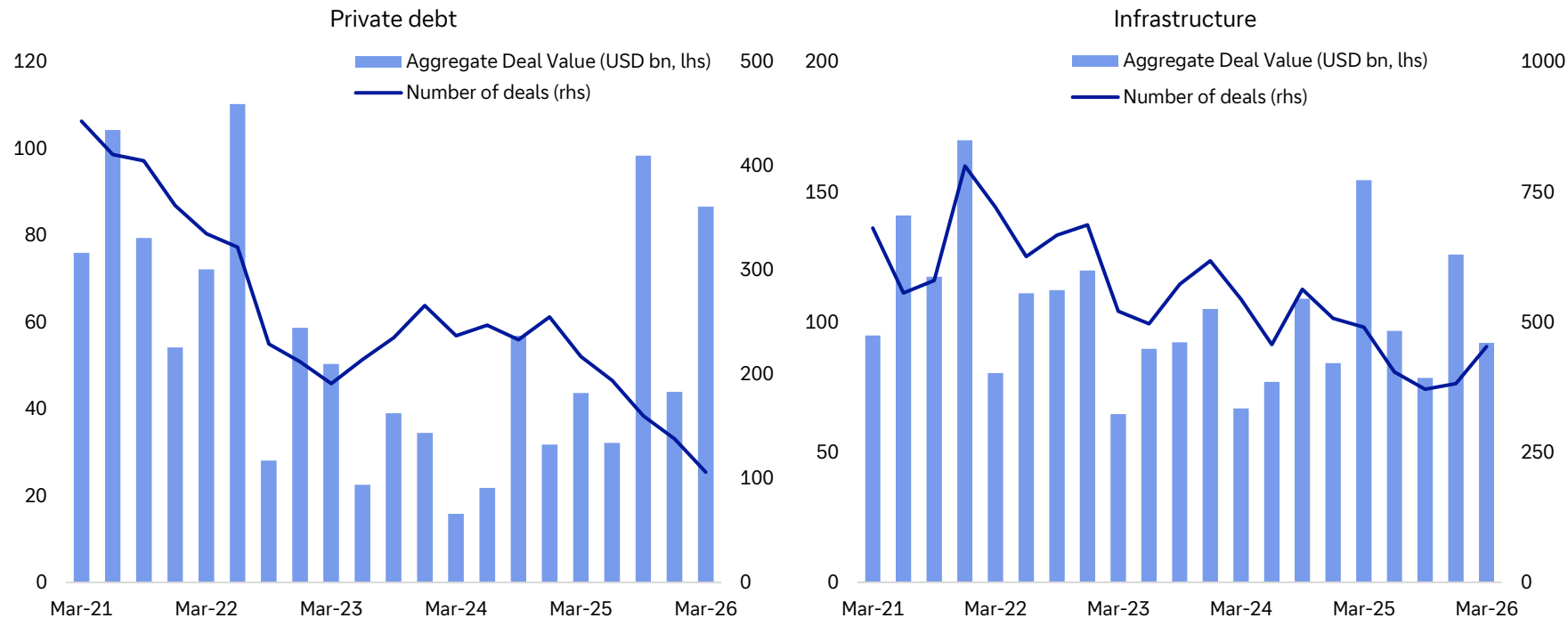
# Origination in large private credit loans – loan volumes steady QoQ but down YoY as both LBOs and refinancing demand slowed



Source: Bloomberg Finance LP, Deutsche Bank.



# Global dealmaking activity in private debt and infrastructure



Source: Preqin, Deutsche Bank.



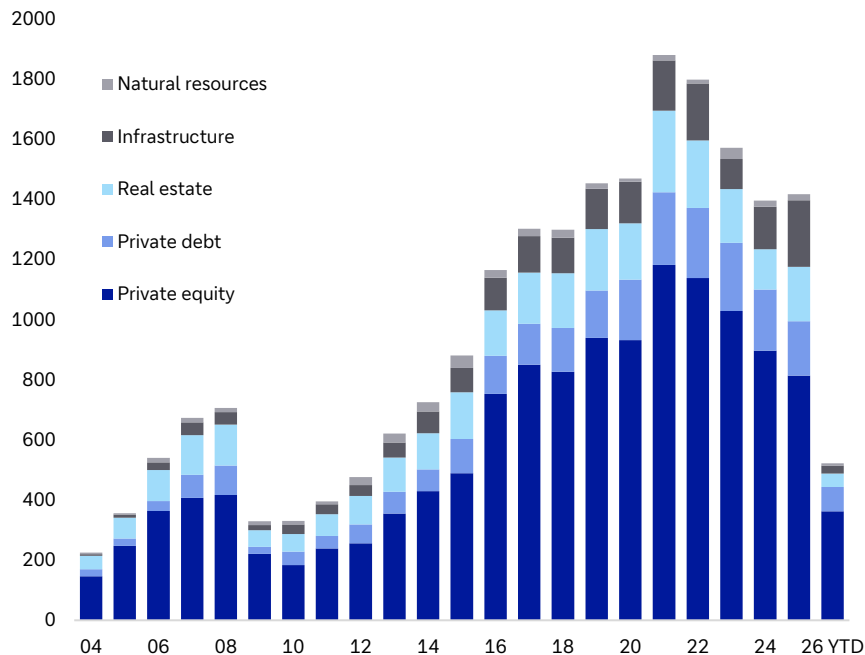


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## Investor allocations

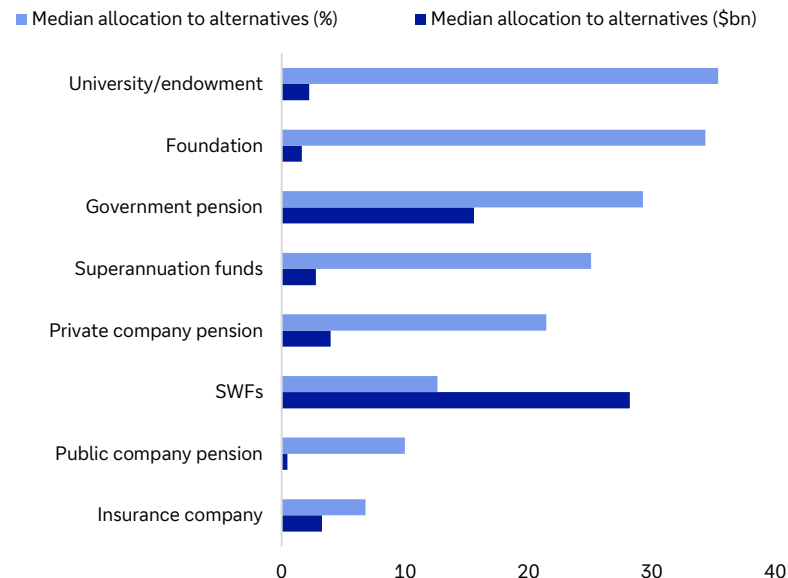


Private capital sum of funds raised (\$bn)



Source: Preqin, Bloomberg Finance LP, Deutsche Bank.

Top 100 LPs in each category, allocations to alternatives



# Appendix 1



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